THE WALL STREET JOURNAL.

DOW JONES | News Corp ★★★★★ WEDNESDAY, OCTOBER 14, 2026 ~ VOL. CCLXXXVIII NO. 89 WSJ.com U.S. Edition

DJIA 51670.10 ▼ 180.45 0.35% NASDAQ 27204.38 ▼ 0.2% STOXX 600 635.01 ▼ 0.1% 10-YR. TREAS. ▲ 7/32, yield 5.216% OIL $94.14 ▲ $0.40 GOLD $4,152.90 ▼ $12.90 EURO $1.1199 YEN 158.31

What's News

Business & Finance

◆ **Big banks continue** to enjoy higher profits on the strength of a resilient U.S. economy and volatile markets that have led to a surge in trading, but they warn that rising interest rates could hurt their outlook. Major U.S. stock indexes edged lower after some of the biggest lenders reported results, with the S&P 500, Dow and Nasdaq off 0.02%, 0.4% and 0.2%, respectively. **A1**

◆ **Regulators fined** Bank of America $1.2 billion after finding that it had insufficient systems to monitor and report possible financial crimes. **B1**

◆ **UnitedHealth Group** reported earnings that came in above analysts' expectations and again raised its projection for the year. **B2**

◆ **Johnson & Johnson** was leaning toward spinning out the hips-and-knees business that the company has been looking to hive off, J&J's chief financial officer said. **B2**

◆ **A Saudi national** who worked at OpenAI as an engineer was arrested and charged with hiding an encrypted recording device at a company office in San Francisco. **B3**

◆ **Stellantis reported** an estimated overall 1% decrease in third-quarter vehicle shipments despite growth in European electric-vehicle shipments. **B3**

◆ **Domino's Pizza sales** growth continued to slow during the third quarter even as the company logged a rise in profit from a year earlier and a gain in revenue. **B3**

◆ **Albertsons Executive Chair** Meg Whitman said of the struggling grocery-store chain that "everything should be on the table" as the company determines how it should be structured. **B4**

Worldwide

◆ **Kimberly Guilfoyle** resigned as U.S. ambassador to Greece after the White House asked her to step down following reporting from The Wall Street Journal that she had solicited $100,000 from a Trump donor in the run-up to her confirmation hearing last year. **A1**

◆ **Pope Leo XIV was** diagnosed with lung cancer, the Vatican said, following a procedure that removed part of the 71-year-old American pontiff's right lung. **A7**

◆ **Drones struck two** commercial ships sailing just outside Bulgaria's territorial waters, posing a fresh test for NATO as the Western alliance confronts more suspected Russian attacks at its land and sea borders. **A7**

◆ **The U.K.'s** domestic-intelligence agency is devoting more resources to countering state threats than during the Cold War, as Britain looks to fend off escalating hybrid attacks from Iran and Russia. **A7**

◆ **Trump's new press** secretary made a rocky debut behind the lectern, raising questions among some administration allies about whether she was ready for the role. **A3**

◆ **A former Crips** gang leader was sentenced to 40 years to life in prison for masterminding the drive-by shooting that killed hip-hop artist Tupac Shakur in 1996. **A3**

◆ **Theme-park operator** Six Flags closed multiple rides after a man died and several other people were injured on one of its roller coasters in Georgia. **A3**

◆ **Regulators asked** a judge to hold Martin Shkreli in contempt, saying he has traded drug stocks on YouTube for years in violation of a lifetime ban from the industry. **A3**

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This edition of THE WALL STREET JOURNAL was originally published in the United States and reprinted locally for regional distribution.

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Pope Leo Is Diagnosed With Cancer After Surgery

GUGLIELMO MANGIAPANE/REUTERS

PASTORAL CARE: Pope Leo XIV arrives for surgery Tuesday at Gemelli hospital in Rome. The 71-year-old American pontiff had a portion of his right lung removed and the Vatican said he has been diagnosed with a common type of lung cancer. **A7**

Trump's Ambassador to Greece Resigns Amid Graft Allegations

Move follows WSJ report that Guilfoyle asked a presidential donor for $100,000

By Drew Hinshaw, Rebecca Ballhaus, Vera Bergengruen and Josh Dawsey

Kimberly Guilfoyle resigned as U.S. ambassador to Greece after the White House asked her to step down following reporting from The Wall Street Journal that she had solicited $100,000 from a Trump donor in the run-up to her confirmation hearing last year.

Guilfoyle wrote in a post on X that serving as ambassador "has been the honor of a lifetime." She also pushed back on the recent allegations against her. "These allegations are false, and I intend to vigorously defend my name, my reputation and my integrity," she wrote.

"While my time as Ambassador may be coming to an end, my commitment to President Trump, the America First movement, and the country I love will never end," Guilfoyle wrote.

Guilfoyle's social-media post came shortly after White House press secretary Katie Zacharia said the White House had asked for her resignation.

When asked about Guilfoyle on Tuesday, President Trump said that he didn't like what he had read about her and hadn't spoken with her. "She wasn't a member of my family. She, I guess, dated my son a long time ago," Trump said. Guilfoyle was previously engaged to Donald Trump Jr., the president's eldest son.

"She went to Greece, she was doing a good job, but we didn't like what we were reading," Trump said.

The Journal reported last week that Guilfoyle had sought a $100,000 payment to her American Express account days before her confirmation hearing. While soliciting the payment from Eric Deters, a Trump donor and a former congressional candidate, Guilfoyle had touted her connections to the Trump administration and sought to lobby the Internal Revenue Service and Justice Department on his behalf, according to text messages viewed by the Journal.

She promised to be his "Trump ride or die, forever and ever" if Deters came up

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Rates Threaten To Spoil The Party For Banks

Goldman, JPMorgan post higher profits, but Wall Street's mood is cautious

By Ben Glickman And Jasmine Li

Big banks are still raking in higher profits on the strength of a resilient U.S. economy and volatile markets that have led to a surge in trading. But they warned rising interest rates could spoil their fun.

JPMorgan Chase, Goldman Sachs, Citigroup and Wells Fargo on Tuesday each reported higher third-quarter profit and revenue from a year earlier, in part because of the near-endless need for financing related to the artificial-intelligence boom, volatile equity markets and continued strength in consumer spending. Four of the six biggest banks posted a combined profit of $32 billion, up 14% from a year earlier. Revenue across all four increased 9% to $115 billion.

But the bond-market turbulence last month seeped into results as the banks each posted weaker-than-expected revenue from their businesses trading bonds on behalf of clients, and dealmaking slowed more than they anticipated. In a somewhat rare occurrence, JPMorgan missed analysts' expectations.

The nation's largest bank reported a profit of $15.31 billion, or $5.57 a share. Analysts expected per-share earnings of $5.93. Revenue rose 8% to $50.17 billion, falling short of the $51.23 billion expected by analysts. The results were hit by a $658 million loss on invest-

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◆ **Bank of America fined $1.2 billion over violations..... B1**

Beverly Hills Condo Borrows From Its Buyers

By Nicholas G. Miller

The developer behind one of the country's most expensive real-estate projects has an unusual request for its condo buyers: Lend us money.

Purchasers of the site's roughly 150 condo units are also providing debt to help Cain, an investment firm based in London, fund its $10 billion project, known as One Beverly Hills.

The 17.5 acre site, set to be completed in 2029, will include high-end retail such as Dolce & Gabbana, upscale dining, 78 new hotel suites and acres of botanical gardens.

The ultraluxury condos will be operated by Aman, one of the world's leading high-end hotel operators.

The condo owners' debt takes the form of a bond—the developers call them Founder Bonds—and buyers will receive a return of 5%, according to a person familiar with the matter.

No condo buyers are forced to participate in the bond program. Founder Bonds offer a financial return and the opportunity to assist in the construction of their future home, Cain has told condo buyers.

When the Founder Bond program was launched early last year, 10-year Treasury debt offered less than 5% returns. In recent weeks, however, the 10-year yield has exceeded that level, rising above 5.3% at one point this month.

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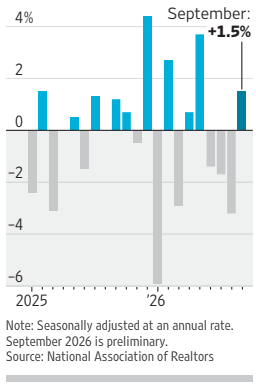
Home Sales See Increase

It was the first rise since spring and reflects a summer plateau in mortgage rates. **A2**

U.S. existing-home sales, change from previous month



Note: Seasonally adjusted at an annual rate. September 2026 is preliminary.
Source: National Association of Realtors

China's Weakening Economy Is Creating a Lost Generation

Young people are losing faith in the promise of hard work

By Hannah Miao

DALI, China—For months, Ma Yongjian didn't tell his parents where he was.

Halfway through a master's degree in computer science, the 27-year-old stopped going to class last year. Software engineering used to be a safe career choice, but the rise of artificial intelligence and a wave of layoffs at Chinese tech companies left Ma convinced he wouldn't be able to land a good job. He no longer saw the point of studying.

When his roommates left their dorm each morning, Ma would wander Beijing, sitting in parks and looking at stray cats. Earlier this year, he escaped to Dali, a magnet for drifters in China's Yunnan province known for its scenic mountains and slow pace of life.

His parents thought he was still in grad school. He didn't want to worry them.

"Before, everyone expected life would keep getting better, your income would keep growing. Now, it's different," said Ma. "When you look at the future, there isn't much hope."

A generation born during China's boom years is now entering adulthood with dwindling opportunities, fiercer competition and a growing sense of despondency that years of hard work have left them no better off than their parents—and, for some, back living with them. Steady jobs are hard to get, pushing mil-

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◆ **China rejects wealthy-nation status..... A9**

The Mystery of the Sailor Shaking Up the Navy

* * *

President says 'catapulter' named Bill Jones convinced him to overhaul aircraft carriers

By Marcus Weisgerber

In August, President Trump directed the Navy to figure out how to return to using steam catapults on aircraft carriers to hurl fighter jets into the air.

For U.S. military officials, the order marked the return of an old foe: Bill Jones.

Who?

Exactly. Trump has described the man as a "catapulter" who served in the Navy for 25 years and loves the smell of steam. Jones convinced Trump the old technology was superior to modern methods of launching jets, the president said.

The incident sent Navy leaders searching for Jones to figure out what he said that prompted the president to demand an overhaul of one of the most expensive weapons programs in history. They never found him, according to defense officials.

But they're still dealing with the consequences of the mystery sailor and his chance encounter with the president.

It all started just months into Trump's first term when he was in Virginia touring the USS Gerald R. Ford, the newest aircraft carrier in the Navy's fleet.

This warship, the largest in

Please turn to page A6

Car-Free Oasis Drives San Francisco Backlash

By Jim Carlton

SAN FRANCISCO—Judi Gorski's home overlooks one of this city's newest and most spectacular attractions: a 2-mile, car-free stretch of coastal highway where visitors bike, skateboard and stroll against a backdrop of crashing waves.

She refuses to set foot on it.

Gorski is among those fuming since voters permanently closed most of Upper Great Highway to cars, creating what became Sunset Dunes park last year. The move pushed as many as 20,000 vehicles a day onto alternate routes, including Gorski's street.

"I'm so angry about it," said the 75-year-old retired owner of a small art business on a recent sun-splashed day. "I mean, my street has become a major artery."

Frustration on San Francisco's West Side runs deep enough that there is now a new measure, Proposition G, on the Nov. 3 ballot. If passed, it would restore vehicles to the stretch on weekdays.

The campaign has turned fierce, featuring money from wealthy San Franciscans, social-media vitriol and yellow "Yes on G" and green "No on G" fliers plastered citywide. Jeremy Stoppelman, CEO of Yelp, has bankrolled about half of the $800,000 raised for No on G; the Yes side has raised about $130,000.

Opponents of Proposition G argue that returning cars would mean an almost unthinkable loss of one of the most distinctive promenades in the U.S.,

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U.S. NEWS

Home Sales Rise for First Time Since May

Despite 1.5% bump in September, further rise in mortgage rates shrinks pool of buyers

By Nicholas G. Miller

Home sales in September rose for the first time since May, with buyers taking advantage of a plateau in mortgage rates over the summer before the surge in recent weeks.

Sales of existing homes increased 1.5% over the previous month to a seasonally adjusted annual rate of 3.99 million, the National Association of Realtors said Tuesday. Economists surveyed by The Wall Street Journal had expected a decline of 0.8%.

The September sales largely reflect purchase contracts signed in July and August when mortgage rates were in the mid-6% range. The increase in sales marks a slight rebound from August when home sales fell 3.2% from the prior month.

Still, August and September marked the two slowest months for home sales this year, NAR said. September sales were also down 2.2% year-over-year.

The lock-in effect that has defined the housing market in recent years, in which homeowners have held onto their low mortgage rates from years ago and frozen supply, continued to ease. In September, inventory rose 1.9% from August to 1.6 million units, which is 4.6% higher than the previous year and the highest level since 2019, NAR said.

"Higher inventory and lengthening days on market give buyers improved negotiating power," said NAR Chief Economist Lawrence Yun. "Home sellers need to be realistic about local market conditions, which could require price discounts and other incentives to attract buyers."

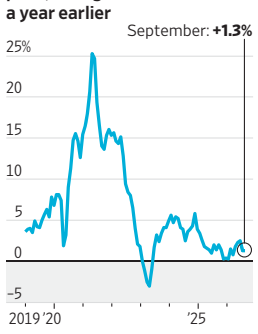
Meanwhile, the rise in mortgage rates has pushed many buyers out of the market. Mortgage rates began September at 6.71%, but have since leapt, reaching 7.4% last week, the highest level in almost three years, according to Freddie Mac. A bond selloff driven by increasing expectations that the Federal Reserve will keep short-term rates higher for longer has brought 10-year Treasury yields to their highest point in decades.

Rates for 30-year fixed mortgages tend to follow the 10-year Treasury yield because most mortgages last around 10 years before being refinanced or exited through a sale.

Home prices have continued to rise. The national median existing-home price in September rose 1.3% from a year earlier, to $417,500, NAR said.

"Further increases in mortgage rates in recent weeks mean fewer buyers can qualify to purchase a home," Yun said.

U.S. median existing-home price, change from a year earlier



Note: September 2026 is preliminary.
Source: National Association of Realtors

Many sellers, frustrated with dormant open houses and buyers getting cold feet, are considering taking their homes off the market and waiting until next year.

Cheryl Creasey said trying to sell her home in Everett, Wash., has been a nightmare. She and her husband, Manuel Perez, originally listed it in September at $769,000, and have had only a handful of showings and no offers. They have already cut the price twice and are planning to bring it down to below $700,000 this week. "Are we all just racing to the bottom? What are we supposed to do?," she said. "I don't know how bad this is going to get."

They bought a new home before listing, taking out a loan to cover the down payment. Creasey has canceled just about all of her subscriptions and stopped contributions to her 401(k) to help her carry the two mortgages and the loan.

Now, her agent has raised the possibility of taking the home off the market and trying again next year. If she had known it was going to be this hard to sell her house, she just wouldn't have moved at all, she said.

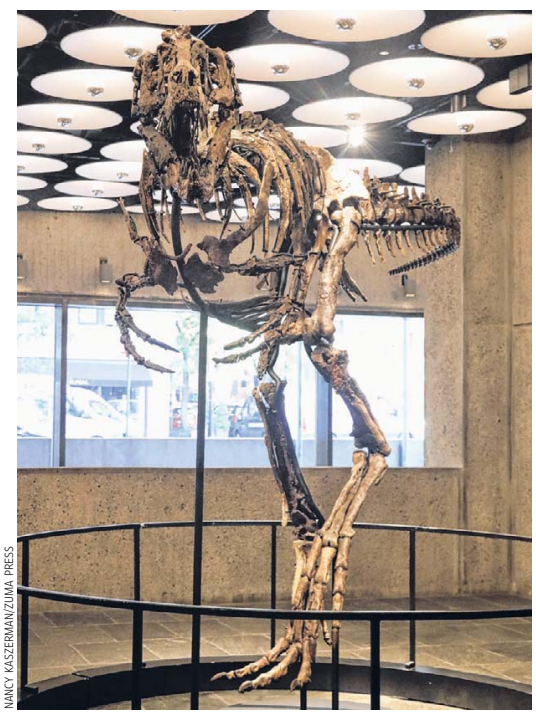
"People that are thinking about buying a new house, like they should know, don't sell your house. Like this is a crappy time to sell. Don't do it. If you don't have to, don't do it," she said.

Harris and Natalie Clayton are going through a similar ordeal trying to sell their house in Atlanta. They have had two buyers pull out after realizing they couldn't afford the house. They have also cut the price twice, but in the last two weeks haven't had any showings. If they don't get any traction in coming weeks, they might take it off the market.

Rates have "just gone up so quick, it's really just kind of sucked the air it seems out of the market," he said.

News Corp, parent of The Wall Street Journal, operates Realtor.com.

U.S. WATCH



NANCY KASZERMAN/ZUMA PRESS

STANDING TALL: The skeleton of 'Jodi,' a Nanotyrannus dinosaur, was on display Tuesday at Sotheby's New York inside the Breuer Building. It goes up for auction on Oct. 27.

IMMIGRATION

Suit Alleges ICE Withheld Property

A group of previously detained immigrants filed a lawsuit against Immigration and Customs Enforcement, alleging the agency is unlawfully refusing to return their documents and personal items long after they were released from custody.

The suit alleges ICE has withheld the property of seven people who have been out of detention for more than five months. At least some have pending immigration cases. Those seven instances, the suit says, are evidence of a broader de facto policy to retain items—including Social Security cards, employment papers, phones and car keys—without any legal basis, in violation of the Fourth Amendment.

The suit seeks class-action status. ICE and the Homeland Security Department didn't comment on the allegations.

The complaint accuses ICE of violating directives governing when it can keep immigrants' property.

—Victoria Albert

NEW YORK

Cornell Suspends Fraternity Parties

Cornell University suspended parties at fraternity houses on campus for the rest of the academic year as turmoil at the Ivy League school continues over a former student's rape allegations.

The school will hire additional support staff and task New York State Police with investigating sexual-assault claims on campus for the duration of an independent review of Cornell's policies, President Michael Kotlikoff said in a statement Tuesday. That review, announced earlier, will be led by former acting Attorney General Sally Yates.

Anger has erupted at Cornell after the former student, known as Jane Doe, filed a civil lawsuit alleging she was sexually assaulted at the Chi Phi Fraternity in 2024.

Cornell will immediately suspend any fraternity holding a party or social event in its house while the ban is in effect, Kotlikoff said, and the university will help students develop "safe social alternatives."

—Jared Mitovich

POLITICS

Ossoff Rules Out White House Run

Sen. Jon Ossoff (D., Ga.) said Tuesday night that he wouldn't seek the presidency in 2028, despite broad expectations in his party that he will run.

"I have zero interest in running for president," he said at a Senate debate when asked if he would serve a full six-year Senate term. "I'm not running for president. I'm running for re-election to the Senate."

Ossoff has been widely viewed as a potential Democratic front-runner in the 2028 presidential election, along with Govs. Josh Shapiro of Pennsylvania and Gavin Newsom of California, as well as former Vice President Kamala Harris.

Ossoff is defending his Senate seat against Rep. Mike Collins (R., Ga.). Once seen as one of the most vulnerable Democrats running for re-election, Ossoff, according to most polls, has solidified a lead in the contest, boosting his party's hopes for winning Senate control.

—Neil Mehta

Banks Log Profits but Eye Rates

Continued from Page One

ment securities on its books.

Executives were peppered with questions about how higher borrowing costs and market turmoil could stall their profit engines, especially if rates dent the economic enthusiasm that has prevailed among U.S. consumers and businesses.

"Hopefully we'll enjoy this good environment for a while," JPMorgan Chief Executive Jamie Dimon said. "We just don't know when it's going to stop."

The downshift in mood sent stocks slipping, continuing months of declines for financial stocks, with Goldman and JPMorgan giving up early gains to end the day lower. Citigroup fell the most, with a 5.6% decline.

The KBW Nasdaq Bank Index dropped 1.4% on the day and has now fallen 6.8% since the start of the third quarter, when the S&P 500 is up 4.1%.

The banks dragged on major U.S. stock indexes: the Dow Jones Industrial Average slid 0.4%, or 180 points, while the Nasdaq fell 0.2%. The S&P 500 was little changed. The yield on 30-year Treasurys declined.

The summer was hot for bond markets. A potent mix of conflict in the Middle East, sticky inflation and angst about fiscal deficits have pushed yields to quarter-century highs. Many economists expect them to stay there for longer.

Higher borrowing costs can be a mixed blessing for banks. They can earn more on the money they lend out to consumers and clients. But they might have to pay up for deposits, and higher rates slow down the economy and lead to unemployment, weighing on all corners of banks' business.

"Inflation and higher interest rates continue to be headwinds, and the longer they persist, the more pressure they could place on both consumers and commercial clients," Wells Fargo CEO Charlie Scharf said. "While markets have been strong, an unexpected or significant movement could filter through the broader economy."

Wells Fargo's profit rose 6% in the third quarter to $5.95 billion, or $1.87 a share. Revenue came in at $21.87 billion.

Wall Street's trading and investment-banking engines powered growth, with the four banks reporting an average rise of 39% in equities revenue.

Goldman Sachs led the pack with a 72% jump from a year earlier, marking the second-best quarter ever for its equities business. The bank said the industry can't keep up with the demand from investors to finance equities trading, creating a lending boom for Goldman.

Still, the result was a slowdown from the even better second quarter; and there was a group-wide slowdown in trading of fixed-income, currencies and commodities amid the September rise in yields. That disappointed some analysts.

Goldman Sachs reported its second-best quarter ever for revenue, with a 23% rise to $18.68 billion. It posted a profit of $5.29 billion, a 29% increase from a year earlier.

In investment banking, total fees for the four banks slipped from the second quarter as deal announcements and initial public offerings stalled out during the trading volatility. Bankers are awaiting the U.S. midterm elections to increase some stability, but they remain confident big deals are coming.

"I still think for capital markets activity, it is a top quartile environment," Goldman CEO David Solomon said. "For strategic M&A, there is an enormous amount of dialogue that continues. Our backlog is incredibly robust."

The higher rates so far haven't dented consumer or business appetite to borrow and spend, bankers said. And clients remain financially healthy.

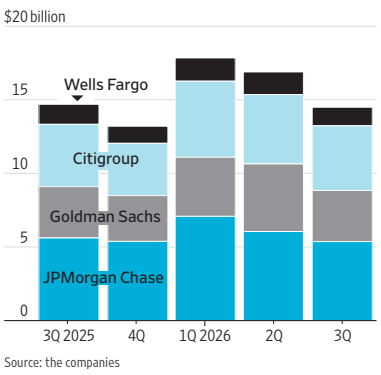
JPMorgan's credit- and debit-card spending was up 10% from a year earlier, while credit-card spending at Wells Fargo and Citigroup increased 11% and 12%, respectively. RBC Capital Markets analyst Gerard Cassidy noted that across the three lenders, consumer spending growth year-over-year decelerated slightly.

Executives pointed to a strong labor market as the buoying force for U.S. consumers. "The global economy has held up remarkably well in the U.S.," Citigroup CEO Jane Fraser said. "While much has been made of the AI boom, the consumer is still driving much of the growth."

Citigroup's profit jumped 40% to $5.25 billion, or $2.85 a share, beating expectations on strong revenue growth. Revenue rose 8% to $23.85 billion, its best third quarter in a decade.

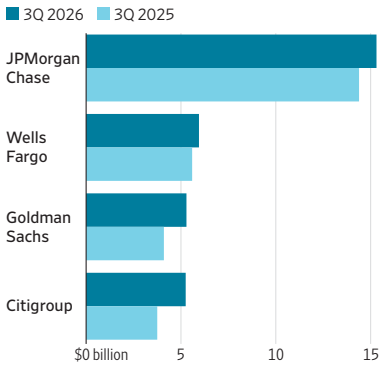
Wells Fargo noted that lower-income households remained more sensitive to higher borrowing costs and inflation, though they are currently stable. For now, cracks are few and far between.

Fixed-income, currencies and commodities revenue, by bank



Source: the companies

Third-quarter net profit



Unlike Fed's Warsh, Nobel Likes Guidance

By Greg Ip

In 2005, Columbia University economist Michael Woodford made the case at the Federal Reserve's annual Jackson Hole conference that central banks should communicate their policies and plans.

Imagine, he said, that a moribund economy and low inflation had pushed interest rates to zero. By promising to keep rates there well into the future, a central bank could boost investment and spending today. The Fed would go on to pursue just that strategy after the global financial crisis.

ANALYSIS

One of the key changes Kevin Warsh has brought to the Fed since becoming chairman in May is to end such "forward guidance."

On Monday, Woodford shared in the Nobel Prize in Economic Sciences. "Clear and credible communication about how [central banks] reason and what they plan to do has become vital to their operations," the Nobel committee said.

It isn't that the Nobel committee sided with Woodford over Warsh so much as it validated the "New Keynesian" economic model of which Woodford is an architect.

After World War II, economists inspired by John Maynard Keynes thought monetary and fiscal policy could influence inflation and unemployment. That came under attack by the University of Chicago's Robert Lucas, who argued that as public expectations adapted, past relationships between unemployment and inflation would break down, which they did in the 1970s.

New Keynesianism reconciled old Keynesianism with the Lucas critique so that even with a rational, forward-looking public, fiscal and monetary policy could still work. This is the model to which most academic economists and central bankers now adhere.

Not Warsh, though. He is allergic to the presumption that anyone, including the Fed, can fine-tune the economy, and invoked the Lucas critique at one of his first news conferences. He dislikes forward guidance because, he argues, it encourages the Fed to stick with a policy after new information has rendered it obsolete. It leads markets to focus on what the Fed says instead of the data.

Yet the worlds of Woodford and Warsh aren't as far apart as they seem. Many central bankers accept that forward guidance is less useful now than when interest rates were at zero, and have dialed it back. And while Warsh isn't issuing forward guidance, his lieutenants are, recently discouraging expectations of an interest-rate increase this month. And don't forget: Lucas won the Nobel in 1995.

This appeared in the WSJ Economics newsletter. To subscribe to the newsletter, go to wsj.com/newsletters.

THE WALL STREET JOURNAL

(USPS 664-880) (Eastern Edition ISSN 0099-9660) (Central Edition ISSN 1092-0935) (Western Edition ISSN 0193-2241)

Editorial and publication headquarters: 1211 Avenue of the Americas, New York, N.Y. 10036

Published daily except Sundays and general legal holidays. Periodicals postage paid at New York, N.Y., and other mailing offices.

Postmaster: Send address changes to The Wall Street Journal, 200 Burnett Rd., Chicopee, MA 01020.

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CORRECTIONS & AMPLIFICATIONS

A chart with a Page One article Tuesday about U.K. welfare spending showed overall welfare spending, including pensions but excluding healthcare spending. The chart incorrectly said it excluded pensions.

The White House has used the Trust for the National Mall to manage funds it raised for projects including the White House ballroom and the Rose Garden. A U.S. News article on Tuesday about the trust, a long-established nonprofit, incorrectly said it also managed funds for the triumphal arch.

The FlyDubai near-crash has halted flights between Dubai and Israel, although flights from Abu Dhabi continue. A World News article on Saturday about the co-pilot who tried to take over a FlyDubai flight bound for Israel incorrectly said flights between the United Arab Emirates and Israel were halted.

Citadel Chief Executive Ken Griffin is among the investors in DayOne Data Centers. An Oct. 7 Technology article about DayOne's proposed initial public offering incorrectly said that Citadel is an investor.

Readers can alert The Wall Street Journal to any errors in news articles by emailing **wsjcontact@wsj.com** or by calling 888-762-5450.

Regulators Say Shkreli Violated Drug Stock Trading Ban

By Xavier Martinez

Federal and state regulators asked a federal judge Tuesday to hold Martin Shkreli in contempt, saying he has traded pharmaceutical stocks on YouTube for years in violation of a lifetime ban from the drug industry.

The Federal Trade Commission and seven states including New York asked the judge in the Southern District of New York to force Shkreli to sell the drug stocks he owns. They also want him to pay a fine equal to all his trading profits since February 2022, with no credit for losses, and are asking for escalating fines and, if he refuses to comply, jail time.

Shkreli didn't respond to requests for comment. On X, he expressed surprise that the Trump administration would take such action. "I could see totalitarian NY AG Letitia James trying to limit a citizen's free speech but not from Trump's FTC," he said.

A spokesman for James, a Democrat, referred to the attorney general's news release, which said Shkreli's actions "put investors and the public at risk."

A former drug executive and hedge-fund manager, Shkreli, 43 years old, gained notoriety in 2015 for raising the price of anti-parasitic drug Daraprim to $750 a pill from less than $20 after the company he helmed had bought it. Shkreli was outspoken in defending the price increase. He was active on social media and became known as "pharma bro."

Shkreli was convicted of securities fraud in 2017 and later sentenced to seven years in prison after prosecutors accused him of defrauding investors through his hedge funds and illegally using funds from his pharmaceutical company to pay off investors. He was released early in 2022.

Earlier that year, a federal judge had barred Shkreli from owning stakes in drug companies and from making public statements meant to influence

ADAM GRAY/AGENCE FRANCE-PRESSE/GETTY IMAGES

Martin Shkreli in 2024

their business. The drugmaker that Shkreli ran, the judge said, had illegally blocked generic competition for Daraprim.

Regulators allege that Shkreli ignored both rules. In their filing, the FTC and states also including California, Ohio and Virginia said Shkreli has held shares of more than 60 drug companies since 2022. They said he often showed his brokerage screens on livestreams.

Recent livestreams, streamed multiple times a week on social-media platforms and YouTube, have stretched for longer than nine hours and involve call-in portions in which viewers opine or ask Shkreli investing questions.

In his livestreams, the regulators allege, Shkreli shorted companies including Cassava Sciences, INmune Bio, aTyr Pharma and Capricor Therapeutics—three of which had key drugs fail in clinical trials.

After Cassava's experimental Alzheimer's drug failed in November 2024, Shkreli's Interactive Brokers account grew from $138,200 to $841,000, the filing alleges.

Regulators allege he is now shorting drug stocks again. In June, they said, Shkreli began a new livestreamed trading challenge with a $10 million account. They say he is shorting Sellas Life Sciences and has told viewers its leukemia study will fail.

Trump Spokeswoman Has Rough Debut

Zacharia shows her nerves in briefing, leaves allies asking about readiness

By Philip Wegmann

JULIA DEMAREE NIKHINSON/AP

Katie Zacharia's Tuesday briefing lasted less than 15 minutes.

Katie Zacharia appeared behind the lectern to introduce herself as the new White House press secretary Tuesday, but instead sparked questions from some administration allies about whether she was ready to step into one of the world's most scrutinized jobs.

She read directly from a list of President Trump's accomplishments, her voice at times halting. The spokeswoman took just three questions before directing the press to speak with the president directly. She accidentally referred to her husband as "my president." In all, her first press briefing lasted less than 15 minutes.

It was a rough debut for Zacharia, selected by Trump last week to replace Karoline Leavitt, who stepped down in August.

The briefing received wall-to-wall coverage. One former senior administration official described the inaugural showing as a solid effort. Other administration officials, watching from their desks, picked up on nervousness in her voice, wondering why Trump had pushed the new press secretary in front of the cameras so quickly instead of easing her into the job.

Kayleigh McEnany, a Fox News host who served as White House press secretary in Trump's first administration, noted that Zacharia had "very little runway" before meeting the press. The new press secretary, juggling a family move to Washington, had less than 24 hours to prepare, and received her briefing materials that morning, a senior administration official said.

The White House heralded Zacharia's debut as "a commanding inaugural press briefing."

White House press secretaries across both Republican and Democratic administrations refer to the role as the most difficult job in all of Washington—one made harder by a demanding boss like Trump, who often brags about being his own best spokesman.

Online critics wondered if her tenure would last longer than that of Anthony Scaramucci, who briefly served as communications director during Trump's first term. He was fired after 11 days following an expletive-filled interview he gave to the New Yorker attacking senior White House staff.

"The clock is running," Scaramucci wrote of Zacharia in a social-media post. "Thus far 1/11th of a Scaramucci."

Prominent Trump allies noted that first days seldom go off without a hitch. "She came off perhaps a bit nervous reading the prepared statement, but very relatable and likable," said Andrew Kolvet, a spokesman for Turning Point USA. Despite the abbreviated briefing, he noted that Zacharia made news.

The breaking news: The White House had asked the U.S. ambassador to Greece, Kimberly Guilfoyle, to leave her post. Guilfoyle's departure comes after Wall Street Journal reporting that she had solicited $100,000 from a Trump donor.

"There's nothing that makes the job of a White House press secretary easier than delivering hard news," Ari Fleischer, who served as White House press secretary during George W. Bush's administration, said during a Fox News interview.

Zacharia comes to the White House as a relative novice to briefing the press. She previously served as a communications adviser to Trump Media & Technology Group, which operates the Truth Social platform. She briefly worked at the Department of Homeland Security earlier in Trump's second term before catching the attention of the president as she defended him on cable news outlets like CNN, Fox News and Newsmax.

Her LinkedIn says she graduated from Pepperdine Caruso law school in Malibu, Calif. When a reporter asked Trump, on his way to board Marine One after the briefing, where she passed the bar, the president looked to Zacharia and asked, "Which state?"

"When I moved to China," Zacharia responded. She worked in Beijing as an associate for Zhong Lun Law Firm, according to her LinkedIn. A White House official said that Zacharia had previously moved to China because of her husband's job in private equity and that she worked on international transaction law.

Zacharia didn't forecast how often press briefings would be held. Leavitt had them roughly once a week. Previous press secretaries generally briefed reporters on a daily basis.

Mastermind in Shakur Killing Gets 40 to Life

By Jack Morphet

JOHN LOCHER/PRESS POOL

Duane 'Keffe D' Davis, a former Crips gang leader, on Tuesday said he would appeal his conviction.

A former Crips gang leader was sentenced to 40 years to life in prison for masterminding the Las Vegas drive-by shooting that killed hip-hop legend Tupac Shakur in 1996, bringing a close to one of music history's most studied cold cases.

District Court Judge Carli Kierny sentenced Duane "Keffe D" Davis on Tuesday to consecutive sentences of 20 years to life. A jury in August took just three hours to convict Davis, 63 years old, of first-degree murder with the use of a deadly weapon.

"You don't get to take a man from his family, you don't get to take his very life, his whole future from him, and just walk away from it," Judge Kierny said. "Especially when that man is Tupac Shakur."

Davis told the court on Tuesday that he would appeal his conviction.

Shakur's sister, Sekyiwa Shakur, described her late brother as an icon whose premature death deprived a generation of a transformative leader on par with Malcolm X, Martin Luther King Jr. and John F. Kennedy. Tupac Shakur was 25 when he was killed.

On Sept. 7, 1996, Bloods and Crips gang members were in Las Vegas for the heavyweight championship bout that night between Mike Tyson and Bruce Seldon at the MGM Grand.

The Bloods were allied with Marion "Suge" Knight's Death Row Records, and the South Side Crips provided security for artists such as the Notorious B.I.G., who was signed to Sean "Diddy" Combs's rival label Bad Boy Records.

At the casino, Shakur and Bloods got into a physical altercation with Davis's nephew and South Side Crips member Orlando "Baby Lane" Anderson. Prosecutors said Davis procured a gun and ordered a fellow South Side Crips gang member to shoot Shakur and Knight in an "act of revenge."

Davis, according to testimony, got a .40-caliber handgun and gathered Anderson and fellow South Side Crips members Deandrae "Big Dre" Smith and Terrence "Bubble Up" Brown. They got into a rented white Cadillac to pursue Knight and Shakur, who were en route to Club 662, a Vegas nightclub owned by Knight.

Prosecutors said the Cadillac pulled up alongside a BMW carrying Knight and Shakur at a red light at East Flamingo Road and Koval Lane. Davis handed the weapon to the back seat, where either Smith or Anderson fired off at least seven rounds, the court heard. Shakur died six days later from multiple gunshot wounds.

Davis is the only occupant of the Cadillac still alive today.

Prosecutors told jurors that Davis was a major Compton, Calif., narcotics dealer and a leader of the South Side Crips who repeatedly admitted to his role in the fatal shooting.

Davis's own words helped reinvigorate the unsolved case, after he boasted in interviews about his role in the shooting and being in the vehicle with the shooter. In his 2019 self-published memoir "Compton Street Legend," Davis wrote: "I'm one of the only living eyewitnesses to Tupac's killing."

Davis's defense attorney Michael Sanft argued the book was a self-aggrandizing fiction designed to profit from Tupac's slaying and insisted there was little evidence to corroborate his client's written claims.

"The book is fiction, not fact, but the state wants you to believe this is somehow a confession," Sanft said. "He wanted to make money."

Six Flags Closes Several Rides Following Roller-Coaster Death

By Jacob Passy
And Jack Morphet

CHRISTOPHER OQUENDO/ZUMA PRESS

The Goliath roller coaster at Six Flags Over Georgia on Monday.

Theme-park operator **Six Flags Entertainment** has closed multiple rides after a man died and several other people were injured aboard one of its roller coasters in Georgia.

Police found Hassan Jihad Ibn Kariem, 42 years old, under the Goliath roller coaster at Six Flags Over Georgia just before 4 p.m. Monday. He was unresponsive and not breathing, according to the Cobb County Police Department.

Investigators believe Kariem was ejected from the ride and struck other passengers before falling to his death, based on interviews with witnesses and theme-park employees.

Detectives from Cobb County Police Department's Major Crimes Unit are investigating.

"Out of an abundance of caution, we have temporarily closed similar attractions across our parks," a Six Flags spokesperson said.

The Goliath coaster first opened to the public in 2006. The ride, which was created by Swiss roller-coaster design company Bolliger & Mabillard, reaches a top height of 200 feet and speeds of 70 miles an hour. When it opened, the coaster was considered to be among the best in the world and garnered industry praise.

Goliath is one of 10 coasters that Six Flags has temporarily closed across seven of its parks, a company spokeswoman said. The company doesn't have a timeline for when those rides will reopen. All but one of the coasters was designed by B&M.

A B&M spokesman said the company was investigating the incident, but declined to comment further until more was known about what happened.

In 2006, a 45-year-old man died on the Goliath coaster in Georgia of an apparent heart attack, but investigators determined that the ride was functioning properly.

Six Flags operates 20 theme parks and 14 water parks across North America, as well as two parks in Saudi Arabia.

The company, which merged with Cedar Fair in 2024, has faced pressure from activist investors to pursue a sale. Earlier this year, the company sold multiple of its lower-performing parks to EPR Properties, a closely held company.

Six Flags has recently faced scrutiny over the safety record associated with another of its attractions: the X2 coaster at its Magic Mountain park in Southern California. Multiple lawsuits alleged that the coaster caused serious brain injuries. Six Flags permanently closed that ride last month.

Shares in Six Flags fell more than 14% in Tuesday trading.

Paxton, on Dubai Trip, Partied With Fugitives

Republican beset by controversies is in a high-stakes race for Texas Senate seat

JUSTIN SULLIVAN/GETTY IMAGES

Texas Senate candidate Ken Paxton at the GOP midterm convention in Dallas last month.

As President Trump weighed endorsing Ken Paxton over incumbent Sen. John Cornyn of Texas this spring, he was told that damaging revelations were likely to surface about Paxton, according to people familiar with the conversations. Trump was dismissive and said there would be more negative material about Democratic nominee James Talarico.

*By **Elizabeth Findell, Mark Maremont** and **Josh Dawsey***

Trump plowed ahead and endorsed the scandal-plagued Texas attorney general, helping him win the Republican primary runoff in May. Months later, that decision is looking like Trump's biggest gamble of the midterms.

Despite efforts by Paxton to paint his opponent as a far-left zealot, Talarico consistently holds a narrow lead in polls, raising a once unthinkable possibility: A Democrat could win statewide office in Texas for the first time since 1994.

Meanwhile, damaging revelations about Paxton continue to emerge. A new one: a previously unreported New Year's Eve 2024 celebration where Paxton partied in Dubai with two fugitives from U.S. justice and a woman who wasn't his wife.

As fireworks exploded over the Burj Khalifa skyscraper to welcome 2025, Paxton and his girlfriend Tracy Duhon watched from a luxury high-rise balcony full of people, according to a video of the gathering reviewed by The Wall Street Journal, details of which were contained in court filings and confirmed by people familiar with the matter.

Among those at the event with Texas' top law-enforcement official were two Americans who had been indicted months before on federal healthcare-fraud charges but failed to return to the U.S., Anosh Ahmed and Sameer Suhail, according to the court records and people familiar with the matter. Ahmed, a healthcare executive, had donated $190,000 to Paxton, campaign finance records show, including $25,000 days after he was indicted.

Talarico has hammered Paxton over his jet-setting travels, accumulation of wealth in office, and his business associations.

Paxton, 63 years old, has long been a survivor of controversy, and Trump's allies maintain the MAGA faithful will power him to a win in the Nov. 3 election.

The three-term attorney general was re-elected twice while securities-fraud charges against him were pending. In 2020, eight of his deputies reported him to law enforcement, accusing him of using the attorney general's office to help a top donor and spurring a Federal Bureau of Investigation probe. The accusations led members of his own party to impeach Paxton in 2023 on abuse-of-office charges, which he denied. He was acquitted by the state Senate and returned to office.

Last year, Angela Paxton, his wife of 38 years, filed for divorce, citing adultery, after public reports of two affairs, including with Duhon.

In a statement, Paxton senior adviser Nick Maddux didn't directly address the Dubai trip.

"Like President Trump, Ken Paxton has been politically persecuted for years, and every time, voters have seen through it and sent him back to office because they know he has always fought for Texas," Maddux said.

The two fugitives at the Dubai event had been both indicted in federal court in Illinois in 2024 on charges that they embezzled $15 million from a Chicago hospital where Ahmed was CFO. A businessman with interests in Texas, Ahmed was later charged in a scheme involving at least $195 million in alleged payments from the government for fraudulent Covid-19 tests, to which he has pleaded not guilty.

Both men are now back in the U.S. to face the charges. Ahmed is in custody, and his attorneys have said in court filings that he was abroad at the time of the first indictment and his return to the U.S. was delayed by family health issues. Suhail's attorney, Adam Sheppard, said civil matters in Dubai affected Suhail's ability to travel after the indictment and he returned voluntarily when they were resolved.

The fugitives at the Dubai event had been both indicted in federal court.

The video of the event, taken by another guest at the party, was cited in a filing in a Texas civil court case in which that guest is a defendant.

None of Paxton's political baggage has sunk him so far.

"It's just amazing to me that he's never been held accountable," said Kent Schaffer, a special prosecutor who filed charges against Paxton in 2015.

When Kelly Shackelford, a friend who now heads the First Liberty Institute, a Christian conservative legal organization, suggested that redistricting could make 2002 a good year to consider running for office, Paxton responded "What's redistricting?," Shackelford recalled.

By the time Paxton had ascended through the state House and Senate to become attorney general in 2015, he was beginning to weather a series of controversies. Another lawyer accused him of stealing a $1,000 Montblanc pen at a courthouse. (Paxton later returned it and called it a misunderstanding.) He was facing simultaneous state and federal securities-fraud investigations. An effort to pay his legal bills resulted in a bribery investigation when he accepted $100,000 from a former client under investigation by his office. (The case was closed with no finding of wrongdoing.) Paxton denied wrongdoing in all the cases.

Civil charges filed against him by the Securities and Exchange Commission alleging securities fraud were dismissed in 2017. And in 2024, he resolved state felony-securities fraud charges with a deal that involved paying $300,000 in restitution.

Before he first ran for public office in 2002, Paxton's only assets were a handful of stocks and a house with a mortgage, with a combined value of less than $175,000, according to a state disclosure. By 2018, he told a lender he had amassed a net worth of some $5.5 million, not including millions of dollars in assets he and his wife had moved into a blind trust. They now own at least a dozen residential properties.

Nothing has brought Paxton closer to political ruin than his relationship with Austin real-estate developer Nate Paul, a friend and campaign donor. Paxton's former aides accused him of abusing the attorney general's office to interfere with an FBI investigation into Paul, sparking a federal probe into Paxton, the 2023 impeachment trial and a whistleblower lawsuit that the former employees won. Paxton denied their claims.

At one point, Paxton requested a meeting with Justice Department officials in Washington to raise objections to the FBI agent investigating Paul, which wasn't within those officials' jurisdiction, according to people with knowledge of the situation. As a result, at least two top officials later had to recuse themselves when their office took charge of the separate investigation into Paxton, the people said.

The Justice Department ultimately dropped its probe into Paxton. In attack ads, Talarico has highlighted the abuse-of-office claims and the $6.6 million awarded to the whistleblowers who alleged they were fired for reporting Paxton's actions to law enforcement.

Talarico has also criticized what he calls Paxton's "jet-setting lifestyle." From 2022 through 2025, state-funded security accompanied Paxton on 19 foreign trips to countries including Greece, Italy, South Africa and Mexico, according to records. The records aren't comprehensive and don't include the Dubai trip.

Paxton met Duhon, a Christian influencer who became his girlfriend, at the Kentucky Derby in 2024, people with knowledge of the relationship said. She divorced her husband the following year, and Paxton's divorce is pending. Photos captured the pair as they traveled through Europe over this past summer.

Recently, a PAC released an ad featuring Paxton's wife, Texas state Sen. Angela Paxton. In the ad, she tells people to look past individual candidates and support the entire GOP ticket. She never mentions Paxton by name.

"It's not as much about the individual players on the team, it's about getting the whole team across the finish line," she said.

Guilfoyle Resigns as Ambassador

ARIS MESSINIS/AFP/GETTY IMAGES

Kimberly Guilfoyle at the Greek presidential palace in November of last year.

Continued from Page One

with the Amex money. He didn't ultimately make the payment, telling her it would cost him his marriage.

Guilfoyle's lawyer disputed the authenticity of the messages but declined to provide specifics, and said the ambassador was "owed a balance" for events she had attended before her nomination. Deters said he didn't owe her any balance.

The Journal reported in September that Guilfoyle had puzzled government officials across southeastern Europe with her persistent promotion of a Greek company, and her extensive efforts to include one of its lobbyists, Christos Marafatsos. Marafatsos had been attending meetings at the ambassador's residence and with foreign officials, and some officials mistook him for her chief of staff.

The series of revelations had frustrated administration officials in Washington, many of whom were already wary about Guilfoyle's tenure as ambassador.

Since arriving in Athens last fall, she interspersed meetings with regional leaders with visits to European fashion shows and art galas. Her stylist, Fancy James, often accompanied her on trips, joining her for a dinner with Greek and Bulgarian officials in Washington earlier this year.

The State Department's inspector general is investigating whether Guilfoyle received gifts or favors from private businessmen, the Journal previously reported.

Rep. Don Beyer (D., Va.) called for Guilfoyle to be fired and "if she broke the law, which seems highly likely, prosecuted." Rep. Robert Garcia of California, the top Democrat on the House oversight committee, in a letter to Guilfoyle wrote that the reported conduct "raises serious public corruption and national security concerns" and requested she provide financial records and copies of her communications with certain government officials.

Secretary of State Marco Rubio was in Athens when the Journal reported that Guilfoyle had sought the $100,000 payment. His aides said they were blindsided and frustrated—just days earlier, Rubio had defended her as an "incredibly effective advocate" for Trump's agenda and emphasized they "greatly valued" her. While in Athens he defended her at a news conference: "Our ambassador has been a strong ambassador."

Guilfoyle, who posted multiple pictures on social media of her embracing Rubio on the tarmac upon his arrival, was at his side for more than half a dozen events.

As Rubio departed Athens last week, he declined to comment on the messages. "We don't conduct these things in a press conference on a tarmac in a foreign country because you wrote a story or somebody else wrote a story because the source gave it to you," he said. Guilfoyle was on the tarmac to see him off.

When asked earlier this month to respond to the notion of a U.S. ambassador trying to exchange access for money, Vice President JD Vance said, "I don't like anybody selling access to another government official, certainly a high-level government official."

But the vice president said he needed more information before weighing in on the specific case.

As ambassador, Guilfoyle's chief focus was an effort to help Europe wean itself from Russian energy via a "vertical gas corridor" meant to receive U.S. liquefied natural gas in Greece and pipe it toward Ukraine. The initiative, which began under the Obama administration, had strong backing from the Trump administration.

But Guilfoyle drew scrutiny over her efforts to promote one Greek company in particular: a construction company called Aktor Group that through a joint venture with a Greek state-backed gas company had signed a 20-year deal to buy U.S. LNG.

A lawyer for Guilfoyle previously said she wasn't focused on any one company. Lawyers for Aktor said Guilfoyle wasn't improperly promoting Aktor's commercial interests.

Condo Borrows From Buyers

Continued from Page One

That means Founder Bond holders are now earning less than the yield on Treasurys, which are commonly considered the "risk-free" rate.

But some said this rarely seen financing tool sticks condo buyers with a risk.

The bonds are junior to other debt on the project, which includes a $2.8 billion senior loan led by J.P. Morgan and a $1.5 billion mezzanine loan from VICI Properties. Parts of both loans are conditional on Cain hitting certain sales milestones.

That means that if the condo towers were to fall short of completion—in a city where most luxury buyers are focused on single-family homes and estates—bondholders could be left not only without the penthouse that they were expecting, but also without the extra money lent to the developers.

"Even though these are luxury buyers, I would guess they're going to face more exposure if the project goes bust than they may realize," said David Reiss, a professor at Cornell Law School, who researches real-estate finance. "They're getting paid a small amount to take a large amount of risk...but because they're luxury, they may be able to tolerate the risk better."

California typically limits deposits developers can keep from buyers to 3% of the purchase price—far below typical deposits for luxury condos developers can retain in other states—to protect buyers if they decide to pull out. And unlike several other states, California doesn't allow developers to use that deposit money for construction costs.

But those deposit restrictions don't apply to Founder Bonds, giving Cain flexibility to use that money on the project.

Cain has already raised around $350 million through this novel approach to help finance a major commercial real-estate project and aims to boost that number to over $1.6 billion, say people briefed on the matter.

Cain has the funds to complete the project without relying on the Founder Bonds, but money raised from buyers through the bonds would replace some of the equity Cain has committed to the project, according to people familiar with the matter.

For One Beverly Hills to pencil out, the condos will have to command an unprecedented level of demand. Prices for the residences start at $15 million, and recent sales have exceeded $7,000 a square foot—more than $2,000 above the square-footage price earlier this year of a condo in West Hollywood's Sierra Towers that set a Los Angeles County record.

In July, one buyer reserved a penthouse to be sold for $200 million, a price that would blow past the L.A. market's previous record condo sale of $39.2 million. More than $1 billion worth of condos are already under contract or reserved.

"You're offering people 360-degree views which can't be touched, acres of gardens and a level of privacy and service that allows them to enjoy their home without having to manage everything that comes with it," said Jonathan Goldstein, Cain's chief executive.

All the buyers so far have agreed to purchase Founder Bonds, typically worth around 30% of the sales price, according to a person familiar with the matter. Over the summer, Cain raised $70 million in Founder Bonds across $200 million in condo sales.

Many condos listed in Los Angeles in recent years have struggled to command prices owners were seeking. On multiple new condo projects, the original developers defaulted on loans before the buildings fell into other hands.

"I don't know how many of them...are going to trade out of their house for a $20 million condo," said Los Angeles-based luxury real-estate agent Tyler Drinkwater. "You're trading down in space. The economic dynamics don't really add up to me."

At the Beverly Hills Mandarin Oriental, another branded residence, developer Michael Shvo defaulted on a $200 million loan in 2024. Shvo offloaded the remaining unsold units in a bulk sale to an investor the following year.

Through August, condo sales in Los Angeles were lower this year than in any other year on record, according to Redfin, whose data stretches back to 2012.

Proponents of One Beverly Hills said the ultraluxury market is a different story.

"When you get above $10 million, we're seeing a very different buyer," said Parker Beatty, Compass's regional vice president of Southern California and Hawaii. "They want the ability to lock and leave, they want the security and amenities."

The ultrawealthy move around much more than they used to as their businesses have become more global and want the flexibility that condos provide, said Liam Bailey, global head of research for real-estate consulting firm Knight Frank.

Plus, Beverly Hills has continued to boom, even as other parts of Los Angeles have declined.

"Beverly Hills is its own animal," said Erik Hendrickson, managing wealth adviser for the Los Angeles region of Northern Trust.

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70% of Americans want government to actively expand energy supply*

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Respect our laws. Welcome contributors.

77% of Americans want legal immigration maintained or expanded, focused on the skills the economy needs*

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Win the future. Protect our communities, kids, and liberties.

83% of Americans want parents to have the legal right to see and control what their kids do on social media*

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Live within our means. Keep our promises.

73% of Americans favor barring Congress from using accounting tricks that hide the long-term cost of a bill*

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Desert Test Shows Army's Struggle to Revamp

Modernization push meets institutional hurdles, limitations in new equipment

By Heather Somerville

Under a blistering desert sun, the U.S. Army strained to show it had become a modern, AI-powered fighting force.

Some blamed the heat. It was July in the Mojave Desert, and the thermometer neared 110 degrees. Servers overheated. Batteries died and couldn't be recharged. Soldiers drenched T-shirts in ice water and draped them over antennas that were on the fritz.

Sgt. Ramontez Bennett's drone from Anduril Industries was supposed to loiter overhead. Instead, the relentless glare forced it to land. "They gotta do something about it overheating," he said.

It wasn't just the sun. "All it takes is one gust of wind and it's on the side of a mountain," he said. Behind the peaks, drones lost their signal.

Next to Bennett, another pilot prepared to launch a drone from Theiss UAV Solutions. After a prolonged wait to charge a drained battery, the aircraft took 10 minutes more to get airborne. Ukrainian soldiers can get a drone of about the same size off the ground in under a minute.

Defense Secretary Pete Hegseth last year pushed to transform the Army into an AI-powered force equipped with drones and 3-D printers to quickly spin up weapons components, and directed the service to buy more software and startup tech.

America's investments in such weapons, some of which date to the Biden administration, have slowly begun to change the way it fights. In Iran, a war that has relied largely on older and expensive systems, the U.S. also used an unmanned boat made by defense startup Saronic to rescue a stranded helicopter crew. A drone modeled on Iran's Shahed has been among the military's most successful low-cost offensive weapons. The drone, called Lucas, costs $10,000 to $55,000 a unit.

ETHAN SWOPE FOR WSJ

A soldier operates a drone controller during training at Fort Irwin in California.

Artificial-intelligence tools have also greatly accelerated intelligence analysis and target selection. The rapid evolution of the fighting in Ukraine shows how central such technologies will be to future wars.

But America's soldiers are still far from reaping the full benefits of cutting-edge autonomous weapons and AI systems, current and former national-security officials said. Transforming a land-based fighting force with a history of slow technological adaptation into a nimble organization that makes the most of new innovations has been difficult.

Startups' emerging new tech, most of which has never been to war, has at times proved to be too brittle in real-world applications, soldiers said. The Army is also in the throes of upgrading battlefield connectivity and communications.

Project Convergence brought 9,700 infantry soldiers to the desert for a 10-day, round-the-clock mock fight against an Army unit called Blackhorse, which stood in for China's People's Liberation Army. Media briefing materials billed the three-day July trip as a glimpse "inside the U.S. Army's AI-enabled battlefield" and an opportunity for leadership to demonstrate the use of AI apps, a data integration program, aerial and ground drones and sensor-loaded headsets.

In some of the moments meant to spotlight advanced technology on the battlefield, newly procured drones and developmental communication systems failed to perform as intended.

Soldiers flew drones during limited windows and for half the maximum flight time to conserve battery and avoid losing them, and without full autonomy or any AI to assist. Chinese consumer drones could do the manual job a decade ago.

The battle offered the familiar scene of legacy warfare: green-suited soldiers kicking in doors, screaming above gunfire, weighed down with weapons from last century.

An Army spokesman said the event was designed to allow for specific units to experiment with drones during pockets of fighting and learn about the tech, not to flood the airspace with autonomous weapons. The event was a way to "fact-check all the vendors that are coming to us" about the veracity of sales pitches from a crop of defense technology firms, said Alex Miller, chief technology officer to the Army's chief of staff.

The Army found during the exercise that the augmented-reality headsets referenced in its media invitation to Fort Irwin showed some deficiencies, and the service is uncertain if it would move forward with them, a senior defense official at the training event said. Three companies have won contracts each worth more than $100 million to build the headsets.

The Army spokesman said the headset program remains on track, and the three companies will continue to develop prototypes.

While much of the tech there had already been awarded sizable Army contracts, officials and soldiers involved described it as experimental rather than essential new weaponry.

"You take a piece of electronics and lay it out on a hot rock in 109 degree temperatures and try and make it work," said Lt. Gen. Michael McCurry, one of the Army leaders running the event. "We're seeing some of that."

An Anduril spokesman said its drone overheated and that it had previously been tested in hot and cold temperatures. Following soldiers' feedback, the company has prioritized making upgrades to improve the drone's performance in extreme environments, he said.

Theiss UAV founder Shawn Theiss said his drone typically launches within three minutes and that he received mostly positive feedback. Delays sometimes happen if soldiers aren't trained, or if the communications parts, made by a separate company, have glitches, he said.

Congressional probes and government oversight reports have found that the Army has wasted billions of taxpayer dollars on fumbled new weapons programs, and suffered from inadequate training and failures in cybersecurity and data management.

The Ukraine war brought the inadequacies into focus, bringing fully autonomous warfare to the battlefield with a tech proficiency that at times humbled the U.S. At battlefield drills in Germany this year, Ukraine's drone operators took out a U.S. armored brigade.

"The tech is moving so quickly that the U.S. military bureaucracy cannot keep up," said Jonathan Rue, a former deputy assistant secretary of defense who played a key role in getting new technology into the Army, and is now a partner at firm MVP Ventures.

Daniel Goure, a former military analyst with the Lexington Institute who has held numerous war college teaching positions and roles in the Defense Department, said the Army's history of modernization efforts are "almost unblemished by success." He blames a tradition of risk aversion and a hierarchical organization.

Still, upgrades like the Army's Next-Generation Command and Control system, used for AI-enabled planning and logistics, are a start. The system allows troops to move faster and in a more dispersed fashion over longer stretches of battlefield, Army officials say.

The Fort Irwin fighting climaxed with a predawn attack on a fabricated city, Razish, a relic of training for the wars in Iraq and Afghanistan. Stryker armored combat vehicles rolled down the hills. Smoke trucks attempted to obfuscate the view. Mortar rounds exploded and soldiers moved from one building to the next, firing blank bullets.

A swarm of five small drones was forced to turn back as three Black Hawk helicopters carrying senior Army officials flew into the same airspace, squandering a rare high-tech moment they had come to see.

"It'd be a very dangerous time for us just to hand over everything to technology," said Brig. Gen. Daniel Hibner, commander of the Army's Joint Modernization Command. "It's very much still a human endeavor."

Trump's Mystery Sailor

Continued from Page One

the world and first in its class, cost about $19 billion but had experienced myriad problems over eight years of construction as cutting-edge, but unproven, technology was installed on the ship. It was years behind schedule and billions of dollars over budget.

Trump seemed eager to apply his real-estate experience to the dazzlingly complex world of Pentagon procurement. He has said he grew tired of hearing excuses from the admirals and he wanted to hear from the people who operate the machinery.

"I said, 'Let me see the catapult people,' " Trump recalled during an April 2019 speech. "They said, 'Sir, you don't really want to do that?' I said, 'Yeah, those are the people that know what the hell they're doing.' "

Then it happened.

The president said a sailor told him the Navy was making a mistake by ditching the tried-and-true method of using steam catapults. The decision to use an electromagnetic system to launch planes faster and more efficiently was dooming the service to failure.

Trump has said the sailor told him if the electric catapults break you need geniuses from MIT to repair them, while the steam version can be fixed with a hammer and blowtorch. Industry officials said both descriptions vastly oversimplify things.

After the encounter, Navy officials scrambled to explain to the president why the technologies were chosen and why removing them would be extremely disruptive, according to former defense officials.

During a Thanksgiving call in November 2018 to sailors aboard the USS Ronald Reagan, an older Nimitz-class carrier with steam catapults, Trump asked the ship's commanding officer his opinion of steam versus electric catapults.

Then-Capt. Patrick Hannifin, now a three-star admiral in charge of naval forces in the Western Pacific and Indian Oceans, told Trump that while steam is reliable now, he preferred electromagnetic catapults.

When Trump pressed Hannifin that "you have to be Albert Einstein" to operate them properly, the captain responded: "You sort of have to be Albert Einstein to run the nuclear power plants that we have here as well, but we're doing that very well."

Trump said "that's actually a very good answer." The issue seemed to go away.

It came roaring back as Trump sought and won reelection. He mentioned Jones by name during a January 2024 rally in Mason City, Iowa. Then in February 2025, Trump brought up the electric catapults when he swore in Tulsi Gabbard to be the director of national intelligence.

There were rumors among industry insiders that Trump would sign an executive order telling the Navy to return to steam, but nothing happened—until this summer.

In August, Trump signed a national security memorandum directing the Navy to figure out the cost and timeline for installing steam catapults and hydraulic elevators in the ship currently known as CVN 81, expected to join the fleet in 2034.

The Navy isn't getting its Ford-class carriers fast enough, and must simplify their design by using time- and battle-tested technology, an administration official said.

It hasn't built a carrier with steam since the USS George H.W. Bush, which entered the fleet in 2009.

More problematic: "Steam catapults have been out of production for decades—no one makes them anymore," said Hunter Stires, the maritime strategist to former Navy Secretary Carlos Del Toro.

Since the order, Navy leaders have couched their public remarks.

"If we were to go back to steam and hydraulics with the elevators, we need to really understand the total cost of that," Chief of Naval Operations Adm. Daryl Caudle said at a conference in Reno, according to USNI News. "That will be a significant design change."

He said a February stress test of the Ford's electromagnetic launchers showed they outperformed their steam peers.

Analysts and industry insiders say the new system could be more effective for future warfare since it could launch bomb-laden aircraft and drones. Shipbuilding experts worry putting steam back on a carrier would put the Navy technologically behind China.

Acting Navy Secretary Hung Cao has warned officials not to question the president's decision.

Given the ship won't be completed before Trump is set to leave office, and Democrats are expected to gain control of at least one chamber of Congress in the midterms, the chance that a new ship with the old catapults actually joins the fleet drops significantly. Still, the Navy is steaming ahead.

"This could ultimately be a multibillion-dollar change that was resulting from largely this one sailor's interaction with the president," said Bryan Clark, a naval expert with the Hudson Institute, a Washington think tank. "Which is kind of crazy when you think about the level of impact a single person had."

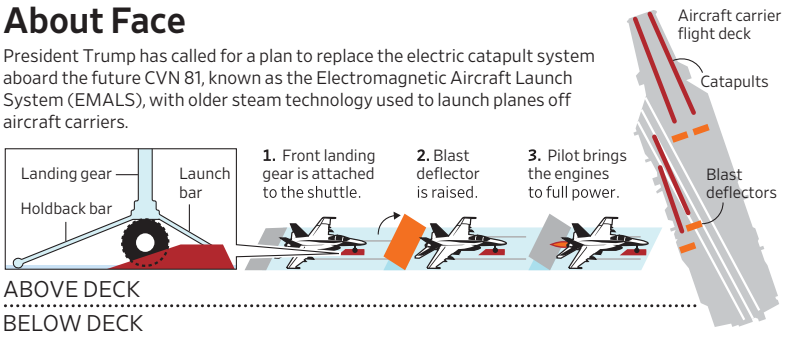
In an attempt to find the mysterious Bill Jones, The Wall Street Journal contacted current and former Navy officials, lawmakers, White House aides and industry executives.

No one who was contacted knows the sailor's identity.

A Navy spokesman said that without his date of birth or other identifying information, it "cannot accurately locate this Sailor in our records."

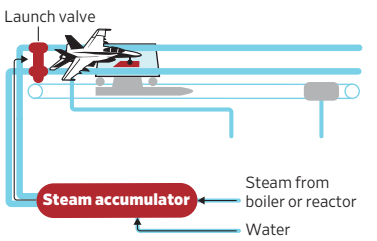
About Face

President Trump has called for a plan to replace the electric catapult system aboard the future CVN 81, known as the Electromagnetic Aircraft Launch System (EMALS), with older steam technology used to launch planes off aircraft carriers.



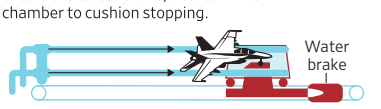
Steam catapult

1. Steam accumulator: Stores pressurized steam before release to the **launch valve**.

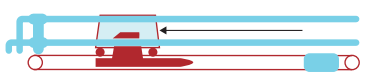


2. Launch valve: releases steam into the catapult, forcing the shuttle forward.

3. The shuttle: stops when its front piston enters the **water brake**, a water filled chamber to cushion stopping.

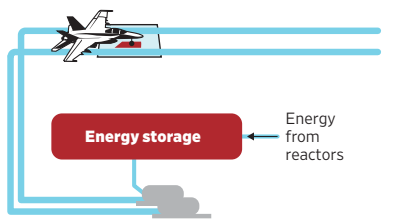


4. A cable and pulley assembly: pulls the shuttle back down the catapult for the next launch.

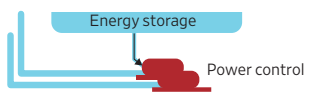


EMALS

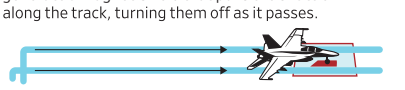
1. Energy storage: draws power over 45 seconds from the ship's two nuclear reactors. When needed, it's released in a 2-3 second pulse.



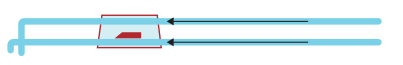
2. Power control: Converts the power surge and sends it to the rails.



3. Rails: Nearly 200 electromagnets along the rails generate a magnetic field that pulls the shuttle along the track, turning them off as it passes.



4. Electromagnetic forces: are reversed to return the shuttle to its starting point.



Note: Drawings are schematic
Sources: General Atomics; Globalsecurity.org; U.S. Navy

MERRILL SHERMAN/WSJ

WORLD NEWS

Drone Attacks on Ships Test NATO

European leaders accuse Russia of brazen assaults, but hold off on response

KYIV, Ukraine—Drones struck two commercial ships sailing just outside Bulgaria's territorial waters on Tuesday, posing a fresh test for NATO as the alliance confronts a growing number of suspected Russian attacks at its land and sea borders.

*By **Anastasiia Malenko**, **Georgi Kantchev** and **Daniel Michaels***

BULGARIAN INTERIOR MINISTRY/AP

A rescue operation took place at the Ukrainian-owned Chelsea 3 on Tuesday after it was hit by drones near Byala, Bulgaria.

Strikes on commercial vessels

Note: Markers show last transmitted positions.
Sources: MarineTraffic (positions); Institute for the Study of War (Russian forces)

DANIEL KISS/WSJ

The North Atlantic Treaty Organization is pressing its members to call out Russia for such attacks, when there is enough evidence to point to the Kremlin's involvement, while seeking to avoid a direct confrontation between the wider military alliance and Moscow.

Tuesday's strikes sank one of the vessels, leaving 11 people missing, officials in Bulgaria said.

NATO Secretary-General Mark Rutte said he had spoken with Bulgarian Prime Minister Rumen Radev but didn't apportion blame for the strikes.

Radev summoned the Russian ambassador over the incident, the second such assault on commercial shipping in the area in a week. In both cases, Radev said there was no conclusive evidence to blame a specific actor but that logic pointed to Russian involvement.

"The outcome benefits the Russian Federation," he wrote on social media. Ukraine blamed Russia for the attack, which Radev said struck a Ukrainian-owned vessel, the Chelsea 3, with three aerial drones.

Russia's Ministry of Defense didn't respond to a request for comment.

The spate of attacks abutting NATO's maritime borders marks a new phase in the conflict in the Black Sea, one of the world's most important shipping corridors.

As a defensive alliance, NATO plans—for now—to let its member states take the lead on the response to attacks that don't encroach directly on its territory, NATO officials said, rather than retaliating as a bloc.

The approach is designed in part to avoid the alliance being lured into triggering Article 5, which would compel its members to come to the aid of the one under attack and risk dangerous escalation. Still, the latest attacks have presented a test of how restrained the alliance is prepared to be.

The bloc plans—for now—to let its members take the lead on any response.

NATO airspace in Europe has become an active front line this year, as drones detected over its territory have been shot down using NATO jet fighters. More than a dozen members of the alliance reported airspace incursions or finding remnants of drones on their territory this summer.

Rutte said the bloc would continue to work closely with allies in the Black Sea. "We have already strengthened our posture along the eastern flank and will continue to monitor the security environment, adjusting our deterrence and defense posture as needed," he wrote on X.

The Tuesday attack saw three aerial drones strike the deck and side of the Malta-flagged Chelsea 3, some 18 nautical miles east of the Bulgarian shoreline, Radev said. A video released later by authorities showed how, just before dawn, a Bulgarian border-police vessel pulled alongside the stricken vessel, battling rough seas. All 15 crew members, seven Ukrainian and eight Azerbaijani nationals, were transported to safety in the Bulgarian port of Varna, Radev said.

Another vessel, HS Dignity, which was struck 17 nautical miles east of the Bulgarian shore, sank, with five people rescued and 11 crew members still missing, authorities said.

In his address to the Warsaw Security Forum on Monday, Ukrainian President Volodymyr Zelensky warned European leaders about the persistent threat of hybrid attacks for their countries.

Pope Leo Diagnosed With Lung Cancer

By Victoria Albert And Margherita Stancati

Pope Leo XIV has been diagnosed with lung cancer, the Vatican said, following a procedure that removed part of the American pontiff's right lung.

Doctors diagnosed the 71-year-old pope with lung adenocarcinoma, a common type of lung cancer, the Holy See press office said on Tuesday. The diagnosis was suspected by preoperative tests, his doctors said.

The operation to remove part of his lung lasted about 90 minutes. Doctors said it was successful and there were no complications. The surgery took place at Rome's Gemelli hospital. where pontiffs have been treated over the decades.

Adenocarcinoma is a type of non-small-cell lung cancer, which is the most prevalent kind of lung cancer. Non-small-cell lung cancers typically grow more slowly and often don't cause symptoms until they are advanced, according to the Centers for Disease Control and Prevention.

Leo has been candid about his health. At his weekly blessing on Sunday, the pope said doctors recently found a small, localized nodule in his lung. He said the nodule was detected at "a very early stage," and that his doctors had recommended surgery to remove it.

U.K. Spy Agency Confronts Hybrid War With Russia, Iran

By Max Colchester

LONDON—The U.K.'s domestic-intelligence agency is devoting more resources to countering state threats than during the Cold War, as Britain looks to fend off escalating hybrid attacks from Iran and Russia.

MI5 Director-General Ken McCallum said the country "had entered a new era of national security" as intelligence services face growing risks that extend far beyond the traditional threat posed by Islamist terrorists.

"These days, our terrorist and state threats operational missions are pretty much of equal scale: That in itself is a huge shift across recent years," he said.

The shift in priorities shows how Russia's war in Ukraine, the U.S. war with Iran and advances in AI are forcing Europe's security architecture to counter more threats.

McCallum's comments came after the U.K. said Iran's Islamic Revolutionary Guard Corps was likely behind a foiled plot to target RAF Fairford, an air base used by the U.S. military to launch bombing raids on Iran. Seven men have been taken in for questioning in relation to the incident and subsequently released on bail.

JONATHAN BRADY/PRESS POOL

MI5 chief Ken McCallum said the country 'had entered a new era of national security.'

The U.S. flew its bombers out of Fairford, with senior U.S. officials saying they had intelligence of a wider Iranian plot to use drones and other devices to target personnel on the base. A probe is under way, but U.K. officials don't believe Iran has the capabilities to launch such an elaborate attack on British soil. Iran has denied it was behind a plot to attack the base.

McCallum declined to provide specific details on the Fairford attack, as police continue to investigate the incident.

He said Iran normally uses criminal proxies—recruited online—to do its bidding in the U.K. and that their level of sophistication wasn't high. He added, however, that Iran had successfully targeted other military sites in the Middle East, so the U.K. would be "foolish" to completely discount a similar attack on British soil.

He also said Iran was clearly stepping up its hybrid attacks against the U.K., most of which have until now been focused on Jewish sites and dissidents of the regime in Tehran.

"2026 has also seen the Iranians, like the Russians, attempting to expand their hybrid campaign. Over the last 12 months, our Iran-linked operations have led to more than 50 arrests in the U.K," he said.

More broadly, McCallum painted a somber picture of how AI and social media were expanding the range of threats that could be deployed against Britain and the West—which extend from state-funded attacks to teenagers self-radicalizing in their bedrooms and foreign bots sowing division in communities.

Hostile states aren't simply trying to target infrastructure to disrupt key services but also more broadly cause division and fear in societies, using social media as a loudspeaker to then amplify their actions, the British spy chief said.

"Our adversaries are not just trying to mess with our infrastructure, they're trying to manipulate how we feel," he said.

A significant unknown is how AI will shape that battle. McCallum said he was concerned about AI being used to create personal content tailored to radicalizing specific individuals, or help terror groups plot their attacks. Another worry was if terror groups were able to use the technology to obtain bioweapons, he said. The U.K. is launching a new AI threat-assessment center to get a better handle on the risks the technology presents.

Despite Iran's increased activity, Russia remains the country's No. 1 hostile state threat.

Moscow has orchestrated sabotage attacks across Europe since invading Ukraine, often using unwitting recruits hired via social media. In September, a man was charged in the U.K. for preparing a sabotage attack on a drone factory.

"It's no accident that Russian aggressors are trying to unsettle other European homelands at a time when their military progress in Ukraine is minimal and horrifically costly," McCallum said.

Houthis Are Using Chinese Parts In Bid to Build Advanced Missile

By Laurence Norman And Benoit Faucon

Houthi militants are attempting to produce their own advanced midrange ballistic missiles using Chinese-delivered parts, a new report shows, a technological advance that would raise the threat posed by the Iran-backed group.

The Yemeni rebels received from a Chinese supplier a range of components needed to make a version of one of Iran's most powerful weapons, the Kheibar Shekan Iranian precision-guided missile, said the report by Conflict Armament Research, a group that works in conflict zones and reports on the use of weapons and their supply chains. The Houthi missile would have a range up to about 1,200 miles, putting all of Saudi Arabia and Israel within reach.

Iran used the Kheibar Shekan—a cheap, mobile, precision weapon first displayed in Tehran in 2022—against U.S. bases with some success during the war with the U.S. last spring, The Wall Street Journal has previously reported.

The Houthis have ramped up attacks on Saudi Arabia in recent weeks in a bid to break a Riyadh-led blockade. The attacks, along with Iran's continued hits on commercial vessels in the Strait of Hormuz, have pushed oil prices higher and angered President Trump.

On Tuesday, Trump said the Houthis were behaving "very badly" in a post on his Social Truth platform.

The Conflict Armament report—viewed by the Journal before publication—was based on information from Yemeni authorities in July after officials interdicted two shipments last year, which included the missile equipment hidden among a range of other goods.

"When you have imports like that, there is a possibility that they are already manufacturing or that they are trying and it doesn't really work out," said Fabian Hinz, senior analyst at Conflict Armament. He said the Houthis weapons facilities are so well camouflaged that it is unclear how far along missile production has proceeded.

The Kheibar Shekan is more effective than other Iranian-made missiles because of its ability to maneuver out of the way of air defenses.

In some variants, the nose section carrying the explosive warhead detaches during the final phase of flight and uses a small engine to adjust direction as it nears its target at 6,000 miles an hour, analysts and officials said.

The Houthis have become more autonomous and capable of producing their own weapons after years of being dependent on Iran and its Lebanese ally, Hezbollah, said Mohammed al-Basha, founder of Basha report, a Washington-based risk-advisory firm. Tehran had long shipped in missiles for the Houthis to reassemble and use.

"They have developed domestic manufacturing capabilities with artificial intelligence for drone and missile softwares, diversified their supply chains, accumulated operational experience, and established relationships with regional smugglers and international procurement networks," Basha said.

ATTA KENARE/AFP/GETTY IMAGES

A deactivated Kheibar Shekan ballistic missile is displayed in Tehran's Bahrestan Square.

The Houthis, a U.S.-designated terrorist organization under a United Nations arms embargo, have expanded their links in recent years with China and other suppliers.

Chinese companies are now the biggest source of seized goods bound for the Houthis, according to U.N. reports and data gathered by arms experts. Most of the Houthis' drone-parts suppliers under U.S. sanctions are based in China, the data show.

Henry Thompson, a former expert on the U.N.'s Yemen sanctions panel, said there is evidence that the Houthis have been importing components for solid-fuel ballistic missiles from China for at least two years.

With midrange ballistic missiles, "the Houthis can reach deep into Saudi Arabia with a bigger payload than cruise missiles and drones," he said. "They are going to be a more potent threat."

China says it is respecting the U.N. ban on arms sales to the Yemeni faction.

U.S. Defense Startups Flock to Taiwan

Firms want to build uncrewed boats and aircraft using a non-China supply chain

By Joyu Wang

KAOHSIUNG, Taiwan—Since former U.S. Navy flight officer Paul Lwin founded defense startup HavocAI in Rhode Island in 2024, he has seen Taiwan as an island of opportunity.

Lwin designs software to manage autonomous maritime fleets—the kind of drone defense that Taiwanese military planners dream of as they assemble deterrence against a Chinese invasion.

"If we can help Taiwan build thousands of these autonomous boats, it could protect Taiwan," he said. "It could prevent a war from breaking out."

U.S. drone-tech startups such as HavocAI are swarming into Taiwan and—with the encouragement of U.S. government matchmakers—finding partners who can help them turn blueprints into reality.

The emerging industry has the potential to serve the U.S. military's demand for a secure drone-supply chain that steers clear of China, while providing Taiwan with an arsenal that it sees as essential to its survival as a self-ruled democracy.

U.S. startups working with Taiwan on sea and air drones range from small defense-tech firms to Anduril Industries, an arms supplier to the Pentagon and the Taiwan military whose drone contracts with Taipei have passed the $1 billion mark. At least 13 U.S.-Taiwan collaboration deals have been signed since September 2025.

For the U.S., making drones domestically is a policy priority. "Our overt preference is to buy American," Defense Secretary Pete Hegseth said last year as he introduced Drone Dominance, a $1.1 billion Pentagon program to buy small, lethal drones.

However, "not everything can be made in the United States today," said Trent Emeneker, who previously led the Blue UAS Project, the Pentagon program responsible for vetting secure drones and parts. "Anything that can be done to build the supply chain up outside of that mainland Chinese ecosystem, it's a good thing," said Emeneker, who runs a drone-training startup.

ANN WANG/REUTERS

A sea drone participated in a test ride in the waters off Taiwan's Wushi coast in 2025.

Taiwan's government spurred a gold rush in August when it allocated more than $7 billion to spend on drones over the next six years, driving new deals and breathing life into partnerships that were established when the budget was still on the horizon.

Officials in Taiwan see establishing a full-fledged domestic drone industry as vital to deterring China from using force to try to seize the island, which it considers to be its territory.

The urgency has grown as President Trump withholds approval for the sale of $14 billion in arms to Taiwan. Supporters see defense-industry collaboration as a way to strengthen ties between Washington and Taipei, amid worries that the U.S. is no longer willing or able to help the island defend itself.

The partnership strategy emulates the "you design it, we'll build it" model championed by **Taiwan Semiconductor Manufacturing**, the powerhouse of the island's economic growth.

Taiwan was transformed into a global manufacturing hub in the 1970s, well before it became known as the source of the world's semiconductors. It has built a reputation as a nimble contract manufacturer supported by a network of local industries.

"American companies are already coming to Taiwan to find R&D partners and build out their drone supply chains," Raymond Greene, director of the American Institute in Taiwan, the de facto U.S. embassy, said in a speech this summer.

These partnerships represent progress in building a so-called "non-red" or "democratic" supply chain that can serve both Taiwan and the Pentagon.

Most parts that Taiwanese vendors are making for Anduril are for products not made for use in Taiwan, said Anduril cofounder Palmer Luckey.

"My business interest is maybe 'designed in the U.S., made in Taiwan,' or 'designed collaboratively and made in Taiwan,' " Luckey said in a small group interview in Taipei. But Taiwan "needs to design its own weapons systems and manufacture its own weapons systems at scale" to face Chinese threats, he said.

The National Chung-Shan Institute of Science and Technology, the R&D arm of the Taiwanese military, signed a coproduction deal last year with Anduril to manufacture the U.S. company's Barracuda 500 cruise missiles and underwater drones in Taiwan. It was one of six agreements NCSIST signed the same day with Western companies, including a plan with Northrop Grumman to explore collaboration on air and missile defense modernization for Taiwan's Defense Ministry.

At the end of last year, Congress directed the Pentagon to establish a joint drone program with Taiwan.

"The longer-term U.S.-Taiwan collaboration may have significant benefits to American defenses," said Rupert Hammond-Chambers, president of the U.S.-Taiwan Business Council.

The partnerships also could supply U.S. forces overseas. This could be particularly valuable for U.S. Pacific Command, which operates thousands of miles from the U.S. mainland, where "Taiwanese production can fill a need that does exist," Emeneker said.

Shipbuilder Signs Pact In Rhode Island

Chen Jeng-horng, chairman of Taiwan's largest shipbuilder, CSBC, saw the rush of Western startups after Taiwan's Defense Ministry said in December that it needed 1,320 one-way surface drones—uncrewed attack boats that blow up when they reach their target. The navy later requested $930 million during a six-year period.

CSBC has been inundated with potential collaborators offering drone technology and in need of shipbuilding know-how. "If they want to expand their business, Taiwan is the next major client."

While Taiwan excels at shipbuilding, it lacks the technology to remotely control a large number of uncrewed systems across land, sea and air, he said.

Chen and other CSBC executives spent more than six months vetting about a dozen U.S. and European firms for partnerships to compete for the navy's drone-boat contract.

They toured the U.S., checked out product demos at sea and met with executives, ultimately picking HavocAI. Chen flew to Rhode Island last month to sign the deal.

WORLD WATCH

SOUTH KOREA

At Least Eight Stabbed at Mall

A 59-year-old man stabbed at least eight people Tuesday at a shopping mall in the city of Incheon, said police and fire officials.

One victim was in life-threatening condition.

The suspect attacked shoppers as he moved through the mall before business owners and bystanders subdued him, said police and witnesses. The man has a history of violent offenses and mental illness, and was required to wear an electronic monitoring anklet, said the Justice Ministry.

The man's name wasn't released, in keeping with South Korean practice for most criminal suspects.

—Associated Press

UKRAINE

Allies Didn't Warn Kyiv, Zelensky Says

Ukraine received no early warning from its partners about five Russian ballistic missiles that hit civilian infrastructure in the capital Kyiv, President Volodymyr Zelensky said Tuesday, as tensions rise between him and President Trump.

Zelensky didn't specify which partners he was discussing. He said getting intelligence from partners about attacks is "one of the most critical issues."

"This is precisely what helps prevent people from being killed—when there is an early warning about ballistic missiles," he wrote on X.

Trump said the U.S. hasn't stopped sharing intelligence with Ukraine. "We are helping them, and we are sharing intel," Trump said.

Zelensky's remarks came days after Trump unleashed biting criticism of him.

Kyiv continues to rely heavily on Washington for military assistance, including U.S.-made Patriot missile-defense systems and intelligence.

—Associated Press

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North Korea Flaunts Missiles That Can Reach U.S. Mainland

By Dasl Yoon

SEOUL—At his cavernous new National Defense Revolution Museum, North Korean leader Kim Jong Un strolled by long-range weaponry able to strike the U.S. mainland. He was joined by his wife, young daughter and powerful younger sister.

The tour, publicized by North Korean media on Tuesday, was the latest sign of how Kim views his country's missile program as crucial to his regime's survival, even as President Trump proposes reviving their leader-to-leader talks.

Pyongyang has said its status as a nuclear state is irreversible, and has given Washington the cold shoulder. Talking to reporters on Monday, Trump, alluding to an Asian trip in November to attend a regional economic conference, again floated the prospect of a get-together with Kim.

"I may," Trump said. "That'll be exciting, won't it?"

Kim, by contrast, continues to showcase his country's military might. His military museum features North Korea's newest hardware, from attack drones to battle tanks to the Hwasong-20 intercontinental ballistic missile. The ICBM is designed to reach the U.S. mainland and carry several warheads, but hasn't been test-launched yet.

During his visit on Sunday, Kim vowed the facility would be "further expanded and enriched," according to the Tuesday report in North Korean state media. He also called for North Korea's arsenal to be developed in a "more strenuous manner."

Kim won't curb his nuclear program, and has given Trump the cold shoulder.

North Korean state media didn't specify where the museum is located or if it would be open to the general public.

Other displays included Pukkuksong submarine-launched ballistic missiles, a hypersonic short-range missile and smaller cruise missiles.

Trump, during his first term, met Kim three times. But the U.S. and North Korea haven't held formal nuclear talks in roughly seven years. Pyongyang has refused to engage with Washington, and more recently has made clear that surrendering its nuclear program would be a deal breaker for future talks.

At the United Nations General Assembly in September, the U.S., Japan and South Korea issued a joint statement committing to North Korea's denuclearization. North Korea's foreign minister said the nukes will "remain unchanged forever."

Pyongyang's unyielding posture reflects growing leverage that comes from its partnership with Russia. North Korea has been profiting from exporting arms and troops for Russia's war against Ukraine, empowering Kim to ignore U.S. overtures to resume diplomatic talks.

Shielded by Russia's diplomatic backing at the U.N., Kim has focused on modernizing his military and increasing missile production.

North Korea has shipped about 33,000 containers of munitions to Russia, including shells and missiles, Seoul officials said in March.

KCNA/AFP/GETTY IMAGES

North Korean leader Kim Jong Un tours the new National Defense Revolution Museum.

In China, a Battle Rages for the Soul of Tibet

Tourist boomtown is selling visitors a sanitized version of the local culture

By Jonathan Cheng

GILLES SABRIÉ FOR WSJ

Han Chinese tourists pose in faux Tibetan get-ups amid imitation Tibetan prayer flags at a park in Shangri-La, China.

SHANGRI-LA, China—When China's masses want to experience the Tibet of chanting, crimson-robed monks and prayer flags flapping in the wind, they don't go to Tibet.

Instead, they flock to Shangri-La, a tourist boomtown in the neighboring province of Yunnan, where Tibetan culture is denuded of many of its religious elements—and any trace of the Dalai Lama's influence—and sanitized for the country's ethnic Han majority.

Here, the narrow alleys of the old market town are packed with Han Chinese tourists in faux Tibetan costumes, who repurpose ancient monasteries as backdrops for social-media glamour shots.

They throng to a hilltop temple to turn the 69-foot-tall golden prayer wheel, once the world's largest. Others head to the 350-foot-tall Buddhist stupa that local officials added five years ago—conspicuously designated as a "nonreligious site."

Communist Party officials in Beijing are well aware of the romantic appeal of Tibetan culture, both in the West and among its own Han citizens. With the Dalai Lama—the famous monk reviled by Beijing as a separatist—in his 90s, a fight for control of Tibetan Buddhism looms.

Since fleeing to India in 1959, he has been the center of a global Tibetan resistance movement to Chinese policies that he warns seek to "overwhelm" Tibet's distinct identity.

The battle for hearts and minds is being fought in places like Shangri-La, where a highly commodified, and politically palatable, version of Tibetan culture is presented to ordinary Chinese people.

It is working.

Even local Tibetans feel they have little choice but to join in. Outside of tourism and picking matsutake mushrooms, there are few other sources of wealth in this rugged, historically impoverished corner of China.

Fading culture

After years of policies designed to more closely integrate China's minorities into the Han-dominated mainstream, many ethnic Tibetans say feelings of a separate identity are quickly disappearing, with the monasteries deprived of young devotees and many Tibetans struggling to read or write the language.

Chimi Lhamo, an ethnic Tibetan makeup artist working in one of Shangri-La's hundreds of costume photography studios, is torn about the tourist waves that have transformed her hometown.

"It's all fake, but what can we do?" she said.

Lhamo is quick to tout the economic benefits of the tourist boom that started in 2001, when local officials rechristened the city—then known as Gyalthang, or Zhongdian in Chinese—after the mythical paradise in James Hilton's 1933 novel "Lost Horizon."

Within years, the city was pitching itself as an untroubled utopia in the Himalayas, where wisdom and tranquility could be found. Up went the oversize prayer wheel, followed by the oversize stupa.

Lhamo, who was born in the city in 1997, a few years before its tourist-minded rebranding, still remembers when it was a one-stoplight town, poor and isolated.

"Economic growth is a good thing," she said. "I don't begrudge it."

While Western tourists had begun to come to Shangri-La decades earlier, the domestic tourist boom began after Covid-19-era lockdowns left China's growing middle class grappling for a sense of escape and meaning. Today, there are at least 300 costume photography studios in Shangri-La, a city of fewer than 200,000 people.

Lhamo, who once owned her own costume studio before taking a job doing makeup for a studio run by a Han Chinese woman from outside Shangri-La, insisted on ensuring that some authentic Tibetan costumes were on offer.

She soon learned that customers weren't interested. "The most important thing is that it looks good in pictures," she said. "A lot of customers will ask me if I would wear these costumes, and I tell them bluntly: 'I would never wear this.' "

In a society where allegations of cultural appropriation are largely absent, tourists wander the old city in costume with hired photographers in tow, posing in mock prayer or spinning hand-held prayer wheels at the city's centuries-old Ganden Sumtseling Monastery.

Tough destination

The Tibet Autonomous Region, which has been under Beijing's control since 1951, is the only region in China that requires an extra travel permit for foreigners—and is one of the most tightly controlled in general, given the political sensitivities around the Dalai Lama.

For Chinese people, traveling there is prohibitively difficult. Lhasa, the seat of the Potala Palace and for centuries the capital of the Tibetan kingdom, is one of the world's highest-altitude cities.

Even Dakpa Kelden, founder of Arro Khampa, a chain of eight luxury boutique hotels in Yunnan and other historically Tibetan areas, wonders if the tourist hordes have gotten out of hand.

Kelden, a 56-year-old former monk born in India to Tibetan exile parents, moved to China in 1987 as a teenager. Despite his success selling Tibetan culture to outsiders, he remains conflicted.

"Economically, it's good, but overall, I'm not so sure," Kelden said. The Tibetan culture on display in Shangri-La is mostly "an imaginary view of Tibet."

Kelden, with roughly half a million followers on the domestic Chinese counterpart of TikTok, said he is countering the imagined Tibet with an embrace of traditional Tibetan ways, with Buddhist singing lessons and classes where visitors can try their hand at painting the religious murals known as *thangka*.

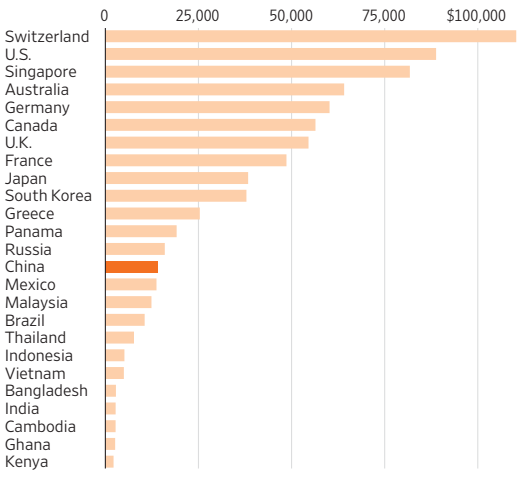
But Tibetan culture itself is changing. Nomadic life is on the decline, and material gains in the larger cities—with better education and healthcare—are eroding interest in traditional ways.

By sidelining the Dalai Lama, while foregrounding more-benign markers of Tibetan identity, such as costumes and stupas, Beijing is seeking to reshape what it means to be Tibetan—and to refashion it in a way more palatable to its rule.

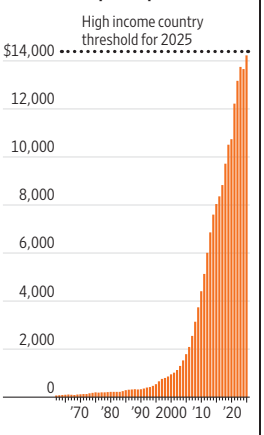
Before Covid, said Lhamo, the Tibetan makeup artist, locals operated most shops and restaurants in Shangri-La. Now, it is mostly outsiders bringing in cookie-cutter tourist attractions from elsewhere.

"We are the closest they can get to the real Tibet," she said. But "it's very hard to get the real thing."

Gross national income per capita, 2025



China's GNI per capita



Note: Each year's income is measured in current U.S. dollars using the Atlas methodology.
Source: World Bank

Beijing Doesn't Want to Join Ranks of Developed Countries

By Hannah Miao

BEIJING—China is on the cusp of becoming a high-income country by the World Bank's classification. But Beijing would rather not be grouped with the world's wealthy nations.

As the U.S. and China battle for influence, Beijing has presented itself as a champion of Global South nations in Latin America, Africa and Asia. And it benefits from its current status in international groups as "developing," including by not having to contribute to some global funds to fight climate change.

"China will always be a member of the Global South and the developing world," leader Xi Jinping said in a video address at a United Nations event in 2024.

Nonetheless, China is likely to reach the high-income category for 2026 when the World Bank releases its calculations next July.

The bank defines its categories using gross national income—the total money earned by a country's residents and businesses both domestically and abroad. It translates other currencies into dollars using a method to smooth out exchange-rate fluctuations.

For 2025, the World Bank measured China's GNI per capita at $14,230, just below the high-income threshold of $14,375.

The high-income threshold is likely to rise to $14,554 for 2026, meaning China's GNI per capita would need to grow by 2.3% to cross it, well below its historical growth rate, according to an analysis by Philip Schellekens, chief economist for Asia and the Pacific at the United Nations Development Program.

$14,230
China's 2025 gross national income per capita, as measured by the World Bank

"High-income" by the World Bank's definition doesn't necessarily mean rich as Americans would perceive it. Last year, U.S. gross national income per capita was $88,810.

Each international body has its own system for classifying nations. The International Monetary Fund calls China an emerging and developing economy. The U.N. also calls it developing.

The World Trade Organization allows countries to self-designate, and China puts itself into the developing category.

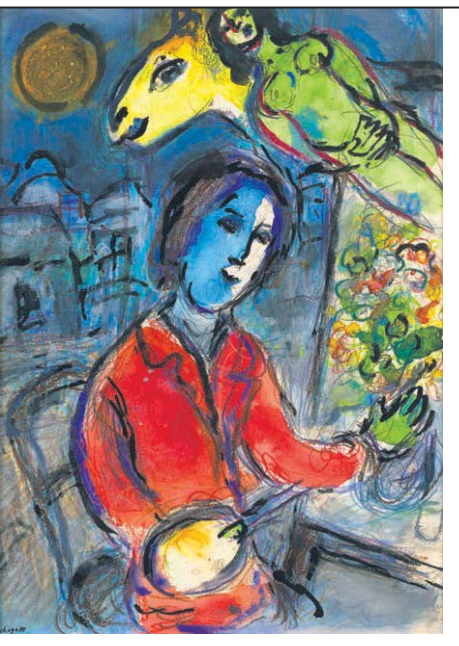
"I'm tempted to believe China will do its utmost not to be classified as a developed economy," said Alicia García-Herrero, chief economist for Asia Pacific at the French bank Natixis.

By the World Bank's definition, China became an upper-middle-income country in 2010, when it also surpassed Japan as the world's second-largest economy by gross domestic product.

"It's just amazing how China managed to climb up the income ladder so quickly," said Schellekens, the U.N. economist.

In a nod to the reality that it is the world's largest exporter with an annual trade surplus topping $1 trillion, China said last year it wouldn't seek to use its developing status to get special treatment at the WTO, such as longer time periods for implementing agreements.

The World Bank, which doesn't use developed or developing country labels, has said it would phase out loans to China by 2031. Its annual lending to China fell to $750 million in 2025, down from $2.4 billion in 2017.



DREAMS IN COLOR
MARC CHAGALL

Modern master. Signature subject. Vibrant color.

This self-portrait captures Marc Chagall at work within the dreamlike world that made him one of modern art's greatest masters. The artist is surrounded by signature motifs including flowers, a floating nude, a goat and the rooftops of his hometown village, Vitebsk. Circa 1960. Stamped "Chagall" (lower left). Pastel, India ink and graphite on paper. 16½" x 11½" (Frame: 33" x 28"). #32-2450

Learn more about this painting

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FROM PAGE ONE

Car-Free Park Drives Backlash

Continued from Page One

erasing, they said, an oasis with amenities like skateboard ramps, an outdoor gym and playground equipment. Cyclists use one side of the four-lane highway while pedestrians stroll the other, often with pelican formations flying overhead.

"There is no reason to demolish a park that families across San Francisco love," Stoppelman said in a statement, adding that he enjoys going there with his children.

Lucas Lux, 40, a tech-company lawyer and president of Friends of Sunset Dunes, a community group that has led the park effort, called it "a rare place in a city where kids are safe enough to learn independence."

The fight in San Francisco mirrors friction nationwide in cities that have increasingly installed bike lanes and converted streets to pedestrian use. Europe pioneered the "pedestrianization" movement decades ago, and it accelerated in the U.S. during the pandemic, becoming wildly popular with many, while critics said it often just shifts congestion elsewhere and makes it harder to get around.

San Francisco has been a leader in removing cars from streets, closing a portion of Market Street, its downtown main artery, along with roads in Golden Gate Park and the scenic lookout Twin Peaks in recent years. Upper Great Highway joined the list after crowds flocked to a pandemic-era pilot project that temporarily banned cars on weekends, starting at noon Fridays.

Jeff Daniel, 57, who lives nearby, later joined residents pushing to make the ban on cars permanent and create a recreation space. Voters agreed in November 2024, with 55% support, and the new park, Sunset Dunes, opened in April 2025, named for the impressive sand dunes lining Ocean Beach, one of the nation's premier big-wave surfing spots. The city called it "the largest pedestrianization project in California's history."

"Sunset Dunes acts as a public commons," said Daniel, a music entrepreneur.

But many residents said the 2024 ballot measure came about too hastily with too little outreach to neighborhoods that relied on the Upper Great Highway as a main artery. While city traffic data show a negligible increase in driving times, many residents tell a different story, and they fear scheduled construction projects will make things worse.

GODOFREDO A. VÁSQUEZ/ASSOCIATED PRESS

Upper Great Highway in San Francisco became Sunset Dunes park last year. A ballot proposition would reopen it to cars.

"It takes a good 15, 20 minutes longer on average to get through the neighborhood and to and from the freeway to my mother's house in San Carlos," Jennifer Dougherty, a 55-year-old pet sitter who lives a block from the closed highway, said by text. "There are speed bumps and arterial stop signs everywhere."

Joanie Landon, 85, said it previously took eight minutes to travel by car from her home to a thermal pool for her arthritis therapy on the other end of the highway. But the trip is now at least 25 minutes, she said, prompting her to cut her sessions from five days a week to three. "It's very stressful when you get to this age," the retired daycare provider said.

The disruptions so upset her neighbor Richard Corriea, a retired San Francisco police commander, that he helped lead the effort to restore the route. "These are real people out here and they're suffering," he said.

The faction organized the 2025 recall of a Sunset district supervisor who backed the closure, and its members collected nearly 16,000 signatures to put Proposition G on next month's ballot.

On the promenade, views mostly ran pro-park one recent day. "Like a dream come true," said skateboarder Kyle Martin, 37, between ramp jumps.

'I didn't think the competition would be so fierce,' says Jeremy Li, above. Dali, right, has become a magnet for Gen Z drifters.

GILLES SABRIE FOR WSJ (3)

China's Gen Z Is Losing Hope

Continued from Page One

lions into the precarious gig economy, while others buckle under a cutthroat work culture.

A weakened economy has shrunk the job market, just as record numbers of college graduates are looking to start their careers. The rapid adoption of AI is adding to the uncertainty.

Many top employers, including tech giants Alibaba and ByteDance, have been quietly cutting staff. Although the companies aren't publicly blaming AI, the technology has been a factor, people familiar with the matter say. Other industries, from filmmaking to finance, are using AI to scale back hiring.

Beijing has gone all in on the technology, urging companies to rapidly embrace AI to make the economy more competitive. But there are signs officials are also growing concerned about the impact on social stability. They've warned employers not to cut jobs as they adopt AI, people familiar with the matter say.

The warnings came after Vice Premier He Lifeng polled China's biggest employers last year, and some estimated AI could wipe out 30% or more of their existing roles, the people said. He seemed shaken by the responses, one said.

As job losses pile up, the typical milestones of adulthood—financial independence, a stable career, marriage, parenthood—are feeling out of reach for much of Gen Z.

The urban jobless rate among 16- to 24-year-olds, excluding students, stands at roughly 19% as of August, compared with about 9% among the same age group in the U.S. It's 7.5% for those aged 25 to 29, compared with 5.3% in the U.S., and above China's overall unemployment rate of around 5%. Wage growth has stagnated.

For now, the mood is more resignation than anger, especially with many parents pitching in to help with living costs. But there's a risk young people's disillusionment could harden into something more dangerous for the Communist Party, like unrest. It could also have broader implications for China's future.

Struggling to start

Faced with an uncertain outlook, young people are delaying marriage. The birthrate has plummeted. Some Gen Z are simply checking out, living off savings. Earlier this year, the country's intelligence agency warned young people to resist "lying flat," a buzzword for doing the bare minimum.

Zhang Tian, 27, said her mother wants her to have a stable job, get married and have children. But she and her boyfriend of five years are nowhere near thinking of settling down. They're struggling just to get careers off the ground.

Zhang studied landscape architecture. It seemed smart given China's booming real-estate market. Around the time she graduated in 2021, the property bubble burst. About six months into her first job at a real-estate developer in Hangzhou, she was laid off. She eventually landed a role in Shanghai as an administrative assistant, but her salary—roughly $1,200 a month—was lower than before. Late last year, she lost her job again.

"Dating and being in a relationship is an emotional matter, but getting married and having kids is a financial one," said Zhang. She and her boyfriend, Cheng Ming, plan to study AI in hopes of finding tech jobs. But that sector is unstable, too.

Cheng, after getting laid off from two real-estate firms, started taking online classes to learn about software. He landed a role in sales at a small tech company—only to see the firm go bankrupt. He was laid off yet again in April. "Inside, there's a feeling of being weighed down by society," Cheng said, "a sense of resignation."

'Fairly bleak'

The central problem is that China isn't creating enough stable, high-paying jobs.

Overall economic growth has been weak in recent years, expanding at a significantly slower pace than before the pandemic. Although a few industries favored by Beijing, such as robotics, are booming, their labor needs are limited. Muted consumer demand across China's economy has further cut into hiring as companies struggle to eke out enough profit to hire or raise wages.

"This generation is looking at a fairly bleak situation," said Fred Neumann, chief Asia economist at HSBC. "It's not clear where high-paying jobs will come from."

After graduating from college in 2021, Jeremy Li got his first job at a film company relatively smoothly. He went back to school for a master's in media and communication, hoping it would give him greater opportunity for career growth. But by the time he graduated in January, the job market had gotten much tighter.

Li, 28, estimated he has applied for roughly 100 jobs since he started his hunt last fall. He hasn't landed a suitable one yet.

He turned down two roles because the pay was low, around $11,000 a year, and he would have had to move far away. For a different job at a major news agency in Beijing, he made it through two writing tests and two interviews to become a finalist, but didn't get the offer.

Li has been living with his parents. "I really want to find a job and have my own financial means so I don't have to rely on my parents," said Li. "I didn't think the competition would be so fierce."

Overall urban employment is about 7% lower than it would have been if pre-Covid job-growth rates had held steady—a shortfall of roughly 37 million jobs, according to an analysis by Steven Barnett, an economics professor at the University of Hong Kong and former China division chief at the International Monetary Fund.

Some economists believe the picture is even gloomier than official statistics suggest. Li Daokui, a professor at Tsinghua University, estimated that China's broad unemployment rate is about 10% when factoring in people who've been unable to find work for at least two years and are left out of official data.

AI threat

In the long run, AI has the potential to help China's economy. The country's shrinking population means it eventually might not have enough people to do all the work that needs to be done. Automation will help.

The trouble is the timing: AI is coming on fast, when there are still too many young people looking for steady employment, often at entry level.

A study by ShanghaiTech University analyzing 700 million job postings from five major Chinese recruitment platforms between 2022 and 2026 found that AI has reduced hiring demand the most for entry to midlevel workers with one to three years of work experience.

Technology is even starting to threaten some of the part-time gigs young people have turned to in lieu of more stable professional work, such as ride hailing, food delivery and livestreaming. The total number of people in these kinds of flexible roles, without a permanent full-time contract, is expected to rise to 320 million this year from 280 million in 2025, accounting for more than 40% of urban employment, according to the China New Employment Forms Research Center, a think tank.

Robotaxis and robots, which are rolling out quickly, will wipe out some of those roles.

While surveys suggest people in China are generally more optimistic about AI than in other countries, anxiety about the technology is brewing. A 2025 survey of more than 11,000 science and technology workers by the Cheung Kong Graduate School of Business found that more than two-thirds believe they will lose their jobs to AI within the next five years.

Local governments and universities have launched programs including vocational training and AI-related courses aimed at preparing students for a changing labor market. And government authorities have been tightening pressure on companies, reminding employers that AI isn't a valid reason to fire people.

But there are others, including many parents, who say young people just need to toughen up and "eat bitterness," as they did during China's rise.

High expectations

Born in the 1990s and 2000s, China's Gen Z was raised with the idea that if they worked hard in school and went to a decent college, they could get a good job and live a comfortable life—better off than their parents, who were better off than the generation before. Surging college enrollment added to that expectation.

After years of heavy pressure to do well in school, many young people feel burned out and betrayed.

"I felt I absolutely had to get into a good school, otherwise I wouldn't be competitive in society or in the job market afterward," said Jessica Tang, 29.

During the pandemic, her mindset began to change. Stuck at home during Covid lockdowns and working overtime, Tang started to think her job at a public-relations agency wasn't necessary, so she quit.

She's been freelancing for the past three years. Recently, it's been harder to make a living. Assignments come with more requirements and her hourly earnings have halved.

Wang Yuanru, 24, said she just can't see the point in hustling in the formal job market, given all the competition.

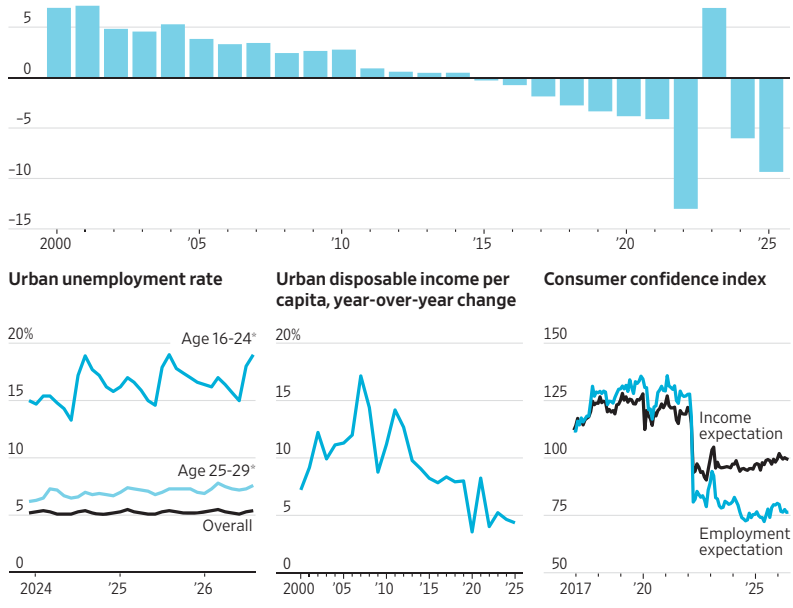
After graduating from college, she worked for a few months for a design company, but left after her boss took credit for her work, she said. She now supports herself by selling handicrafts in Dali. "There are too many people and too few choices, if we're talking about stable jobs, so I don't choose at all," she said.

A similar despondency brought Ma, the grad-school dropout, to Dali. Growing up he got good grades, but his parents, both doctors, seemed to always expect higher test scores, he said. In college, he struggled to fit in with overachieving classmates at a top university in Beijing.

In Dali, he was able to simply enjoy his life for the first time. After a few months, though, he started to get bored—and anxious about the future. "I just feel like I'm stuck in a shut-down state, unable to move," Ma said. He's been living off an allowance from his parents, but knows they can't support him forever.

Ma left Dali and recently has been traveling across Indonesia. Destination unknown.

Wang Yuanru escaped cutthroat work culture in Dali.



*Ages 16-24 and 25-29 exclude students.

Sources: China's Ministry of Human Resources and Social Security via CEIC (number of employed); China's National Bureau of Statistics via CEIC

PERSONAL JOURNAL.

YOUR HEALTH

SUMATHI REDDY

FROM TOP: JIMIN KIM/SOPA IMAGES/ZUMA PRESS; KIM RAFF/BLOOMBERG NEWS

If Dairy Bothers You, There Are Options

Choosing hard cheeses or Greek yogurt can minimize discomfort

There is some evidence that eating small amounts of lactose can help increase tolerance.

Many people think they are lactose intolerant. Are they really?

It's true that roughly two-thirds of the world's population has some difficulty digesting lactose, the sugar in milk. But not everyone who has trouble digesting lactose develops symptoms.

I started wondering whether I was lactose intolerant after several weeks of stomach issues following a trip to Ecuador. Was it a long-lasting stomach virus or something more? I still haven't figured it out, but here's what I've learned so far.

Most people become less able to digest lactose after infancy as the small intestine produces less of the enzyme lactase, says Dr. Eric Sibley, a professor of pediatrics and gastroenterology at Stanford University School of Medicine.

"Typically by around 10 to 12 years of age, people that are likely to have a deficiency in the enzyme have developed it to the capacity," says Sibley.

People with low lactase levels are unable to absorb lactose in large quantities and are referred to as lactose malabsorbers. Most people with lactose malabsorption can still tolerate some lactose without symptoms.

Most people can physiologically handle up to 25 grams of lactose daily, about two cups of milk, though many people will develop symptoms with even less than that, says Dr. Aasma Shaukat, a gastroenterologist and professor of medicine at New York University's Grossman School of Medicine in New York City.

But while the majority of people develop difficulty digesting lactose, only 5% to 20% of the general population develops symptoms from that, or become lactose intolerant, says Shaukat. Such symptoms include gas, abdominal pain, bloating, and diarrhea or nausea after consuming a certain amount of dairy. Symptoms usually develop within 30 minutes to two hours of consuming lactose and can last from five to 10 minutes up to a few hours.

The rate of lactose intolerance is higher in certain populations, such as Africans, Asians and Latinos. Groups that are less likely to be lactose intolerant include northern Europeans—populations believed to have developed genetic mutations from a history of dairy herding.

Not the culprit

Doctors say many people confuse other conditions that cause similar symptoms with being lactose intolerant.

A lot of people who think their symptoms are caused by lactose intolerance might actually have someone is recovering from a stomach virus or bug. The lactase enzyme is predominantly at the tip of the villi, or the small hairs in the small intestine. When you suffer from food poisoning or another stomach bug, the tip of the villi can break off, says Pimentel, making you temporarily less adept at digesting dairy. The intolerance usually lasts a month, he says.

MAANSI SRIVASTAVA FOR WSJ

Consuming lactose with other foods can improve tolerance.

small intestinal bacterial overgrowth, or SIBO, says Dr. Mark Pimentel, a gastroenterologist and executive director of the Medically Associated Science and Technology Program at Cedars-Sinai Medical Center in Los Angeles. A fairly common condition, SIBO can also cause similar symptoms after people eat other sugars and fermentable foods, such as beans or cruciferous vegetables, says Pimentel.

Lactose intolerance is also often confused with disorders of the gut-brain interaction, says Shaukat. Such conditions, such as irritable bowel syndrome, result in gastrointestinal symptoms related to the functioning of the autonomic nervous system. "If somebody already has that predisposition, then they may have symptoms with small amounts of lactose." she says. "They'll call it lactose intolerance but they have underlying visceral hypersensitivity."

Secondary lactose intolerance is when people develop lactose intolerance as a result of a condition such as Celiac disease, which damages the lining of the small intestine and reduces lactase production.

A common cause of temporary lactose intolerance arises when

How to eat dairy

There are ways to minimize symptoms for those who are lactose intolerant. Lactase enzyme pills taken before or while consuming dairy provide the enzyme the body lacks and can help people digest lactose with fewer symptoms.

Another tip is to consume dairy with a meal, says Dennis Savaiano, a professor of nutrition science at Purdue University who has received research funds from the milk and dairy industries. Having lactose with food makes tolerance three times better, Savaiano's research has found.

There is also dairy that is better or worse. Yogurt is generally tolerated better than other dairy, particularly Greek yogurt or yogurts rich in probiotic bacteria, says Sibley from Stanford.

Hard cheeses don't typically cause symptoms because almost all lactose is removed during the aging and cheese-making process. Soft cheeses contain more lactose.

Often symptoms people have from cheese aren't because of lactose but because of the fat content, Shaukat says. She suggests eating low-fat or no-fat milk or ice cream if you're sensitive to dairy.

There is some evidence that eating small amounts of lactose can help increase tolerance. Savaiano says studies have found that the human microbiome, which is all the bacteria and other microorganisms that live in our gut, can adapt to lactose.

People who avoid dairy should make sure they get enough calcium and vitamin D. If you're at risk for osteoporosis or bone issues, you can also opt to take calcium and vitamin D supplements.

No long-term risks

While hydrogen breath tests conducted at home are commonly used to diagnose lactose intolerance, Shaukat says they produce a lot of false positives. She says the best way to make a diagnosis is through a food diary or tracking of how often symptoms occur after eating certain foods.

The good news is that while the symptoms can be unpleasant, the condition itself poses no long-term health risks.

And for most people, being lactose intolerant doesn't mean giving up dairy altogether. Choose lower-lactose foods, eat dairy with a meal, and use lactase pills when needed, and you can have your cake and eat ice cream, too.

Guide to Buying Bonds in High-Yield Times

By Ashlea Ebeling

With 10-year Treasury yields hovering near multidecade highs, some investors are looking to add more fixed income to their portfolios.

They are moving cash to 2-year Treasurys, building ladders of Treasury inflation-protected securities and buying target-maturity bond funds.

Bonds can offer income, safety and diversification. But for those wading in, they also come with a unique set of risks.

Credit risk

One mistake novice buyers make is chasing yields for yields' sake. When you buy a bond, you're lending money to the issuer who promises to pay you interest and return the principal when the bond matures on a set date. The lower the credit quality of the issuer you're lending to, the higher the rate you'll get. That is because there is a higher risk of default.

"I've had new clients come in with most of their fixed income allocation in high-yield funds," said James Mayo, a financial planner at IronFjord Wealth Management in Lakewood, Colo. "They didn't understand that those were junk bonds with low ratings. They just see the high yield."

Bonds come with letter grades from credit-rating firms. Investment-grade bonds are safer in terms of default risk, but have lower yields. Speculative grade or junk bonds are riskier, although the higher yields are enticing. The issuers are paying you for taking on the risk of believing in them. You decide whom you want to lend money to and how much risk you're willing to take.

"The Bloomberg US Aggregate Bond Index used to be called the Lehman Brothers Aggregate Bond Index," said Allan Roth, a financial planner in Colorado Springs, Colo. "Big and iconic companies do go under."

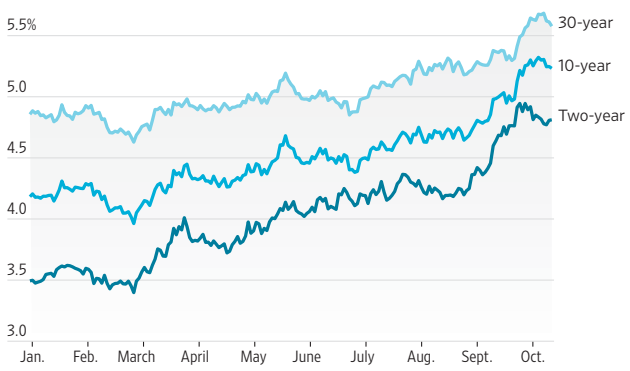
Duration risk

You have to decide how long you're lending the money for. The longer the loan's duration, the larger the interest rate risk. That is the chance that the bond's price will drop when interest rates go up. When interest rates increase, the price of bond funds and individual bonds can drop, and the magnitude will depend on its duration.

With individual bonds, investors can generally look through those interim price fluctuations because they know the price the bonds will mature at, said Cooper Howard, director of fixed income research and strategy with Charles Schwab.

Say you bought a 20-year bond at 4%, and now you can earn 5% for a similar bond. You might think, now I'm stuck earning 4% for years. I've lost the opportunity to earn more. But there is another way to think about it: "Well, I bought this when it was paying 4%. I'm still earning 4%. So I'm comfortable with that," Howard said.

U.S. Treasury yields, year to date



Source: Tullett Prebon

And if rates go down to 3%, you're happy you locked in 4% for longer.

If you're drawing on bonds as an income source, and you'll need to sell even if prices are down, consider holding shorter-term bonds and intermediate-term bonds. You can also mitigate duration risk by using a ladder strategy, buying bonds with staggered maturity dates.

Call risk

Many corporate and most municipal bonds are callable. That means the issuers are giving themselves an out if they can refinance their debt at lower rates. If market interest rates go down, the issuer might call the bond, returning your principal plus interest to date. You don't get to keep that higher rate you had hoped for.

By choosing noncallable bonds, you eliminate call risk but you might sacrifice some yield. You can also look for bonds with call protection or a "lockout" period, typically five to 10 years.

Prepayment risk

Mortgage-backed securities are essentially home loans packaged into bonds. They come with the risk that if rates go down, homeowners refinance out of their old higher-rate mortgages. The mortgage bonds thus pay off faster and you end up not being locked in as long as you thought, so you don't get all the interest you expected.

Tax risks

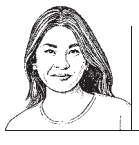
Location matters. The interest on bonds is generally taxed at ordinary income rates, so holding bonds in tax-deferred retirement accounts, such as IRAs or 401(k)s, can be tax efficient. "It's not hitting the tax return in the short term," said Mayo. You pay taxes later when you take distributions. (Note: You don't pay federal income tax on most muni bond interest, and you don't pay state or local income tax on income from Treasurys.)

Investors who hold Treasury inflation-protected securities, or TIPS, in taxable accounts must come up with the cash to pay tax on the annual inflation-adjusted income, which is essentially "phantom income." Holding TIPS in tax-deferred accounts solves this problem, although there is an argument for high-income taxpayers in high-tax states to hold TIPS in taxable accounts because they are state-tax exempt.

Perhaps the biggest risk of all is forgoing bonds and keeping cash earning next to nothing in a checking account or some legacy and sweep bank accounts, said Roth.

Apple Releases A New Smart Home Device

First impressions of the HomeView come with one big advantage—access to your iPhone



PERSONAL TECHNOLOGY

NICOLE NGUYEN

New York

We've spent the last decade scrolling on iPhones. **Apple's** newest smart home device offers a glimpse at a different future.

HomeView is a $299, 7-inch tablet and speaker powered by the recently revamped Siri AI personal assistant. And it has a major edge over competing devices from **Amazon** and **Google**: access to the data on your iPhone.

So when your hands are covered in dough, you can ask Siri to search the group chat for dinner plan details—and when you should leave to be on time. Or add all the ingredients from mom's pumpkin pie recipe that someone, at some point, texted to you, to your shopping list.

I got to experience the HomeView up close in Apple's lofty Tribeca showcase apartment, where one device sat on a marbled kitchen counter and another was mounted on the wall. It acted as a sort of CarPlay for the home, with an iPhone-like experience tailored to life inside and shared among multiple people.

After an Apple employee stepped in front of the screen's camera to trigger facial recognition, a personalized array of apps and widgets appeared. Her pretend "roommate," another employee, did the same, and the display changed to a different set of apps in a custom green tint.

Apple is playing catch-up to similar smart displays from Amazon and Google. As with many of its hit products, while the company may be late to the game, it is arriving with a product that offers more privacy and deep integration with other Apple devices.

Still, it comes with the usual trade-offs: a closed ecosystem that requires your whole household to be completely enmeshed in Apple's universe.

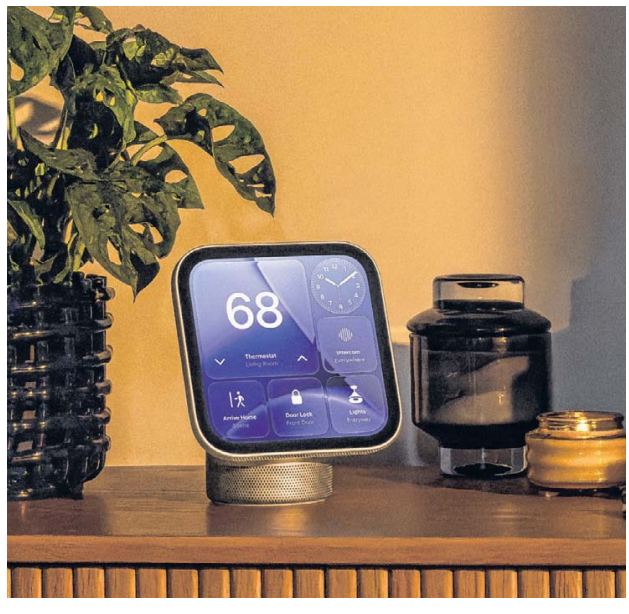
Ambient Siri

Amazon's Echo Show and Google's Nest Hub (both $100 and up) have sat in kitchens for years and recently got AI upgrades of their own. But those devices lack the ability to tap in to the years of data on your iPhone.

HomeView allows you to tap on the touch screen or bring your iPhone close by to "hand off" content, such as a FaceTime call or a recipe from the Safari browser. The primary and most convenient way to interact with the display, however, is by activating Siri AI with your voice.

"Hey Siri, play that song Eric texted me about" prompted the assistant to sift through messages to find the requested track, then play the Bad Bunny song with lyrics highlighted on screen. The command turned HomeView into a little karaoke machine.

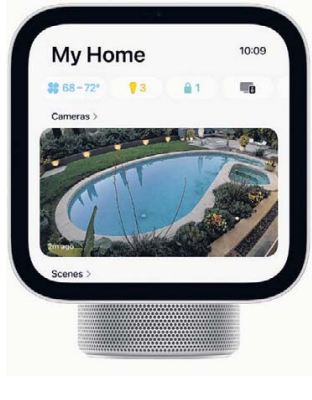
In another example, Siri AI handled a series of commands: "What time did Andrew say he's getting in from JFK?" "How long will it take him to get to my place if he takes the train?" "Let's turn on the coffee maker 15 minutes before he'll arrive."



Apple's $299 HomeView is a 7-inch tablet and speaker.

To make these kinds of personal requests, the onboard camera must register the user via facial recognition, the person's iPhone must be connected to the same Wi-Fi network and the smartphone must have been unlocked within the last eight or so hours. That's *three*-factor authentication.

The benefit of this system was best illustrated by a young girl viewing an iMessage thread with a potential romantic interest. When her brother tried to snoop, HomeView blurred the screen. But it could also cause too much friction: I ask my Amazon Echo Show what's on my calendar from across the room. Having to walk over to scan my face would be a pain.



HomeView allows only registered users to see personal data and look at security-camera history.

Voice recognition is sufficient for less sensitive requests, like playing music or making an AirTag ring. Unrecognized guests can ask basic questions about the weather and control nonsecurity smart appliances such as smart lights and thermostats. Only registered users can see personal data, scroll through security camera history or unlock doors using HomeView.

Apple says this system keeps up to six household members' data separate and secure. Camera and audio data is processed in a secure container on the processor, so neither Apple nor apps can access it. HomeView also doesn't store any personal content locally or on Apple servers.

The dream of ambient computing is to be able to walk around and utter any request into thin air, like the high-powered voice computer system in "Her." The HomeView shows that Apple is, at the very least, thinking beyond the iPhone to fulfill that vision. But it's a tricky privacy needle to thread. Plus, as far as Siri AI has come, it's not yet smart enough to do all the things we need it to do to be truly useful.

Walled living room

Apple's closed ecosystem is often called a "walled garden." Most of the time, it's a pleasant garden, where accessories automatically pair to devices and data syncs seamlessly across your gadgets.

Launching alongside HomeView is a new collection of smart locks, video doorbells, thermostats and security cameras. A new HomePod Mini can be paired with a Mac as a speaker, and a next-generation Apple TV 4K has a remote that's ping-able from the Find My app should it get lost.

The downside is Apple's tight control over its software and hardware. Each registered user needs their own iPhone or iPad running the latest OS, so it wouldn't work with a split iOS-Android household like mine.

The HomeView can run third-party audio apps and, soon, video apps. But not third-party smart home apps if, say, you use a Ring camera or a garage opener that isn't compatible with the company's HomeKit platform.

Apple's privacy obsession limits the device's functionality, too. You can't view a live feed from the HomeView's built-in camera like you can on Amazon's Echo Show or Google's Nest Hub, which turns the devices into an indoor security camera. And I would like to fully put my iPhone down at home and set HomeView to show my notifications, but the device can't do that.

I use the Amazon Echo Show device daily, but I'm sick of the screen showing me ads.

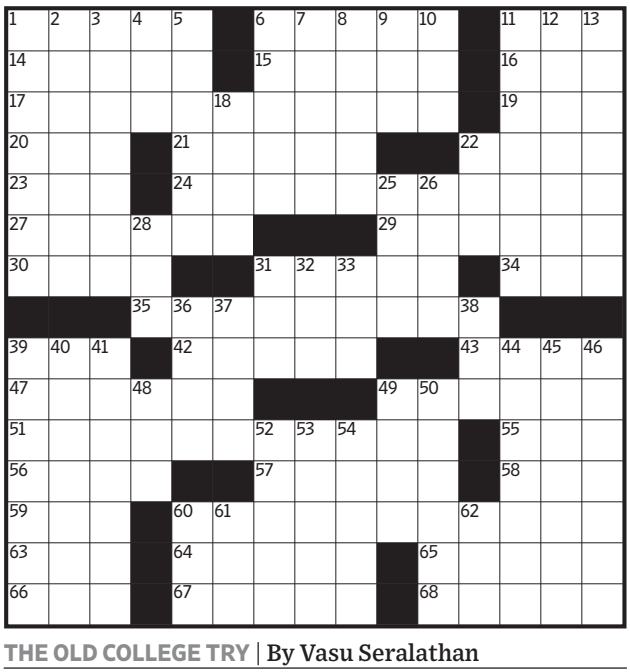
I can set the Echo Show to display my photos instead—if I pay $3 a month. HomeView is appealing if only because it can do that without a subscription. Stay tuned for my full review.

Next Bet on Smart Home

Messages, calendars, hands-free FaceTime and smart home controls are now on one display screen.

APPLE (2)

The WSJ Daily Crossword | Edited by Mike Shenk



THE OLD COLLEGE TRY | By Vasu Seralathan

Across

1 Reykjavik-raised singer
6 Believer in a hands-off Creator
11 Mouthy attitude
14 Bar mitzvah officiant
15 Quran Creator
16 His retired number 4 hangs from Boston Garden's rafters
17 What overly loud children are instructed to use
19 Kravitz of 2022's "The Batman"
20 Gumshoe
21 Drug that reduces Parkinson's symptoms
22 Suvari of "American Beauty"
23 Chemical compound suffix
24 Injection from a wasp's stinger, e.g.
27 Piano recital piece
29 Totaled at the register
30 Elevator at a fancy event?
31 Rose garden pest
34 Purported Roswell crashers, for short
35 Elite eight of academia, or what 17-, 24-, 51- and 60-Across could be said to be part of?
39 Classic Pontiac muscle car
42 Tiniest bits
43 "You've convinced me!"
47 Port of northern Germany
49 Sign between scorpion and goat
51 Combustion engine part
55 Cow chow
56 Cuts from the supermarket
57 Seething
58 Busy travel day, often
59 Penultimate Greek letter
60 Site of one of the four great civilizations of the ancient world
63 Image on the flags of Nepal and Namibia
64 Joaquin's "Walk the Line" co-star
65 Certain 35-Across attendee
66 Series installments, casually
67 Dressing sites
68 Notices

Down

1 Fliers of the Union Jack
2 Woman with a secret identity
3 Not for the easily offended
4 DH's goal, often
5 Field for Roald Dahl and Beatrix Potter, for short
6 Swiss town that hosts the annual World Economic Forum
7 Make a romantic getaway, in a way
8 Hipbone-related
9 Bodily pouch
10 Commonly read article?
11 Drop for a cougher
12 Resolve, as differences
13 Stereo system components
18 Writer Ferber
22 Patriarchy rulers
25 Course before calc
26 Earlier name of the Fandango streaming service
28 Velshi of MS NOW
31 PC key
32 Pod particle
33 Includes
36 Four-time Pro Bowl QB Michael
37 Farm coupler
38 PC key
39 Brief sighting
40 Prepares to make a good pitch?
41 Comes by
44 "Well, look who it is!"
45 "Not another word!"
46 Rarities at tearjerkers
48 Polish off
49 Tel ___
50 Passes along
52 Name bestowed by Darth Sidious
53 Treat badly
54 Gets trounced
60 Org. with schedules
61 Morpheus advises him
62 Racing circuit

Previous Puzzle's Solution

A	B	E	A	T	■	D	A	T	A	■	E	C	H	O
C	R	A	S	H	■	O	O	H	S	■	L	A	O	S
H	O	U	S	E	R	U	L	E	S	■	A	M	O	S
■	■	■	T	H	O	R	■	F	E	E	L	E	R	■
P	O	S	S	U	M	■	A	B	R	A	■	R	A	E
I	V	Y	■	B	A	T	M	I	T	Z	V	A	H	S
T	A	L	K	■	N	E	U	■	■	Y	E	A	S	T
■	■	V	A	N	I	L	L	A	B	E	A	N	■	■
M	A	I	N	E	■	■	■	E	S	E	■	L	G	B	T
F	L	A	T	E	A	R	T	H	E	R	■	L	O	O
A	M	P	■	D	U	O	S	■	R	E	D	E	Y	E
■	A	L	I	S	T	S	■	A	M	I	E	■	■	■
G	N	A	T	■	H	I	D	D	E	N	F	E	E	S
P	A	T	S	■	O	T	R	O	■	I	O	W	A	N
A	C	H	Y	■	R	A	Y	S	■	N	E	W	T	O

▶ Solve this puzzle online and discuss it at **WSJ.com/Puzzles.**

Changing a Car's Oil Becomes More Costly

By Christopher Otts And Sarah Nassauer

Detroit repair-shop owner Ali Alhumaidi has noticed a new habit from his customers: They have started bringing in their own motor oil when they need oil changes.

"You tell the customer, with labor, it's around $100. That's a lot for an oil change," Alhumaidi said. Customers are carrying in bottles of motor oil from Walmart, so Alhumaidi only charges them about $20 to $50 for labor costs.

The Iran conflict has sent diesel to recent highs and gas to more than $4.30 a gallon on average. It also has driven up the price of motor oil so much that retailers like Walmart and Costco have taken action—and service shops might pass on their extra costs to the customer.

To account for oil inflation, Walmart raised prices slightly for much of its motor-oil selection this summer, a company spokeswoman said. It then raised the price of its oil-change services at stores by a few dollars each in August, she said.

For its part, Costco raised the price of its private-label Kirkland motor oils to $58 for 10 quarts. That is an increase from $36 on May 30, according to Mizuho Securities, which tracked prices at one of the membership club's stores in New Jersey.

Costco is limiting the amount of motor oil any individual customer can buy online, a restriction that analysts expect will prevent sales to small, independent auto-service businesses, which won't be able to pass along the savings to customers.

"We have seen inflation on motor oil, similar to all oil-related products," said Costco Chief Financial Officer Gary Millerchip.

Walmart works with its suppliers "to manage costs and keep products available at the low prices our customers expect," a company spokeswoman said.

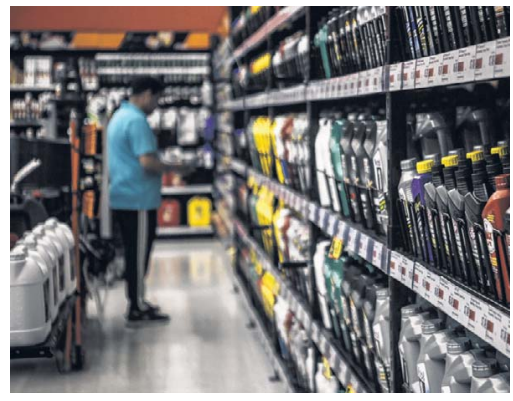
Higher oil costs and tighter supplies are cascading through the automobile-service industry. Stellantis, parent of the Jeep and Ram brands, recently switched its bulk oil supply for dealer service departments from 0W-20 to 5W-20 for some of its V-6 and V-8 engines.

The latter is less optimal for cold weather conditions. The change also means that drivers will have to get the next service sooner—at 7,500 miles instead of 10,000, the company said.

"Our focus remains on serving customers while managing this cost environment responsibly," the spokeswoman said.

At issue is the supply of Group III base oils, which are the main ingredients in synthetic lubricants like motor oil. Full synthetic and low-viscosity grade oils like 0W-20, 0W-16, 0W-8 are the most affected by reduced refining capacity in the Persian Gulf, according to the Independent Lubricant Manufacturers Association, a U.S. trade group.

The shortage is compounded by the high cost of diesel fuel, the group said. Normally, Group II base oils could substitute for Group III, but those also are in short supply because refiners are giving priority to feedstocks for fuel rather than for base oils.



The price of motor oil is up along with the cost of gas.

Yet Stellantis said it wants to ensure supply for its vehicle owners, calling the move "a temporary measure."

Meanwhile, Valvoline Inc., the quick-lube retailer, has seen its synthetic-motor-oil costs rise sharply since March, executives have said.

Valvoline has raised prices accordingly at its company-owned stores and passed cost increases through to independent franchisees who run other stores, they said.

A spokeswoman for the Lexington, Ky., company said that Valvoline has adequate motor-oil supply for the foreseeable future, and that the entire industry is affected by the cost increases.

Mark Panetta, service manager at Jefferson Chevrolet in Detroit, said the dealership has footed the bill for higher oil costs lately.

But he has held off on raising the prices of an oil change, he said. Many of his local customers are struggling financially, he said, and are now especially squeezed by higher gas prices. "It's gonna hurt me or it's gonna hurt them, right?" he said of his customers. "I'd rather hurt me for right now."

Panetta added that the cost of transmission fluid is especially "off the charts." "I'm, like, if you've got a coupon, now's the time to use it," he said.

ANDREA MORALES/BLOOMBERG NEWS

ARTS IN REVIEW

The Irish band Fontaines D.C. Its new album, 'Dopamine Chamber,' comes out Friday.

MUSIC REVIEW | MARK RICHARDSON

A Potent Rock Record

Fontaines D.C. takes a major step forward with its fifth studio album

When Fontaines D.C. released its debut album, "Dogrel," in 2019, the band was merely one promising act among many in the crowded field of post-punk music. In the U.K., bands like Idles, Shame and Fat White Family were incorporating the jagged guitars, bass-forward arrangements and half-spoken vocalizing of forebears like the Fall and Gang of Four, a sound that ebbs and flows in terms of popularity in the British Isles but never goes out of style. Along with its Irish heritage, Fontaines D.C.—the initials stand for "Dublin City," which is where the group came together—had two qualities that made it distinctive.

One, it had a connection to literary traditions that gave it a deep well of material to draw from and brought focus to its poetic intensity. The band's members—singer Grian Chatten, guitarist Conor Curley, guitarist and synth player Carlos O'Connell, bassist Conor Deegan and drummer Tom Coll—met at a college where they studied music and immersed themselves in Irish writers like James Joyce and William Butler Yeats. Two, while there was plenty of angry shouting and stabbing dissonance on records like "A Hero's Death" (2020) and "Skinty Fia" (2022), the band had a gift for melody when so inclined. By the time of its 2024 album, "Romance," Fontaines D.C. was filling arenas. Its fifth LP, "Dopamine Chamber" (XL), out Friday, is another major step forward.

EWEN SPENCER

These 11 songs are carefully sequenced roughly in thirds—sinister goth early on, a few massive rock numbers in the middle, and a clutch of reflective ballads toward the end. As with its predecessor, the new record was made with versatile English producer James Ford, the ideal collaborator for the group at this moment. He's made albums with pop legends (Pet Shop Boys) and rock upstarts (Geese), and has helped shepherd Arctic Monkeys through nearly two decades of challenging and successful music.

The first few songs sketch out the record's themes, in which individual dreams are cheapened in a world that rewards artificiality. The opener, "Six Shot Morning," is the first of several tracks that hover in the turn-of-the-'80s murk when Joy Division was transforming into New Order after the untimely death of Ian Curtis. Mr. Chatten's baritone voice, delivered with a growl and processed to sound as if it's transmitting from a crackly pirate radio station, recalls Curtis's tone. It's a song about weariness, the difficulty of facing the day, wondering if life means anything and mustering just enough hope to carry on.

The following "Marianne," with its mesmerizing bassline, is an extension of the opener's narrative. Both are about people whose reality is distorted by our media-saturated age, those who behave as if they are always being watched: "Cinematic feeling / Understand this is your life / You can go on dreaming / You can go under the knife," Mr. Chatten sings. He's no more cheery on the rumbling "Mimesis" ("Well everybody's depressed / We're running on a wheel"), and the prettiness of the chorus of "Happy for You" is darkly ironic, as his character is a jilted boyfriend ready to inflict violence ("I'm coming up friendly with flowers and all / On leaving I key your car").

While "Demolition" again tackles thwarted desire and self-loathing, this time it comes in the form of a wildly catchy rock anthem. There's a split second of near-silence in the chorus before the giant wall of guitars appears suddenly, a thrilling effect where every instrument sits perfectly in the sonic field (Mr. Ford is also credited with mixing). The spikier "Tongue" is the other rocker, whose arrangement is a blend of syncopated drum breaks, squelching keyboards and drones built on feedback and distortion.

Strings are more prominent in the record's later tracks. "One Man" is a gorgeous slice of baroque pop, with acoustic guitar and a string quartet, and on the swooning ballad "Where Is Gone?" Mr. Chatten duets with avant-pop superstar Rosalía. It's a worthy experiment that doesn't quite come off, as the Spanish singer seems to inhabit a world outside this record. "You Miss Me" combines the theatricality of Roxy Music with the supper-club creepiness of chamber-pop singer Scott Walker, its pulsing orchestrations signaling danger. It's another song about a fractured relationship in which obsession reaches a boiling point, as if we're seeing the couple from "Happy for You" in a different but equally disturbing phase.

The closing "Intimate" is filled with screeching guitars and words that are mostly spoken, taking us back to the hallmarks of the band's original aesthetic, as if to remind us of how far the group has come. "Dopamine Chamber" is one of the year's best rock records, and its ease and confidence suggest Fontaines D.C. still has a lot more to explore.

Mr. Richardson is the Journal's pop and rock music critic.

TELEVISION REVIEW | JOHN ANDERSON

How Mammalian Minds Evolved

THE 1925 "monkey trial" of John Scopes, in which the Tennessee teacher was prosecuted for teaching Darwinism, has been aptly described as a faceoff between fundamentalist religion and evolutionary science. But many of the offended parties found something more basic at work, the "accusation" that they were descended from monkeys—"Not even from American monkeys," said the prosecution's William Jennings Bryan, "but Old World monkeys."

How about dolphins? Less hair. Echolocation. Beach vacations.

What we actually get from "Evolution: Brain Power" is a link between ourselves and every other brain-powered creature on Earth, with an emphasis on dolphins. As we are told, their brains are among the largest in relation to body weight; the surface area equals our own; and they plan, strategize, collaborate, coordinate and have a system of communication very much like language. "They're what human beings might have been had we returned to the sea," as one researcher puts it. How we all got here—being conscious, analytical and, most significantly, empathetic—involves a narrative that has lasted billions of years.

'NOVA' delves into the history of brains—and not just human ones.

The show, the first in a five-part series, is considerably brisker than that. In a kind of epilogue, narrator Mercer Boffey does a fine job of summing up the subject—"an evolutionary journey which began with the first tentative steps toward sensing a world bathed in light, produced the first neurons and primitive brains supercharged by myelin [a protein-rich insulator-accelerator of electrical impulses] to finally form the mammalian neocortex. And in a few select lineages this gave rise to problem-solving, cooperative and deeply emotional brains." In humans. And, more specifically here, dolphins.

BBC STUDIOS

Dolphins in the Bahamas; the highly intelligent creatures are featured in the PBS documentary 'Evolution: Brain Power.'

This "NOVA" presentation—which gets complicated, as a reader might intuit—does its best to maintain both accessibility and its thesis, which is that all brains stem from a common source, namely simple cells that became reactive to light as early as the Archean Eon of 3 billion years ago. By sensing the sun (there is a heavenly "let there be light" image in the early part of the show, for those who wish to see it as such), the single-cell organism could sense the cycles of the Earth. Which was something short of thought, but certainly dictated its cousin, behavior. Thus began the lengthy trial-and-error process of brain development.

How different species developed and why life on Earth diversified from those single-cell organisms is often surprising and consistently engaging. The emergence of myelin is given particular emphasis, being compared by cell biologist Robin Franklin to the "invention of microprocessors in computing." It enables the speedy transfer of thought; brains without myelin have developed, he says, "but the best you can do is the octopus, which is quite sophisticated, but still hasn't written Shakespeare's sonnets, or sent a man to the Moon." Similarly, the development of the neocortex, which is exclusively mammalian and, according to Lori Marino of the Whale Sanctuary Project, provides for "self-awareness, social cognition, some form of memory, problem solving."

Other species have made enormous adjustments in problem-solving. But not like us higher mammals, some of which have even become quite adept at problem-creation.

Evolution: Brain Power
Series begins Wednesday, 9 p.m., PBS

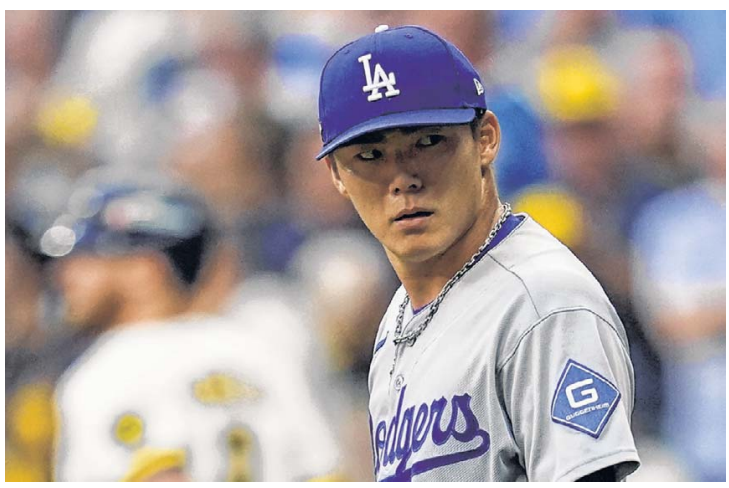
Mr. Anderson is the Journal's TV critic.

SPORTS

By Jared Diamond

The Brewers Don't Hit Home Runs. They 'Drag Pitchers to Hell.'

In an era of baseball defined by power, Milwaukee is thriving with an old-fashioned approach at the plate that has the team up 2-0 in the NLCS over the two-time defending champion Dodgers



Christian Yelich delivered a two-run single in Game 2 after Yoshinobu Yamamoto, left, walked Jake Bauer in a 12-pitch at bat.

FROM TOP: KAYLA WOLF/ASSOCIATED PRESS; ABBIE PARR/AP

Milwaukee

Outside the home of the Milwaukee Brewers, directly above a statue of local legend Robin Yount, hangs a banner that defines the ethos of Major League Baseball's best team.

The sign features photographs of five players whose combined compensation costs less than the Los Angeles Dodgers' No. 8 hitter. The text reads simply: "Win Our Way."

The Brewers, an unlikely powerhouse from MLB's smallest media market, are two wins away from clinching their first World Series appearance in 44 years by winning unlike anyone else in baseball. In fact, their way happens to be the exact opposite of the way every other team in the sport is trying to play the sport.

In an era obsessed with the relentless pursuit of power, only one team hit fewer home runs than the Brewers this season. Yet they still ranked second overall in runs scored, a seemingly impossible combination that defies every piece of conventional wisdom about how baseball is supposed to work.

The last team to finish in the top three in MLB in runs and bottom three in homers was the Chicago White Sox—in 1960, 10 years before the Brewers even existed.

"It's not about who hits more home runs," Brewers captain Christian Yelich said. "It's about who scores more runs."

Before these Brewers, who hold a 2-0 lead over the Dodgers in the National League Championship Series, those two concepts were essentially the same. Every World Series winner this decade has ranked in the top five in homers.

The Brewers are the ultimate outliers. Professional organizations preach two central tenets. Hit the ball to the pull side. And hit the ball in the air. Batted balls with that profile resulted in an eye-popping .538 batting average and 1.207 slugging percentage.

Naturally, the Brewers don't do either of those things. They hit the ball on the ground more frequently than anybody in MLB. They pull the ball the least of anyone in MLB.

Instead, the Brewers rely on another philosophy.

"Drag pitchers to hell," Brewers general manager Matt Arnold said. "Our guys are talking about that every at-bat. They just grind pitchers down."

That ability to send pitchers plummeting into a nightmare was on full display in Monday's 7-4 win over the Dodgers. Trailing by a run in the third inning, first baseman Jake Bauers delivered a plate appearance that perfectly epitomizes the Brewers.

In a matchup that lasted seven minutes, Bauers battled postseason superhero Yoshinobu Yamamoto for 12 excruciating pitches. At one point, he fouled off six straight before drawing a walk to load the bases. Yelich followed with a two-run single to give the Brewers the lead.

Yamamoto lasted just 2 ⅔ innings. He had officially been dragged to hell.

"That," Brewers outfielder Sal Frelick said, "is the definition of it."

This is what the Brewers do. They are exceedingly disciplined, to the point they sometimes appear allergic to the very concept of swinging. Not only did they have the highest walk rate in MLB—no team had a lower swing rate than these Brewers in an uninterrupted season since 2019.

The goal, hitting coach Daniel Vogelbach said, is to "take a piece of the pitcher with you" after every at-bat, regardless of the outcome. Fortunately for the Brewers, the outcome is often a positive. Their .258 batting average and .341 on-base percentage were the best in baseball, despite a roster filled with players who are largely unknown outside of Wisconsin.

They demonstrated their ideology during their dramatic comeback in Game 2 of the division series. Facing superstar closer Mason Miller, who entered in the eighth, the Brewers saw 40 pitches. They swung at nine of them, ending with outfielder Jackson Chourio's walk-off single.

"They are perfectly fine with being the type of player that they are," Vogelbach said, "and being the best at what they do."

Like many teams, the Brewers have three hitting coaches on their staff. Unlike their competitors, they also have a fourth coach dedicated to helping them score runs. His title is "offense and strategy coordinator."

That nomenclature is intentional. Pat Murphy, the Brewers' 67-year-old manager, doesn't like to talk about "hitting." He talks about "offense." And as far as he's concerned, hitting is only part of it.

"Offense," Murphy said, "is touching those bases."

In other words, what the Brewers lack in thump, they make up for by thriving at fundamentals: baserunning, hustle and good old-fashioned situational hitting. The Brewers scored 155 runs this season on plays that weren't hits, the most in MLB.

They also led the majors in one other important category: wins.

"We don't have a lot of traditional power hitters," Arnold said. "We have a lot of talented hitters."

JASON GAY

Daffy NFL Teams Can't Stop Making Brainless Mistakes

Football doesn't exist to entertain or enlighten. Football exists to make us feel superior to paid professionals, even when we are flat on the couch covered in Cheetos dust.

The latest example: Sunday's follies in the NFC East, where a pair of victories were lost in baffling last-second fiascos that showed the humble limits of human function.

It's kind of charming, if you think about it. At the moment, groundbreaking AI bots—when they aren't actively plotting civilization's demise—are composing elaborate symphonies and solving knotty, generations-old math problems.

Meanwhile, human-powered NFL teams are still trying to recall basic facts, like how many seconds are in a minute.

(If you live in Philadelphia or Washington, I understand that you don't find this charming, and all you want to do is put your television in the driveway behind your car and back over it repeatedly.)

Let's begin our review in London, where the Eagles took a 17-16 lead on Jacksonville with eight seconds left.

The Eagles should have run a little more clock down, but wrapping this baby up should have been easy, right? Kick the ball out of the end zone for a touchback, and let Jacksonville try to run an epic last-second play from scrimmage.

Or: Dirt-ball a hard-to-field ugly kick to the Jaguars and make sure to tackle them deep in their own territory.

Philadelphia elected to try door C: neither!

Instead the Eagles generously booted a crisp line drive to Jacksonville returner Ameer Abdullah, who raced 53 yards up the field and got tackled with one second left—like, literally the one thing you're not supposed to let happen, happened—putting the Jags in position for a 57-yard field goal.

Which, of course, Jaguars kicker Cam Little attempted, and made, sending the Eagles back home across the Atlantic with a shocking 19-17 loss and a carry on of gloomy vibes.

"I didn't make the right decision, and I lost us that game," Eagles coach Nick Sirianni said when it was over.

Was the coach truly contrite, or covering for player goofs? Had Sirianni been unnerved by a similar scenario a couple of weeks ago, when NFC East rival Dallas kicked the ball out of the end zone with a slim lead against Baltimore, and watched as the Ravens ran a fast play from scrimmage to set up their own field goal winner?

We may never know!

The good news for the Iggles was they were about to be eclipsed in brainlessness by Washington, as the Commanders would blow a near-certain triumph when, deep in New York Giants territory, they let time expire on the clock instead of kicking an overtime field goal.

This one they'll teach forever in coach-and-quarterback school. Washington head coach Dan Quinn and QB Jayden Daniels know what to do in that scenario: Stop the clock in order to give the kicker the opportunity to win the game.

This is basic life stuff, like don't put metal in the microwave and don't ever ask anyone at work about their fantasy football team. And if you're still worried, there's a radio in the helmet for the sideline to communicate with the QB.

Washington Commanders coach Dan Quinn walks off after a 27-27 tie.

NICK WASS/AP

With no timeouts, Washington simply needed to spike the ball, or chuck it out of bounds. That would stop the clock and leave time for the winning kick.

Instead, the Commanders chose door C: Neither!

Daniels instead dropped back to pass, ran forward, and inexplicably let himself get tackled. As with the Eagles in London, literally the one thing you're not supposed to let happen, happened.

Had Washington not adequately communicated the scenario to its quarterback? Did Daniels think the Commanders had a timeout remaining?

We may never know! Time ran out. Leaping Giants celebrated a miracle 27-27 tie. A furious Quinn spiked his fancy headphones into the mud.

Afterward both coach and quarterback chivalrously protected each other by taking responsibility for the debacle.

"Ultimately it's on me," said Daniels.

"It falls on me," said Quinn.

Adorable—matching *mea culpas.* It won't comfort Commanders fans, who continue to wonder if Washington's brilliant 2024 playoff season was an anomalous ripple in the space-time NFL continuum and this franchise remains just as cursed as it was when Dan Snyder owned them.

(The aftermath also underlined the need to have fans present in postgame press conferences. It's one thing for coaches to face a tired press in a climate-controlled room. Let's watch Backwards Hat Quinn stand there and explain the final seconds to a furious, soaked-to-the-bone Washington fan who paid to stand in the driving rain in the Maryland burbs for four hours to watch their team bumble to a maddening tie.)

For the rest of America, these gaffes become our treasured pastime: Schadenfreude theater. Sirianni and Quinn now have to listen to a week's worth of mocking from laypeople, podcasters, and worst of all, sports columnists at financial newspapers. Team owners have to endure questions about coaches as they wonder when it will be culturally acceptable to hand the job to an AI bot.

Why am I paying this person many millions and having dull weekday lunches when I could just fork the whole operation over to Claude?

It isn't hard to be amused. No organization on earth is more puffed-up about itself than the NFL—excuse me, the National Football League, as all the television surrogates say—and yet it's as capable of the same blunders as anyone else.

It may not be entertaining. But it does make us feel better.

OPINION

Barney Frank: Impeach 'Woke'

BUSINESS WORLD
By Holman W. Jenkins, Jr.

Oh, for the days of the smoke-filled rooms. Party elders once settled on state governors and army generals as presidential nominees. These were men whom they had been able to observe closely for decades attending to the public's business.

Listen to Rep. Alexandria Ocasio-Cortez tell the New York Times that history doesn't care whether you're ready—it seizes upon you to do, er, the thing you always wanted to do anyway, like Medicare for All and an expansive national minimum wage, never mind whether these things are timely in an age of overflowing debt and gathering international dangers.

Donald Trump, of course, is the apotheosis of the president as self-realizer. If he had died at his moment of supreme achievement after his 2024 return to power, he would have entered the pantheon.

His subsequent presidency? Not a ticket to the pantheon.

I immediately recognize an irony in the argument I'm about to make. His two latest Democratic opponents were products of the now smoke-free room. The smoke-free room made a big comeback in the establishment's decade-long battle to keep one man, Mr. Trump, out of the presidency. Mr. Trump's prolonged war was never really against any other candidate. It was against a collective establishment upchuck.

As reporters Jonathan Swan and Maggie Haberman document but don't explain in their book, Mr. Trump's subordination of the GOP happened not while he was in power. It happened during the interregnum, when his enemies were in power.

Only then did MAGA become a genuine mass movement, as sociologists define the term, rather than just a cult of enthusiasm for one politician that manifested itself on Election Day. The first premonition may have been the self-organizing protests against Covid lockdowns that began in Lansing, Mich., and spread to other state capitals in April 2020, at a time—note carefully—when Mr. Trump was still on the fence about lockdowns.

The real congealment likely happened in the days before and after Jan. 6, 2021. In a representative news database, MAGA received 9,985 mentions in the first two years of the first Trump presidency. In the single year of 2024, it received 65,345 mentions. By then, Americans had seen things they never saw before. The press lying in conjunction with the national security state. U.S. intelligence officials meddling in domestic politics. The Covid coercions. The extralegal creation of mass mail-in voting in 2020. In 2024, a conspiracy to reinstall a visibly senile incumbent over the heads of his own party's voters.

The last honest mistake arguably was Hillary Clinton's overbetting on the Upper Midwest in 2016. Then something abnormal began. Chuck Schumer famously put it into words: A politician is unwise to make an enemy of the intelligence apparatus.

Democrats should hold themselves accountable along with Donald Trump.

I've documented here the lack of courage and honesty of the press, the paralytic silence of certain of today's Democratic hopefuls about what happened in these years.

Prosecutor Jack Smith continues noisily to champion the merits of the prosecutions that Mr. Trump thwarted by being re-elected. A more interesting version of Mr. Smith would reflect on his own role in causing that re-election.

In popular books in the 1970s, the Washington Post's David Broder and Britain's Henry Fairlie warned us that we would regret our turn toward a populist, primary-style presidential selection process.

I wrote myself in 2016 that a Trump election would end up demystifying the kind of presidency we had given ourselves. Here we are. Every administration faces unhappy midterms. Not every administration faces its lame duckhood dragging behind it acts that may end in mass allegations of criminality against its members and mass pardons issued by the president.

Having downgraded the party machinery, having enshrined the president as a self-realizer, having empowered a zany activist class (often called political hobbyists) in both parties, we'll never fully revert to the smoke-filled room. But a great republic still needs a stable elite. And every instinct suggests that how Democrats and Republicans in Congress cope with the coming impeachments will be key in finding a new equilibrium.

The late Barney Frank's posthumous book came out last month, "The Hard Path to Unity: Why We Must Reform the Left to Rescue Democracy."

Veteran political writers David Shribman and Joan Vennochi had the temerity to notice that it plainly blames the left for Donald Trump. In a process that reached its absurd climax during the Biden presidency, voters were forced to learn that pulling the lever for any Democrat meant "a small internal minority with whom most of us disagree will dictate policy."

He meant "woke," about which the gay and liberal Frank is more damning than any Pete Hegseth screed. Starting next month, Democrats may find themselves with real power to begin undoing the damage they so myopically contributed to.

The Right's Pagan Nationalism

POLITICS & IDEAS
By William A. Galston

Secretary of State Marco Rubio delivered a speech in Athens last week that deserves to be taken seriously. Against the backdrop of the Acropolis, he argued the ancient Athenians defined the core of Western civilization. "To know them is to know ourselves," he said. He spelled out their defining characteristics: "fierce individuality and relentless ambition; daring exploration and invention; a yearning for discovery, for adventure, risk and glory," coupled with the desire to understand the world and a rejection of boundaries and limits. The Greeks organized civic life around "contest, ambition, competition," he added. The Greek city was "an arena for great men to test and prove themselves through struggle to be "the best, the strongest, the most beautiful."

Mr. Rubio characterized this relentless struggle—fueled by what the Greeks called *thumos*, "the fire of passion, strength, courage, pride"—as the "heart of great civilization." Without it, he declared, nations lose their will to fight, even to survive. In our times, he said, Europe has abandoned thumos for comfort and safety, rejecting the pursuit of excellence in the name of an egalitarianism of mediocrity. The Continent can save itself only if it can "awaken from its long slumber" and again embrace the "fire" of times past.

But Europe's era of fire led to colonialism—and to the backlash against it that has shaped world politics up to the present day. In the 20th century, national self-assertion generated two conflicts that devastated Europe and left few parts of the globe untouched. The European Union, which President Trump regularly reviles as an anti-American plot, represents a collective decision to prevent the recurrence of such conflicts.

Under the Trump administration, Mr. Rubio says, the U.S. has made a different choice, "the unapologetic pursuit of national power," coupled with the understanding that power requires not only the economic, technological, and military means to exercise it but also the demonstrated willingness to use it when prudence and diplomacy fail.

The power to do what? Mr. Rubio (or his speechwriter) seems to have read Thucydides up to Pericles' funeral oration but no further. Fifteen years later, the Athenians sent their navy to the neutral island of Melos, demanding that the Melians abandon their neutral stance, join the Athenian-dominated Delian League, and pay tribute to Athens. The Melians refused, appealing to justice. The Athenian envoy dismissed their appeal. In the real world, he replied, "the strong do what they can, and the weak suffer what they must."

It was in this spirit that Treasury Secretary Scott Bessent ridiculed Canada's refusal to knuckle under to U.S. trade demands: "I don't think you can be in a tit-for-tat with someone who's 13 times larger than you are."

Marco Rubio delivers a serious speech in Athens, but he leaves out Jerusalem.

Untethered from law and justice, overweening power becomes dangerous not only to those on its receiving end, but also to those who wield it. The Greeks understood that when daring and pride go too far, they mutate into reckless and self-destructive hubris.

Egged on by demagogues, Thucydides narrates, Athens embarked on a war of choice—the Sicilian expedition, the disastrous failure of which contributed to Athens's eventual defeat in the Peloponnesian War. Hubris leads people and nations to overestimate what their power can accomplish and to underestimate the effectiveness of their opponents' response. This lesson isn't obsolete.

In his celebration of Greek virtues, Mr. Rubio ignored their opposite—religious virtues. The Bible praises Moses as the humblest man on earth. In Proverbs we read that "pride goeth before destruction, and a haughty spirit before a fall." There is considerable daylight between the secretary of state's paean to power and the Sermon on the Mount—which isn't to say that I would bet America's survival on the proposition that the meek shall inherit the earth. I suggest, unoriginally, that what we call the West emerged from, and is sustained by, the continuing tension between Athens and Jerusalem, not either in isolation from the other.

In 2022, Nate Hochman, the young man who is now Mr. Rubio's chief speechwriter, published a prescient article tracing the decline of the religious right in the Republican Party and the rise of a less religious form of conservatism that embraces national self-assertion over any form of universalism, including Christianity. Mr. Rubio's speech is evidence of this shift.

Years ago, I was the token liberal at a conference dominated by conservatives of various stripes. When I expressed concern about the rise of Christian nationalism, a traditional conservative acquaintance replied, "If you're worried about Christian nationalism, wait till you see the pagan version."

I'm beginning to understand what he meant.

A Gentle Faith on the Road to Heritage USA

By Caroline Aiken Koster

When I heard about the death of Jim Bakker, the scandalous televangelist who fleeced his flock in the 1980s, I recalled going "undercover" as a college newspaper reporter to visit Bakker's theme park, Heritage USA.

In 1987 I set out one morning from Duke University on my 160-mile pilgrimage to the Bakkers' "Christian Disneyland" in Fort Mill, S.C. I drove the aging four-cylinder Ford Escort my grandmother had lent me, a car not much faster than her sewing machine. Outside Charlotte, N.C., it began to smoke. A hose had failed. I pulled onto the shoulder.

Soon enough, a battered pickup pulled in behind me. I was initially wary, but my fears were unnecessary. A polite middle-aged man raised my hood, duct-taped the hose, and followed me as I limped to a service station. I thanked him and he drove off, now late for work. In an hour, my car was fixed and I was on my way again.

I'd been baptized and raised in a mainstream Kentucky Protestant church, but my father had shared childhood stories of snake handling and speaking in tongues in his Pentecostal Appalachian congregation. I'd expected a similar spectacle at the theme park, or at least the charismatic witness of Bakker and his wife, Tammy Faye, whom I'd seen on television at political rallies and telethons.

I came in search of an exposé and found a humble tram driver.

At Heritage USA, I strolled past biblical dioramas, watched a baptism near the water slide and ate Jesus' favorite fast food, all the while on the lookout for Bakker's flashy suits or his wife's iconic mascara. I never caught a glimpse. But when I boarded a tram, I recognized someone: The driver was my Good Samaritan from the highway.

As we circled the park, we talked about faith, family and what moved him. I asked reporter's questions, hoping for something revealing. He had no inside knowledge. He had a job, a family, a belief in God and, as I could confirm, a genuine willingness to put faith into action.

I never wrote the exposé. Others uncovered the fraud that got Bakker sentenced to 45 years in prison, a term later reduced to eight years and then five. I learned a lesson about prejudging and wrote instead about a mountain sign maker I had met on a previous drive through Appalachia. He crafted highway messages reading "Jesus Loves You" and "Repent Now." No ticket sales. No TV audience. Just a quiet preacher sharing the Gospel's messages with strangers—including a student on a journey in her Mamaw's old car.

The televangelist era is now the stuff of sitcoms and HBO dramas. Some of today's young journalists still document leaders and public figures with big talk and questionable ethics. There's always another. Each generation should hold them to account, demand civic duty, respect for law, and let voters and history judge them harshly. But my visit to the park reminded me we can save our harshness for the leaders and leave room for kindness toward the ordinary people standing near them.

Bakker died last week; Tammy Faye in 2007. I can still picture the tram driver who patched together my grandmother's clunker and the sign maker lettering Jesus' words along the road. These were helpers and gentle evangelists, faithful people with solid values and a common faith.

Forty years later, they're the ones I remember most when I think of Heritage USA.

Ms. Koster is a New York attorney and writer.

BOOKSHELF | By Diana Furchtgott-Roth

A Light on the Dismal Science

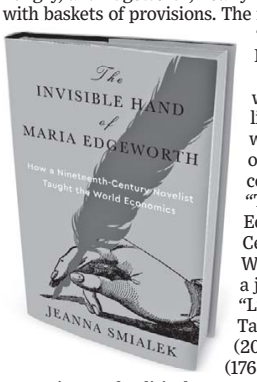
The Invisible Hand of Maria Edgeworth

By Jeanna Smialek
Knopf, 304 pages, $32

In the summer of 1822, as crop failures left parts of Ireland hungry, the Anglo-Irish novelist Maria Edgeworth wrote to her friend David Ricardo with a question: Was Ireland wise to depend so heavily on potatoes? Ricardo, the day's leading economist, thought not. Ireland was mistaken, he warned, in relying on a crop prone to failure. Poor families that could afford only potatoes would have nothing to fall back on when the crop gave out.

Edgeworth was unconvinced. Her inquiries among farmers on her family's estate at Edgeworthstown, Ireland, showed that potatoes were the most profitable crop. She believed failures could be managed with better storage and information about where supplies were plentiful.

Two decades later, the Great Famine arrived. By 1847, roughly 3,000 of the 5,000 people at Edgeworthstown were hungry, and Edgeworth, nearly 80, went from door to door with baskets of provisions. The famine, Jeanna Smialek writes, "would finally change Maria Edgeworth's mind."



If only people today were as willing to revise their views in light of fresh evidence. Edgeworth's intellectual honesty is one of many reasons to welcome Ms. Smialek's biography, "The Invisible Hand of Maria Edgeworth: How a Nineteenth-Century Novelist Taught the World Economics." Ms. Smialek, a journalist and the author of "Limitless: The Federal Reserve Takes on a New Age of Crisis" (2023), shows how Edgeworth (1768-1849) wove Adam Smith's new science of political economy into novels and children's stories that would be read across the Western world.

In her day, Edgeworth was a literary celebrity. Jane Austen, far less celebrated at the time, wrote to her niece in 1814 that she had resolved to like no novels "but Miss Edgeworth's, Yours & my own." Edgeworth was the most commercially successful novelist of her era until Walter Scott. She earned about £11,000 from her writing over her career, equivalent to about $1.7 million today. That compares with about £630 in lifetime earnings for Austen and £1,500 for Charlotte Brontë. She was arguably the J.K. Rowling of her age, wrapping moral and economic lessons for the young into popular stories. Yet today Edgeworth, as Ms. Smialek puts it, is a footnote.

Edgeworth's interest in economics began with her father, Richard Lovell Edgeworth, a charismatic inventor and landowner who married four times and fathered 22 surviving children. He chose Maria, his eldest daughter, as his assistant in managing the family's estate. This practical education complemented her reading of Adam Smith, David Hume, Thomas Malthus and David Ricardo. Her literary career was delayed by more than a decade by the influence of Thomas Day, a family friend who disapproved of women publishing. After Day died, her works poured from the presses.

Edgeworth's central conviction, that education can defeat poverty, is as relevant now as it was then. In an unpublished essay written around 1800, co-authored with her father, she argued that "in England a man who can read & write may make his way to the first offices of the state, but there is no possibility that this eminence should be attained by an illiterate poor." As Ms. Smialek explains, "the Edgeworths believed poverty and disadvantage should not be a dead-end, static state. The laboring classes should have the opportunity to raise their own position in society through effort and good behavior."

Maria Edgeworth argued that education and economic opportunity could ameliorate poverty. She carried her beliefs into novels.

Edgeworth carried the argument into her fiction. In "Ennui" (1809), the estate agent McLeod doubts "whether anything effectual can be done" for the Irish poor "till they have better education," while a neighboring landlord insists that teaching the poor to read is "adding fuel to fire." Edgeworth leaves no doubt which is the hero.

Ms. Smialek interweaves Edgeworth's story with economic debates of her time, which remain debates in ours. Edgeworth was close friends with Malthus and Ricardo and with the economist Richard Jones, who "sought her counsel." She advised the Irish politician Thomas Spring Rice, later the British chancellor of the exchequer, on relief for and education of the poor.

The famine tested Edgeworth's free-market principles. She had long preferred providing jobs to handing out relief. But when hungry men were too weak to work, and no seed was available to plant, she concluded that "the reasonable and large-minded political economist would allow that exigencies *require* exceptions." Economists have often found that theories cannot substitute for evidence. Yet Ms. Smialek notes that some British officials still invoked Malthus to justify withholding aid.

Ms. Smialek also introduces other women of the period who wrote about economics, including Jane Marcet and Harriet Martineau. The author recounts how Palgrave's Dictionary of Political Economy, published in the 1890s, included an entry on Edgeworth, written by Clara Elizabeth Collet. A major contributor to that dictionary was Edgeworth's nephew Francis Ysidro Edgeworth, the economist who lives on in the Edgeworth box taught to economics students today. It was Maria, Ms. Smialek notes, who first put Adam Smith into his father's hands.

Ms. Smialek makes the dismal science come alive with a journalist's fluidity. The book shows Edgeworth as a gifted translator of economic ideas, carrying the arguments of Smith, Malthus and Ricardo to readers young and old who would never open a treatise.

One episode, omitted by Ms. Smialek, shows Edgeworth's receptiveness to self-correction. In 1815, Rachel Mordecai, a Jewish schoolteacher in North Carolina, wrote to Edgeworth objecting to portrayals of Jews in her fiction, notably a villainous London coachmaker named Mordicai in "The Absentee" (1812). Edgeworth, who had used similar caricatures in other stories, was moved. Her next novel, "Harrington" (1817), follows its narrator from a childhood fear of Jews to admiration for them. The two women corresponded for the rest of Mordecai's life, and after she married Aaron Lazarus, she named her first child Marx Edgeworth Lazarus.

Ms. Smialek suggests that Maria Edgeworth has fallen into the twilight of history. Her book may well lead a revival.

Ms. Furchtgott-Roth is a distinguished fellow at the Energy Policy Research Foundation and the author of "Women's Figures: An Illustrated Guide to the Economic Progress of Women in America."

OPINION

REVIEW & OUTLOOK

The Wealth Tax Stakes in California

California is the nation's biggest laboratory for progressive policies and now stands as the political testing ground for the next socialist crusade—a wealth tax. Vermont Sen. Bernie Sanders made the stakes clear at a recent rally in the state stumping for Prop. 40, a ballot initiative that would establish a 5% tax on residents with more than $1 billion in net worth.

If Prop. 40 passes, it will be part of the 2028 Democratic campaign.

"The whole country, and frankly people from around the world, are paying attention to what is happening here," the Vermont socialist said. "People are asking: 'Is it possible?' And you are going to do it and show the world it is possible?" He's right that the stakes are bigger than the Golden State. As Californians vote, so the Democratic Party is likely to follow.

Championing the initiative is the SEIU-United Healthcare Workers West, which claims the (supposedly) one-time wealth tax will raise $100 billion. That's doubtful since many billionaires have already vamoosed to other states. California Tax Foundation visiting fellow Jared Walczak estimated this spring that departures had already taken $777 billion in wealth out of the state.

This flight is a major reason Gov. Gavin Newsom, the California Teachers Association and pragmatic Democrats like San Francisco Mayor Daniel Lurie oppose the tax. The teachers union is also angry that healthcare programs would soak up 90% of the proceeds, bypassing a state constitutional requirement that roughly half of tax revenue go to public schools.

Targeted individuals would have to pay tax on nearly all their assets worldwide, including artwork, trusts, yachts, business interests and even a dependent's assets. A Rembrandt in a Miami penthouse would be taxable in California.

The tax would also apply to a taxpayer's share of voting control in private companies. So if a startup founder owns 10% of shares that carry 50% of voting rights, he'd have to pay tax as if he owned 50% of shares. This is intended to punish entrepreneurs who exercise control over companies.

As the Hoover Institution's Joshua Rauh explains in a new paper, Prop. 40 sets a trap for taxpayers by determining liability based on residency on Jan. 1, 2026. Because it can take months to establish residency in another state, billionaires would likely have had to initiate their relocation last autumn.

Yet they could still be soaked if the state Franchise Tax Board determines based on "all the facts and circumstances" that "a substantial purpose" of their move was to avoid the tax. The wealth tax's supporters say it won't spur billionaires to leave, but then why write in this "general anti-avoidance" rule?

Prop. 40 calculates a person's net worth for the purposes of assessing liability on Dec. 31, 2026. If markets and shares in high-flying companies later tumble, tough. The measure would allow taxpayers with illiquid assets—say, shares in private companies—to stretch out their payments over five years, but at a hefty 7.5% annual interest charge.

Oh, and don't believe the claim that this is a one-time tax to deal with federal Medicaid cuts. Federal Medicaid payments to California have increased 14% ($16.4 billion) over the last year and exceed the entire general fund budgets of all 49 other states. The wealth-tax revenue would be baked into California's Medicaid budget, much of which will go to fraudsters.

Proponents will almost certainly later seek to extend the tax beyond a year, or lower the wealth threshold at which it hits. All they would need is a two-thirds vote of the Legislature and the Governor's signature. Democrats control roughly three-quarters of seats in both chambers. If voters approve the tax, Democrats may be emboldened to expand it.

There are also strong arguments that the tax violates the state and U.S. constitutions, including the Fifth Amendment's takings clause and the Commerce Clause. But don't bet on California's progressive High Court striking it down. There's also no guarantee the U.S. Supreme Court will step in to save Californians from their policy blunder.

* * *

Recent polls show Prop. 40 narrowly ahead, and Mr. Newsom has failed to forcefully oppose it. Instead, he has forged common cause with its supporters by endorsing a national wealth tax and fanning the scare about the GOP Medicaid reform. If the measure passes, he and other Democrats are certain to make a wealth tax a main plank of their platforms for the White House in 2028.

European nations have imposed taxes on individual net worth over the years, but most have repealed them. They have failed as economic or revenue-raising policy. Americans have long resisted a tax on wealth. Local property taxes on homes are relatively small. If Californians cross this Prop. 40 Rubicon, get ready for a new era of wealth confiscation in America.

Why Is Britain Still Appeasing Iran?

The plot against the U.K.'s Fairford air base and its U.S. B-1 bombers was "almost certainly directed by Iran's Islamic Revolutionary Guard" (IRGC), British Prime Minister Andy Burnham said Monday. In response, Foreign Secretary Ed Miliband summoned the Iranian ambassador for a talking-to and sanctioned two Iranian operatives already under U.S. sanctions—because that'll show 'em.

The regime plots terror attacks on U.K. soil and pays no price.

The louder message is that Britain is still too irresolute even to expel the Iranian ambassador. That's what Australia did after finding that Iran's regime had directed terrorist attacks against a synagogue and a kosher cafe on Aussie soil. The Brits found earlier this year that an arson wave targeting U.K. Jews was the work of the IRGC.

But the Labour government doesn't seem too bothered. Mr. Miliband met Iran's foreign minister and shook his hand in September. The explanation was that a strong statement had been delivered, but all know such statements don't deter Iran. They embolden it, furnishing fresh evidence it can get away with terror in the U.K. A few days after the handshake, the plot against Fairford proceeded.

The U.K. has issued several summons of Iran's ambassador in recent years, but they must not have had much effect, unless one counts provoking laughter in Tehran. On Tuesday Iran even summoned the U.K. ambassador in reply.

Again Mr. Miliband says "Britain will not tolerate threats on our soil" while its actions suggest Britain will do just that. This isn't a "one-off" in the U.K. for Iran's regime, notes Kasra Aarabi, director of IRGC research at United Against Nuclear Iran: "More than 20 IRGC terror plots have been foiled since 2022 alone."

Ken McCallum, head of the U.K.'s MI5 intelligence agency, said in his annual threat briefing on Tuesday that Iranian operations in Britain are expanding. He cited attacks on Jews as well as "Iranian ambitions to come at harder targets." More than 50 people have been arrested in connection with Iran-linked operations in the U.K. in the past year, he added, calling the Fairford plot "not unique."

For a proud, free nation, that should be enraging. Yet Britain still hosts the Iranian regime's ambassador and active embassy, its soft-power infrastructure and even a special U.K. office of the Iranian Supreme Leader. It hasn't proscribed the IRGC as a terrorist group, preferring a weaker designation. Whatever Labour may say, the message so far from the U.K. is fear and indecision.

Jessica Tisch, Mamdani and the Left

Most Americans probably think New York City gets more media attention than it deserves, but the fate of socialist Mayor Zohran Mamdani will have national implications. And his fate is tied in part to that of the police commissioner he inherited and retained, Jessica Tisch.

New York's mayor is under socialist pressure to fire his police chief.

Yet Mr. Mamdani is now under pressure from his own left-wing supporters who elevated him to City Hall to sack Ms. Tisch. The Democratic Socialists of America, to which Mr. Mamdani belongs, is demanding that he "fire" her for not helping "drive ICE [Immigration and Customs Enforcement] out of New York City."

The DSA pressure began after ICE agents shot Oscar Belgal, a 28-year-old illegal immigrant. Mr. Belgal and his five-year-old son were in a car in the Marble Hill area of the city on Oct. 8 when they were approached by ICE agents as part of a targeted immigration enforcement.

When Mr. Belgal began to move the car, ICE agents fired seven rounds, hitting him in the neck (Mr. Belgal survived). An ICE spokesman says he "weaponized his vehicle" by ramming police cars, was threatening ICE agents, and has gang ties. Mr. Belgal had two prior arrests in the city, including one for robbery, according to the New York Police Department.

An investigation is underway, but the DSA is using what happened to villainize Ms. Tisch and the NYPD, who had no part of the incident. The DSA wants the mayor to "abolish the NYPD's Strategic Response Group (SRG) and Community Response Team (CRT)," which they accuse of overzealous policing.

Go figure. Ms. Tisch is Mr. Mamdani's best appointment, and the main reason the city hasn't seen more people leave. Her focus on "quality of life" policing and other modern methods are a major reason the city has less disorder and falling crime rates.

The NYPD says major crime in the city has declined 6.6% in 2026 with even sharper drops in serious crime. The city recorded historic lows in shootings and murders in the first nine months of 2026. Shooting incidents fell 11.6% to 489 from 553. There were 14.4% fewer shooting victims (594 from 694) and 19.8% fewer murders (203 from 253).

It's tempting to enjoy Mr. Mamdani's political dilemma here as he deals with a revolt on his left. But he's not going to find a better commissioner to run the NYPD. The mayor and the city need her more than she needs the job.

LETTERS TO THE EDITOR

Readers Revolt Against Trump's Diesel Plan

Regarding your editorial "Trump's Diesel Insult to Lindsey Graham" (Oct. 12) about President Trump's deal to buy Russian diesel fuel: So, he's going to subsidize Russia's war with Ukraine in a desperate attempt to buy votes in the Nov. 3 general election and hurt our staunch ally Ukraine? This deal isn't likely to lower the cost of diesel fuel much before the general election. Further, we were led to believe that Mr. Trump could bring the war to a conclusion in 24 hours. How are we going to bring this nearly five-year-old war to a peaceful conclusion if we aid the Russian war machine?

Doug McFadden
Niskayuna, N.Y.

In the same week, I read articles in the Journal about a Russian airstrike that killed innocent civilians on a bus in Ukraine and the announcement that the U.S. has made a deal to buy diesel fuel from Russia. This gives me an upset stomach.

Bob Foster
Saratoga, N.Y.

The U.S. has much of which to be proud. This isn't one of those times. This diesel fuel will be paid for with the blood of Ukrainians. I voted for Mr. Trump, and will vote Republican in the midterms. But whenever I fill up my three-quarter-ton Chevrolet with diesel fuel, I will wear the shame Mr. Trump has brought upon us all.

Steven Martin
Rockwall, Texas

My heart could sink no lower when I learned of Mr. Trump's deal with Vladimir Putin. I guess the temporary pain of diesel that costs more than $6 a gallon trumps the loss of lives in Ukraine.

Charles Treichel
Madison, Wis.

Buying diesel fuel from a mass-murdering dictator spotlights the president's low opinion of American voters. It won't buy my vote, only my contempt.

Dan Jones
Eureka Springs, Ark.

Higher Education Isn't Lacking in Innovation

In his op-ed "Pouring Money Into the Ivy League Won't Solve Its Problems" (Oct. 9), Jeff Yass argues that even large gifts make little difference at wealthy universities.

To foster competition and innovation, he writes, donors should give to "alternative institutions" such as Carnegie Mellon University's proposed Miami campus or the University of Austin.

He insists that funding new, innovative competitors in the field is the only way to prompt reform, but he overlooks that there is already enormous variation, competition and experimentation in American higher education.

The vast majority of the roughly 4,000 degree-granting institutions in the U.S. are constantly competing with their peers, with new models such as competency-based education and co-op programs. Recent innovations range from Minerva University's borderless campus to Paul Quinn College's urban work model. Hundreds of universities have cutting-edge programs in computing, information sciences and artificial intelligence. Mr. Yass is wrong to dismiss elite institutions as "culturally malignant rackets that should be put out of business."

Donors can—and do—have an enormous effect on universities. Gifts addressing "societal challenges" include Michael Bloomberg's effort to make Johns Hopkins's medical school tuition free and John and Ann Doerr's gift to Stanford to launch a school of sustainability focused on climate and the environment.

As laudable as Carnegie Mellon University's new campus may be, universities have for decades promoted interdisciplinary study of subjects ranging from genomics to bioengineering, neuropsychology and big data.

Attaching labels like "disruptive" and "innovative" to "alternative institutions" doesn't make them a cure for all the ills Mr. Yass imagines higher education suffers.

David Wippman
Emeritus president, Hamilton College
Bethesda, Md.
Glenn Altschuler
Cornell University
Ithaca, N.Y.

U.S. Manufacturers Need Permitting Reform

Your editorial "Permitting Reform at Last, Really?" (Oct. 6) rightly highlights the urgent need to advance energy permitting reform. For manufacturers across the country, the consequences of inadequate energy infrastructure are already being felt.

America's manufacturing sector employs some 13 million people and forms the backbone of our nation's supply chain, including for national defense goods. Politicians on both sides of the aisle champion domestic manufacturing and support reshoring, investment and the jobs this industry provides. If Congress is serious about strengthening American manufacturing and competing with China, lawmakers must work together to pass the energy permitting reform bill.

Manufacturers depend on reliable, affordable energy. Without additional infrastructure in the form of natural gas pipelines, transmission and generation, our manufacturing supply chain will become increasingly fragile and even break.

The warning signs are already glaring. Our members report that in September, one of our nation's lowest natural gas demand months, five interstate natural gas systems restricted natural gas to manufacturing companies due to inadequate capacity, raising serious concerns about what will happen this winter at peak demand. Last winter, 47 natural gas pipelines restricted or curtailed supply to manufacturers, resulting in significant economic costs and disruption to U.S. supply chains. Some companies paid over $100/MM Btu for natural gas.

These constraints threaten U.S. competitiveness and increase our dependence on foreign supply chains. We need energy infrastructure, and permitting reform must be a priority.

Paul Cicio
Chairman, Electricity Transmission Competition Coalition
Washington

Shapiro's Education Policies

Regarding your editorial "Democrats Have No School Choice Excuse" (Oct. 9) about Pennsylvania Gov. Josh Shapiro and the Federal Scholarship Tax Credit: This is an opportunity to empower Pennsylvania's children and families—and to unite people in support of America's future.

Programs like the scholarship tax credit are essential for giving students the ability to compete and win on the global stage. If they're going to rise and lift up our country, their families need the freedom to choose the education that's best for them. Polls show that Pennsylvanians overwhelmingly support such policies. So do national polls about Americans as a whole.

Mr. Shapiro should seize this opportunity to unite his state, especially if he has national ambitions. Mr. Governor, please put aside politics, and put families and children first.

Rev. Joshua C. Robertson
Black Pastors United for Education
Harrisburg, Pa.

Navi Pillay and the Tainted Nobel Peace Prize's History

Your editorial "A Nobel Prize for Hating Israel" (Oct. 10) said it would be difficult for the Nobel Committee to bestow its peace prize on a less-worthy recipient than the current winner, Navanethem "Navi" Pillay, "whose career has been marked above all by hatred for Israel and the Jews who support it." Allow me to submit a nomination: That would be the father of modern Mideast terrorism, Yasser Arafat, who won the prize in 1994.

Jim Grodnik
Brevard, N.C.

CORRECTION

Four hundred thousand dollars is roughly 200% of the median household income for a family of four in Silicon Valley. The Oct. 13 editorial, "California Has a Home to Sell You," misstated the figure.

Letters intended for publication should be emailed to wsj.ltrs@wsj.com. Please include your city, state and telephone number. All letters are subject to editing, and unpublished letters cannot be acknowledged.

Pepper ... And Salt

THE WALL STREET JOURNAL

"Just ask 'Mr. Wealth of Information' over there."

Milton Friedman's Courageous Candor

By Arthur M. Diamond

Friends of free markets lament that we need, but can't find, new Milton Friedmans to refute emboldened socialists. We might have better luck if we remembered what we are trying to find.

Fifty years ago Wednesday, Friedman was awarded the Nobel Prize in economics. The Associated Press reported that the Nobel committee had an unusually long and heated discussion of his nomination. Some members were rumored to have objected to Friedman's policy proposals in his " 'careless' commentaries in his magazine columns."

In Newsweek and elsewhere, Friedman proposed a better world of progress and freedom. His arguments were strong, and he delivered them with courage, clarity and a disarming good humor that was magnified by his directing them at ideas, not people. Gary Becker, Friedman's former student and an eventual Nobel winner himself, said Friedman

The economist who became a Nobel laureate 50 years ago skewered not people but bad ideas.

"was the most intellectually courageous person I have ever known, willing to say something if he believed it was right, damn the consequences." The consequence was that Friedman sometimes had to take ill will from those who didn't want to hear what he said.

Friedman took ill will from the American Medical Association when he argued that licensing physicians limited their supply and thereby reduced patient access to healthcare. He took ill will from his fellow economists who were receiving National Science Foundation funding

EVERETT/SHUTTERSTOCK

Milton Friedman in 1980.

when he argued that the NSF should be abolished because it burdened taxpayers and reduced innovation. And he took ill will from the Marxist Spartacus Youth League (who for years disrupted his speeches) when he argued that their socialism would bring the end of progress and freedom.

Early in his career Friedman took ill will from the socialist-oriented and highly mathematical Cowles Commission. The commission was an important part of the University of Chicago economics department and included a couple of members who went on to receive Nobel Prizes. At Cowles Commission seminars, Friedman persistently argued that their modeling choices were arbitrary and their complex general equilibrium multiple regression models didn't generate predictions supported by the evidence.

Friedman's experiences strengthened his argument. During World War II, while working for the government, he had used multiple regression analysis—a means of statistical prediction—to try to devise two stronger alloys for use in military airplanes. When he sent his proposed alloy mixtures to be created and tested at an MIT lab, both alloys burned up in a few hours, leading him to a lifelong skepticism of multiple regression analysis.

Jennifer Burns tells in her biography of Friedman how the members of the Cowles Commission decamped for Yale rather than stay in Chicago and face his persuasive arguments. This gave Friedman the opportunity to build a major economics department that practiced methods and pursued goals different from others.

Economists Arjo Klamer and David Colander reported in their 1990 book, "The Making of an Economist," that when they surveyed graduate students at four major economics departments, those at MIT, Harvard and Columbia thought they were doing mathematical puzzle-solving. Those at Chicago thought they were applying price theory to understand how the world worked and make it work better. Many called this the Chicago School; Friedman called it good economics.

Friedman believed that good economics required free speech, and sometimes he quickly changed his mind in response to new evidence and arguments. When British economist Ronald Coase presented some of his ideas, Friedman was at first skeptical but came to agree with Coase after a lively discussion one evening. George Stigler, Friedman's close friend and co-founder of the Chicago School, said, "What an exhilarating event!"

On some other issues, Friedman's views evolved more slowly. He partly regretted his early effort to make income-tax withholding more efficient, seeing it as a stimulant to the growth of government. His later proposal for income tax policy was called the "negative income tax," a form of what today is called universal basic income. I speculate that if he were alive today, he might see it as another regrettable proposal that is also likely to stimulate government growth.

A cheery disposition didn't keep Friedman from seeing that a "tyranny of the status quo"—the title of one of the books he wrote with his wife, Rose—often blocked the adoption of good policies. But he also saw that in times of crisis, officials would seek out alternative policies that economists had developed and kept alive. Today we have a healthcare crisis. When I first met Friedman in about 1973, I remember his supporting the abolition of the Food and Drug Administration. When I last heard him speak, more than 30 years later (about a year before his death in 2006), he was still keeping this policy alive, still explaining that the FDA made healthcare very expensive and most importantly reduced drug innovation.

At 5 feet tall, Milton Friedman wasn't physically imposing. He was short, but not short on perseverance, goodwill, clarity and courage.

Mr. Diamond is a senior fellow at the American Institute for Economic Research and author of "Openness to Creative Destruction: Sustaining Innovative Dynamism."

Pass Trump's Defense Budget

By Owen West

As a natural-gas trader for 20 years, I hedged tail risk: low-probability events with catastrophic consequences. Most days, prices move predictably. But every so often, a hurricane or cold snap makes prices soar. The potential for severe weather creates what statisticians call "fat tails." Traders don't wait for storms to make landfall before hedging risk. We price danger while it is still theoretical, adding insurance as new information fattens the tail.

The U.S. military faces fat tails in several theaters. On top of these threats is a structural shift in warfare eroding U.S. military power. After the Cold War, America paired force projection with computing power for a strike capability that could reach "anywhere, anytime." Today, plummeting computing costs and the mass production of commercial parts have given our adversaries their own surveillance-strike capabilities. Simply put, our war model

A $1.5 trillion boost would restore deterrence and advance innovation.

has been disrupted. Cheap drones have flown unhindered over U.S. bases, a new space race is taking shape with Beijing, and U.S. adversaries are mass-producing ballistic missiles at an unprecedented pace.

If the U.S. can meet these challenges, the future of American military dominance is bright. The U.S. leads global artificial intelligence rankings and we possess the world's most adaptive troops. Secretary Pete Hegseth plans to establish an Autonomous Warfare Command that will integrate drones and other unmanned systems across the military and change the future of warfare. Congress must provide appropriations to meet the moment.

President Trump has requested a one-time increase in defense spending to $1.5 trillion. This funding would allow the Pentagon to make necessary investments in drones, AI and space technologies while blunting real-time threats.

Congress shouldn't treat fiscal 2027 as a routine budget cycle. Defense appropriations have become a political chew toy—interrupted by continuing resolutions and funding lapses. New regulations, about 1,500 since 9/11, and the Pentagon's eroding purchasing power have drained our armory. Between 1986 and 2026, defense spending fell from more than 6% of gross domestic product to about 3%, while rising personnel costs cut weapons procurement by roughly 75%. The result is a portfolio dominated by "must pay" bills with little room to adapt to battlefield revolutions.

Without Mr. Trump's proposal to boost defense spending—including $350 billion to be paid for in budget reconciliation legislation—we are left with hard choices. Either we focus on costly upgrades to manned platforms that could lock up funding for decades or we diversify into autonomous technologies and cheaper systems we can field at scale. We can't afford both.

New money, spent wisely, works. When Congress approved reconciliation funding in 2025, Mr. Hegseth used an acquisition strategy focused on our military's greatest comparative advantage: front-line troops. The $1.1 billion Drone Dominance program, designed to boost domestic production through competition, is a clear example. Congress provided an advance-purchase commitment that encouraged hundreds of companies to compete. Troops ran the drones through trials, and a handful of winners earned contracts based on performance and scalability. Within a year, the Army and Marines plan to field 200,000 cutting-edge drones at one-tenth of what they cost in 2024.

In the early 1980s, Congress enabled President Reagan to rebuild our military and restore deterrence by funding new capabilities such as precision-strike weapons. We can do the same now: fund the pivot toward next-generation capabilities without sacrificing deterrence in the short term. Mr. Trump's defense budget request is 4.4% of gross domestic product, a third less than Reagan's. That is a modest premium to reduce the risk of being unprepared for the next storm. Better to buy insurance while it is relatively cheap than pay the greater cost of responding after a crisis strikes.

Mr. West is the CEO of Project Agincourt, the Pentagon program to develop Autonomous Warfare Command. He has served as a Marine officer, director of the Defense Innovation Unit and assistant defense secretary for special operations.

The Livestreamed Execution Is a Bad Idea

UPWARD MOBILITY
By Jason L. Riley

Defense Secretary Pete Hegseth wants to livestream the execution by firing squad of Nidal Hasan, the terrorist who shot and killed 13 people and wounded dozens more at Fort Hood, Texas, in 2009. Even allies of the Trump administration who support the death penalty think this is a bad idea. Vice President JD Vance told reporters he wouldn't watch it.

One obvious problem with the Pentagon's plan is that Mr. Hasan and his fellow Islamists would probably like nothing more than a public execution, which would be used as a recruiting tool. Why give someone who has already inflicted so much pain and suffering a propaganda victory as well, when justice can be served without the spectacle?

There's no consensus on whether capital punishment is a strong deterrent, but for many people on the right and left, that's a secondary concern. Executing certain criminals is a way for civilized societies to express moral outrage at the most depraved acts of cruelty. Even for heinous crimes short of murder, many see it as fitting retribution.

When a Supreme Court ruling in 2008 struck down state laws that made raping a child a capital offense, polling showed that a majority of Americans sided with the states. Both presidential candidates, Barack Obama and John McCain, denounced the decision.

Jihadists aren't deterred by the prospect of dying. They crave martyrdom in hope of inspiring like-minded followers to commit more acts of terror. That's no reason to spare Mr. Hasan's life, but it is a reason not to sensationalize his execution. Several Republican lawmakers who usually support the administration have argued that broadcasting Mr. Hasan's death would reflect poorly on America. "A civilization erodes when it cultivates an appetite for executions as a form of entertainment," Sen. John Curtis (R., Utah) wrote on social media. Sen. John Kennedy (R., La.) said: "If it were me, I wouldn't televise it or publicize it or whatever they're doing. . . . It makes our society coarser, and I wouldn't do it."

If anything, Mr. Trump's lack of polish and social grace has endeared him to his MAGA supporters, so the president isn't likely to share the senators' concerns about declining civility. Nevertheless, history teaches us that it would be a mistake to dismiss these objections. In 19th-century New York, people attended public hangings the way they attend Yankees games today.

The events drew such large crowds that city officials eventually had to find bigger venues. One hanging in 1824 drew 50,000 onlookers, nearly a third of New York's population. "The city would later order future executions moved to nearby Blackwell Island (now Roosevelt Island)," historian Vincent Cannato wrote. "But the public could not get enough. At the next execution, they arrived in boats so numerous they shut down river traffic."

Eventually, hangings were moved inside the city prison and out of public view, but local officials had no jurisdiction over federal executions, which continued to take place outdoors on Ellis Island in New York Harbor. Before becoming a gateway for millions of immigrants seeking a new life in America, Ellis Island was known as Gibbet Island, a reference to the post on which corpses of criminals were hung for display following an execution.

America did away with public hangings for a reason—and Nidal Hasan might want the attention.

A contemporary account described one Gibbet Island execution as being "crowded with men and women and children—and on the waters around, were innumerable boats, laden with passengers, from the steamboat and schooner, down to the yawl and canoe." Public hangings ended there in 1839, but they continued until 1860 on neighboring Bedloe's Island, where the final execution drew roughly 10,000 spectators. Today, Bedloe's Island is where you'll find the Statue of Liberty.

By the early 1900s, executions had mostly been removed from the public square. America's growing middle class had developed different sensibilities. Shame and humiliation were no longer the priority. Public hangings increasingly were viewed as cruel, medieval and undignified. The carnival atmosphere embarrassed law enforcement and elected officials alike. Executions not only were moved indoors or behind walls but occurred late at night. The criminal-justice system became more professional, and less-theatrical punishments were deemed more humane.

According to the Pew Research Center, two-thirds of U.S. adults favor capital punishment for people convicted of murder. Mr. Hasan's surviving victims and his victim's families should be able to witness his death, but broadcasting the execution for millions of gawkers would be retrogressive and counterproductive. Justice would be better served without the fanfare he presumably desires. State executions may be appropriate, but they don't need to be glorified.

The Elder Influencer

By Lou Weiss

Influencer culture is flourishing, but the idea of people being moved to action is as old as the Bible. You'll recall the tale of the serpent influencing Eve, who influenced Adam, ending with God making the first fashion statement. Abraham, Moses, Jesus—all great influencers whose work still resonates. They mostly relied on moral suasion, when for the previous few thousand years much influencing came at the point of a sword.

What is really the world's oldest profession has devolved from pitching ethical monotheism to getting free merch. Today's target group is teenagers, who famously succumb to peer pressure. In one poll, 57% of Generation Z respondents said they aspired to be influencers.

Heroes and role models have always captivated us. As a mediocre but enthusiastic athlete in my youth, I idolized Willis Reed of the Knicks. He was the pivot for the 1969-70 sharp-passing NBA champs, and I can still see him limping out for the famous Game 7. My sneakers of course were Pro-Keds like my idol's.

Marketing mavens say it's tough to get oldsters to change brands. At 70 I may be on my seventh Subaru, but that self-driving Tesla has turned my head. The time seems right for an elder influencer, and I am putting myself out there for the job. Credentials? My earliest product ideas, dreamed up more than 60 years ago, fused physics and the culinary arts. By carefully separating two Oreo cookies into a crème side and a cookie side and putting the crème sides together, I created "Extra Icing"—what years later came to be known as the Double Stuf Oreo. You're welcome.

A more recent concept is "Sleeping Late." I have been doing this for the past decade. In 2022 the American Heart Association added sleep to its health checklist. Coincidence? I don't think so. The trick to jumping on this trend is to lower the air-conditioner to 66 degrees, get in bed and stay there.

Another gem is a little thing I call "Living With Illness." For 25 years I've been dealing with multiple sclerosis and assorted other maladies. This necessitates using canes, trekking poles and the occasional walker as well as taking a wheelchair to the airport gate. Seeing as falls can do you in, prepare to "GOTH"—Get Over the Humiliation—of using equipment to help you get around. There, was that so hard?

Next is "C-Span 2 Saturday Night." That means "Book TV." Tune in to be up on the latest reads and learn a bit about American history in the process. When the dinner-party

I enjoy merch as much as any youngster and I have ideas for oldsters like me.

conversation turns to the French and Indian War or the Whiskey Rebellion you will dominate without having read a word of an actual book. I learned most of my U.S. history from C-Span, and life goes smoother when you "Pretend to Know Something."

Of course, what would an influencer be without a shoe contract? Two words: "Penny Loafers." I've been wearing them since seventh grade and generally have them resoled several times. The savings are great, and that fits with a theme of my influencing: "Spending Less." Maybe that's why, to this day, I remain uncompensated for my best work.

Mr. Weiss is a Pittsburgh carpet salesman.

THE WALL STREET JOURNAL.
PUBLISHED SINCE 1889 BY DOW JONES & COMPANY

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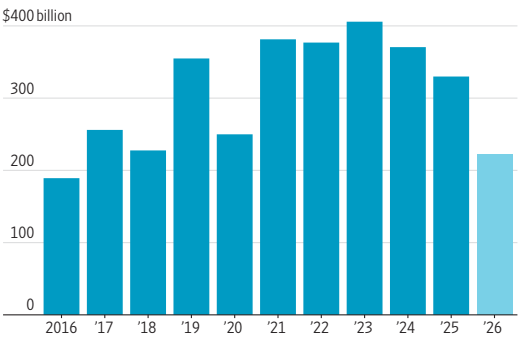

Note: 2026 data is as of Sept. 30. Source: PitchBook

Small firms are the most at risk, lacking businesses to help offset troubles

By Mark Maurer

In the past year, about one-third of New State Capital Partners' employees have left the private-equity firm as prospects for big payouts dimmed for some of them.

Employees had been counting on pay from the firm's second fund, which began investing in 2018. But the fund's portfolio companies underperformed and rising borrowing costs are expected to make it harder for New State to pay profits from the fund to its employees, according to people familiar with the matter.

Some of the dozen or so employees who left feared another one of New State's four funds could be facing similar challenges and questioned the firm's likelihood of raising another new fund, the people said.

The New Rochelle, N.Y., firm, which was founded in 2013 and manages about $2 billion, is among the private-equity firms feeling squeezed by the challenges affecting the industry.

Firms that have already been struggling are bracing for conditions to get even worse with interest rates climbing. Higher borrowing costs threaten to dent the outlook for their portfolio companies, and make them even harder to sell.

The firms most at risk are relatively smaller—managing less than around $15 billion—and lack other lines of business that could help offset any troubles. Wall Street giants

Please turn to page B2

BofA to Pay $1.2 Billion In Launder Settlement

Regulators fined **Bank of America** $1.2 billion after finding it had insufficient systems to monitor and report possible financial crimes, including money laundering by Chinese underground bankers and suspicious activity along the Southwest U.S. border.

*By **Dylan Tokar**, **Ben Glickman** and **Katherine Hamilton***

Officials on Tuesday said Bank of America had failed to report to the appropriate authorities more than $5 billion in suspicious activity, some of which they said posed a national-security risk**.**

Regulators and law enforcement rely on banks to be a first line of defense against money laundering. To do that, they must collect extensive information on their customers and screen transactions for signs of criminal activity.

Please turn to page B2

Trump's Pledges On Factories Face Big Challenges

By Bob Tita and Costas Paris

President Trump touts his ability to attract billions of dollars in investment to bring manufacturing back to the U.S.

But getting the projects up and running will mean clearing many of the same hurdles that drove heavy industry out of the U.S. Workers are hard to find. Wages in the U.S. are high. Pricing is uncompetitive. Customers have moved on, and space is tight.

In Philadelphia, a $5 billion shipyard project needs more space for shipbuilding and has challenges attracting more customers beyond its owner, Korean company Hanwha Shipping. In Iowa, a company with an unproved record in the U.S. steel industry is developing what will be one of the largest and most expensive steel mills in the country.

The two projects are part of Trump's push to revive old-line industries in iron-ore mining, steel production and East Coast shipbuilding. They check all the boxes for Trump: They are big, audacious, expensive and expand industries he sees as barometers for America's manufacturing and national security.

Administration officials consider both as proof that Trump's tariffs and diplomatic strategies to attract more foreign investment are working. Trump announced the Iowa steel-mill project last month in an Oval Office ceremony, praising the owner Mesabi Metallics' plan to invest $15 billion into a plant that will dwarf most existing U.S. steel mills of the same type.

Critics, including some Democrats, have said the Iowa project was pieced together quickly to aid Republicans in next month's midterm elections. Mesabi Metallics says that isn't the case.

Chief Executive Joe Broking said the company has long sought a way to use iron ore from its mine to make higher-value finished steel, rather than just selling the ore to someone else. That ore will allow the plant to produce a higher-quality steel than competitors that mostly rely on scrap-metal feedstock, Broking said.

"That gives us the ability to produce the highest quality steel that electric arc furnace producers have not been able to produce," he said.

The other project aims to boost commercial ship production at the historic Philadelphia Shipyard from two a year to 20. The yard has doubled its workforce to 2,500 during the past two years to handle the extra demand.

But the two projects have attracted doubts about the soundness of the business

Please turn to page B7

FROM TOP: BETTMANN ARCHIVE/GETTY IMAGES; HANNAH BEIER FOR WSJ

The Philadelphia Shipyard in 1942, top, and last month, bottom. A $5 billion project there needs more space for shipbuilding and has challenges attracting more customers.

Two Failed IPOs Show Problems In AI Trade

Just a few months ago, companies connected to the AI business couldn't go public fast enough, as far as investors were concerned. Suddenly, the IPO waters are looking a lot less inviting.

*By **Corrie Driebusch**, **Anissa Gardizy** and **Robbie Whelan***

Rising interest rates, a jumpy stock market and heightened political uncertainty are creating a dicey outlook for tech companies that were aiming for a fourth-quarter public offering, causing some to reconsider their timing.

The planned IPOs of Anthropic and OpenAI have both been subject to that uncertainty and a driver of it, with other

Please turn to page B2

Apple's New CEO Takes First Big Swing

By Rolfe Winkler

Part of John Ternus's strategy to keep Apple's momentum rolling is coming into view: Expand the product line. A smarter Siri would help with that push.

Apple has already announced the new, foldable iPhone Duo, which goes on sale in 10 days, and it is expected to release new variants of other core products soon. With his new smart home push, Apple's new chief executive has a chance to reinvigorate a stalled category and lock consumers more deeply into Apple's ecosystem.

On Tuesday Apple said its new $299 HomeView smart home hub, along with updated HomePod speakers and a menu of new smart home gadgetry developed with LG Electronics that includes a thermostat, video doorbell, door lock, and indoor and outdoor security cameras. Apple shares traded up, briefly pushing the company's market capitalization above $5 trillion, but closed below that level.

The global market for smart home displays, which is both small and shrinking, seems ripe for reinvention. Research firm IDC estimates that sales in 2025 were $2.3 billion, down from $2.5 billion in 2023.

Amazon and Google are the

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INSIDE

AUTOS
Stellantis shipments fell in the quarter amid planned production shutdowns. **B3**

HEARD ON THE STREET
After a run of good luck, insurance stocks look vulnerable. **B14**

'Phantom' Data Centers Seek More Power Than They Need

By Jennifer Hiller

Data-center developers are turning to utilities and grid operators for unprecedented amounts of electricity. The power industry is countering with a perhaps surprising question of its own: Are you for real?

The artificial-intelligence boom is driving a once-in-a-generation surge in electricity demand that should translate to a heyday for utilities. Yet the race has accelerated so quickly that it has become challenging to distinguish projects that are ready to build from those that might never materialize.

To plan their own investments and shield other customers, utilities are trying to filter out legitimate projects from wannabes by imposing higher electricity rates, longer-term contracts, collateral requirements and steep fees for engineering studies.

Utilities face a predicament: Underbuilding grid infrastructure risks missing a huge opportunity, but overbuilding could also be problematic. Because grid costs are shared, other electricity customers would be left to pick up the tab—and help a utility recoup its investment—if a data-center project falls through.

Jeanne Jones, executive vice

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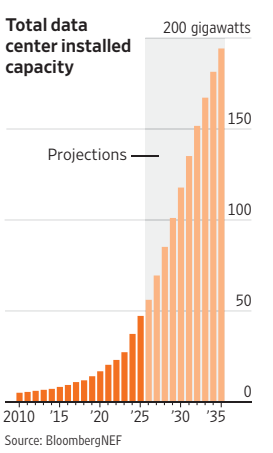
Total data center installed capacity



Source: BloombergNEF

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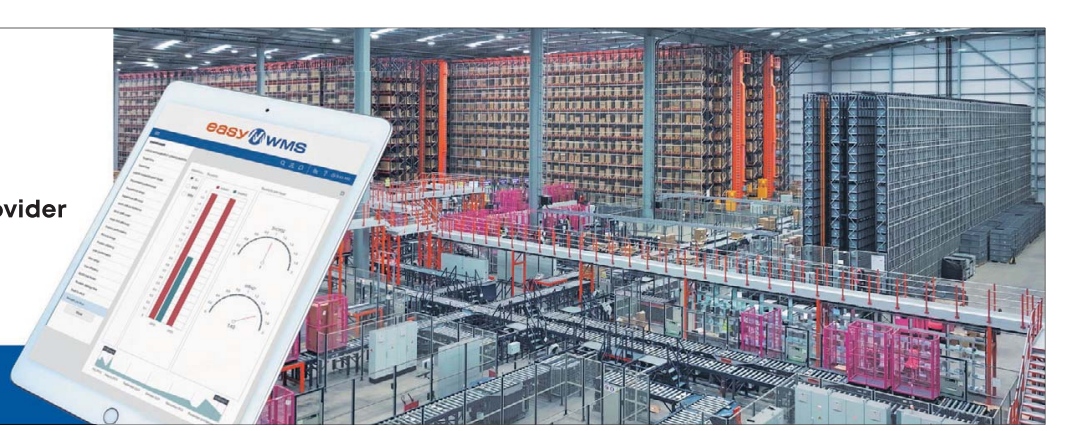

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BofA Faces $1.2 Billion Penalty

Continued from page B1

They are required to report suspicious transactions to the Treasury Department's anti-money-laundering bureau.

The levies included a $750 million civil money penalty from the Office of the Comptroller of the Currency related to anti-money-laundering deficiencies. It marks the largest-ever penalty by the OCC, which regulates national banks.

The Office of Foreign Assets Control, which oversees sanctions enforcement, also fined the bank $11.6 million as part of a settlement over apparent sanctions violations, including on Iran, Russia, narcotics and global terrorism.

A spokeswoman for the bank said it had already been working with regulators for years and had invested billions of dollars to comply with anti-money-laundering rules.

The bank's third-quarter results, expected Wednesday, would include a non-tax-deductible $1.2 billion charge, denting net income by 17 cents a share, the spokeswoman added. Shares fell more than 2% in after-hours trading.

Regulators said in the consent order that the bank had extensive knowledge of risks related to certain customers but in certain cases declined to act.

In one example, an unnamed customer was repeatedly connected to fraud schemes and high-risk international wires that were being investigated by law enforcement, resulting in more than 100 compliance cases, the filing said.

"WOW," one compliance officer wrote about how often law enforcement had asked about the client.

Other parts of the business pushed to keep the customer, eventually resulting in a plan to try to mitigate the risk associated with the client while keeping their account open, the regulators said.

Failed IPOs Show AI Problems

Continued from page B1

firms shifting their plans around what are expected to be among the largest public debuts in market history. Anthropic plans to host an investor day at its San Francisco headquarters on Wednesday after pushing its timeline back by several weeks.

The latest signs of chilliness came when two Australian data-center companies, Airtrunk and Firmus Grid, pumped their brakes on their public offerings within the span of a few days.

Firmus cited "recent market volatility and prevailing market conditions" in canceling what would have been the country's largest IPO in 30 years, with a planned raise of almost $5 billion. The company, which has a close relationship with **Nvidia** and is backed by Coatue and **Blackstone,** plans to raise funds privately and go public on a U.S. exchange next year, a person familiar with the matter said.

Airtrunk, which was preparing to list in Singapore, now hopes to go public in the first half of next year. The company, which is backed by Blackstone, was concerned about market volatility and rates.

The AI trade has powered the market to records, but there are pockets of it that are giving investors anxiety. A selloff in memory-chip makers from **Micron** to **Samsung** Tuesday spurred by concerns about fresh competitive threats from China was a reminder of how sensitive investors are to adverse developments. Shares of **CoreWeave** and **Nebius**, two neocloud firms, also traded down, continuing a weeklong slide.

Those factors, along with a domestic political environment that is increasingly hostile to data centers and wary of AI's impact, are weighing on companies across the AI infrastructure landscape.

Bankers advising data-center developers on sales and capital raises said the backlash is causing some buyers to view infrastructure companies as a risky investment. That means sellers are getting less credit for projects that are in their pipeline—or not yet built—as buyers question whether they will happen on time and on budget, bankers and investors said. Public and private investors are also getting more wary about new data-center developers with little experience of completing projects.

When **SoftBank**'s SB Energy made its IPO paperwork public in late August, it revealed that the firm doesn't have any data centers in operation. SB Energy is behind a 10-gigawatt project in Ohio for OpenAI and says that it has more than $400 billion in its backlog. The Wall Street Journal reported that SB Energy delayed its IPO date after getting pushback on its potential valuation. People working on the deal also cited adverse market conditions.

Investors are being choosier about participating in new stock offerings, with some saying they are reserving capital for Anthropic's planned offering later this year.

BUSINESS & FINANCE

UnitedHealth Lifts Full-Year View As Profit Rises Amid Turnaround

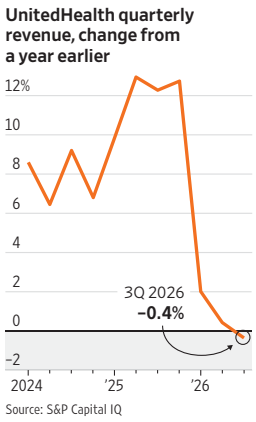
By Anna Wilde Mathews

UnitedHealth Group reported earnings that came in above analysts' expectations and again raised its projection for the year, as the healthcare company continued charting a financial turnaround.

The announcement comes more than a year after Chief Executive Stephen Hemsley returned to the top job, promising major changes after a meltdown that cut the company's valuation by hundreds of billions of dollars.

For the third quarter of 2026, UnitedHealth reported net income of $4.11 billion, or $4.56 a share. That compared with net income of $2.35 billion, or $2.59 a share, a year earlier.

UnitedHealth, the parent of the biggest U.S. health insurer and a large array of other healthcare assets, raised its guidance for full-year adjusted earnings to at least $20.50 a share. Last quarter, the company had projected a range of $19.50 to $20. Analysts polled by FactSet had estimated $19.80.



UnitedHealth's adjusted earnings of $4.69 a share in the third quarter topped the FactSet consensus of $4.14 a share.

Revenue for the third quarter was $112.69 billion, compared with $113.16 billion a year earlier.

Under Hemsley, its longtime prior CEO who returned to the position after a stint serving solely as chairman, the company has sought to pare unprofitable businesses, reducing the footprint of its sprawling physician-group unit and shrinking its Medicare plans. Its overall health-insurance enrollment is now 48.3 million, down from 50.1 million a year ago.

UnitedHealthcare, the insurance arm, reported a medical-loss ratio of 88.4%, a closely watched number that represents the share of premiums spent on medical costs. The FactSet consensus projection was 89.7%.

The company's main healthcare-provider unit, Optum Health, which was a major part of UnitedHealth's financial woes last year, reported earnings from operations of around $735 million, compared with $41 million a year ago. The company credited "strengthened operational discipline and medical cost management." Optum Health's revenue dropped as it managed fewer patients in markets where its presence had been thin.

J&J Leans Toward Orthopedics Spinout

By Alex Janin And Katherine Hamilton

Johnson & Johnson is leaning toward spinning out the hips-and-knees business that the company has been looking to hive off, Chief Financial Officer Joseph Wolk said.

"We think the best value creation at this moment in time for J&J shareholders is to spin it straight out," Wolk said. The company talked with private-equity firm Apollo Global Management about a roughly $20 billion sale, The Wall Street Journal has reported.

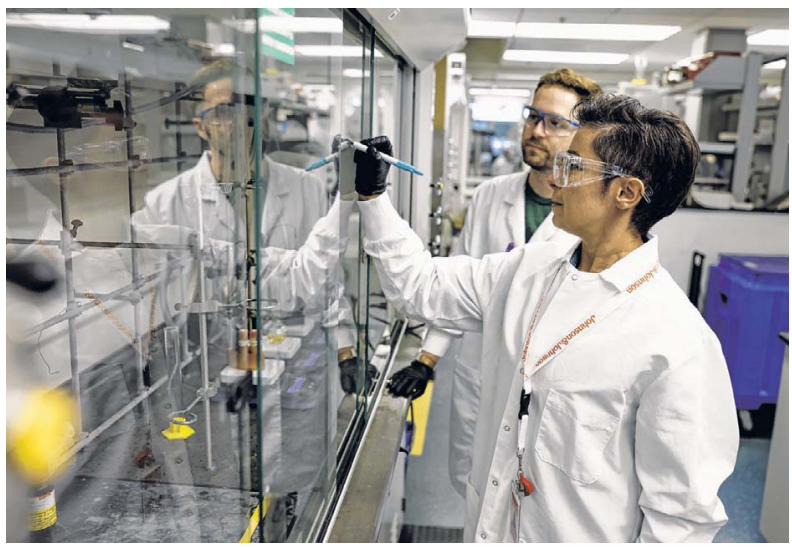
Wolk made the remarks as J&J said its sales grew a healthy 5.9% in the recent quarter to $25.4 billion, and the company raised its forecast for full-year performance.

Sales of prescription drugs powered J&J's quarterly results. The company's medical-device business didn't grow as much. While acknowledging the medical-device unit needed work, the company said it was on track to surpass $100 billion in yearly sales.

J&J is considered a bellwether for the healthcare industry because its portfolio spans so many different products. Its results show the enduring demand for medical treatment, as other industries grapple with consumers tightening spending because of higher fuel and other costs.

Weighing on the performance, however, was the company's long-running defense against lawsuits alleging its talcum baby powder caused ovarian cancer.

J&J's profit fell to $210 million, or nine cents a share, compared with $5.15 billion, or $2.12 a share, a year earlier due to a one-time charge for the proposed resolution of litigation.

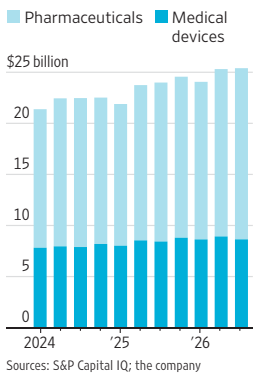

The company is considered a healthcare industry bellwether. A J&J facility in Pennsylvania.

JEFF SCHEAR/GETTY IMAGES FOR JOHNSON & JOHNSON

The company said in July that it would commit $5.5 billion to resolve the lawsuits. Its July acquisition of Firefly Bio, as well as a partnership with Sail Biomedicines, also added special charges during the quarter.

Stripping out the one-time items, J&J's adjusted per-share earnings were $2.59, ahead of the $2.52 anticipated by analysts, according to FactSet.

The company's sales surpassed analyst forecasts. Its pharmaceutical segment's $16.76 billion in sales increased 7.7% and beat Wall Street estimates, while the $8.64 billion in sales in its medical devices business advanced 2.5% and came in below expectations.



"Med tech needs to improve," Wolk said. "At 2.5% growth, we certainly weren't satisfied with that."

J&J said in October 2025 that it planned to separate its DePuy Synthes orthopedics business, which sells hip and knee replacement parts as well as bone-repair devices.

Wolk said the company has been reviewing options for the business and is thinking a spinout would be the best path. "We're not cash-strapped. We don't have to chase a bad deal to make it work," he said.

The healthcare company raised its full-year outlook for adjusted earnings per share to a range of $11.05 to $11.15, up from its prior guidance of $10.96 to $11.11.

It also lifted the low end of its annual sales view, bringing the midpoint projection to $101.2 billion, up from $101.1 billion.

Rates Hit Private Equity

Continued from page B1

like Apollo, Blackstone and KKR, by contrast, have built multiple lucrative arms that can help offset weakness in any one unit.

"I do think we're pretty close to a period of reckoning," said Chris Wood, executive managing director at Huntington Bank, about the industry's midsize firms.

New State is far from alone in experiencing partner departures and economic pressures. Uncertainty over payouts is also pushing employees at larger firms to seek opportunities elsewhere, including at places where they feel they might have more prospects to advance.

The turmoil is most pronounced for firms with funds that started snapping up companies at peak valuations in 2020 through early 2022, when rates were near zero. Selling those companies for a profit has gotten harder as borrowing costs have climbed for potential buyers, meaning the estimated returns on potential investments need to be even higher.

The exodus at New State included two of the firm's three founding partners. A spokesman for New State said the firm's head count is relatively flat from a year ago when accounting for new hires.

"New State continues to return capital to investors while actively investing from its most recent funds," the spokesman said.

New State said all four of its funds are performing above the threshold it needs to clear to pay profits.

Grinding it out

The industry's continuing challenges have made it harder to attract new investor money, with private-equity fundraising on pace for its worst year since at least 2020. Firms have raised $222 billion this year through Sept. 30, compared with $330 billion for all of last year, according to PitchBook.

The industry's challenges have made it harder to attract new investor money.

In many cases, dealmakers' focus has shifted from making new investments toward grinding through portfolio operations, which many find less engaging, said Anthony Keizner, co-founder of recruiting firm Odyssey Search Partners.

"It's not the work or lifestyle that many of these guys entering private equity imagined, and so that's leading to some disenchantment with the industry," he said.

Aterian Investment Partners, a New York-based firm that manages about $2 billion, is among those that have decided it won't raise a new fund.

Partners at the firm, which closed its fourth fund of around $830 million in 2021, have elected not to raise a fifth flagship fund, people familiar with the matter said.

Frustration grows

At New State, some employees grew frustrated after a meeting earlier this year at which they were told they might not see cash payouts from its second fund, in part because of underperformance, according to the people familiar with the matter. Word quickly spread to employees not present at the meeting.

The second fund's portfolio companies include KMS, a distributor of clearance consumer goods, and Klein Hersh, a healthcare-focused recruitment firm.

Employees worried that New State's third fund, which began investing in 2021, is headed for a similar fate as the second fund, the people said.

Payouts to employees from a fund's profit, or carried interest, often accounts for the biggest share of pay in private equity.

A fund can be above its hurdle rate—the returns that must be hit before a firm can take profits—but still not have the cash to pay employees. In those cases, employees generally receive only their base salary and bonus, which are funded out of management fees.

Bloomberg ranked New State's third fund as a top-performing fund under $500 million that began investing in 2021, as of June, based on its net internal rate of return.

A firm's net IRR can be a misleading metric because it often represents a paper figure based on the firm's own valuations rather than actual cash in hand.

New State has continued to raise capital, raising $700 million for a fourth fund last year.

The firm is also making a push in its independent-sponsor business, which it said has completed multiple investments.

Independent sponsorships, in which investment managers raise capital for each individual deal they back, have grown in popularity as a way to bring in capital during the fundraising slump.

"It's not free money anymore like it was seven or eight years ago," said Christopher Sheaffer, global chair of Reed Smith's private-equity group.

Stellantis Shipments Log Decline

Planned production shutdowns in North America contributed to quarterly slide

By Dominic Chopping

Jeep maker **Stellantis** reported an estimated 1% decrease in third-quarter vehicle shipments, as planned summer production shutdowns in North America and a drop in the Turkish market offset growth in European electric-vehicle shipments.

The company said Tuesday that global shipments—vehicle deliveries to dealers, distributors, or directly from the company to retail and fleet customers—fell to an estimated 1.29 million.

In North America, vehicle shipments fell 12% in the quarter. About 47,000 fewer cars were shipped than in the same quarter a year earlier, with planned production downtime largely hitting Jeep models, including the Grand Cherokee and Compass.

Ram shipments increased, though, with demand driven by the company's V8-powered Ram light-duty truck and the new Ram 1500 TRX SRT.

European shipments rose by 54,000 vehicles, representing a 10% increase on year. Growth was spurred by the Citroën C3, Citroën C3 Aircross, Opel Frontera and Fiat Grande Panda, as well as the new Fiat 500 Hybrid, Jeep Compass and electric light commercial vehicles.

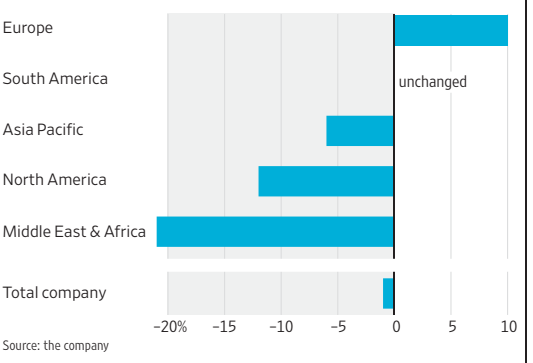
Leapmotor-branded vehicles also contributed to European growth, with shipments increasing by 34,000 units to around 44,000 vehicles. Stellantis and the Chinese EV maker have a joint venture to sell and produce Leapmotor cars outside China.

Stellantis said vehicle shipments fell 21% across the Middle East and Africa, reflecting the impact of the regional conflict and weaker market conditions and reduced shipments in Turkey because of the planned launch of local small van production.

BENJAMIN GIRETTE/BLOOMBERG NEWS

Citroën C3 Aircross and other models lifted Europe numbers.

Stellantis 3Q 2026 vehicle deliveries by region, change from a year earlier



Source: the company

Watch a Video

Scan the code to see how Stellantis is repurposing its Fiat Grizzly.

Domino's Pizza Sales Growth Slows In Third Quarter

By Elias Schisgall

Domino's Pizza sales growth continued to slow during the third quarter even as the company logged a higher profit and a rise in revenue.

The pizza chain on Tuesday reported a profit of $152.2 million, or $4.60 a share, compared with a profit of $139.3 million, or $4.08 a share, a year earlier.

Revenue rose to $1.19 billion from $1.15 billion a year prior. The growth was due to higher order volumes, food basket pricing to stores and global franchise royalties. Analysts polled by FactSet were expecting a profit of $4.36 a share on revenue of $1.17 billion.

Same-store sales growth in the U.S. slowed to 0.3% from 5.2% in the same period a year earlier. Same-store sales were up 1% among company-owned stores and 0.3% among franchises. International same-store sales climbed 0.2%.

Global retail sales growth slowed to 3.2% from 6.3%. Global retail sales totaled $4.84 billion, up from $4.7 billion.

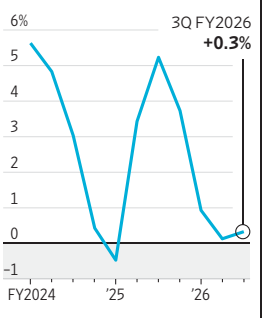
The financial report is the first to come out under Joe Jordan, who succeeded Russell Weiner as Domino's chief executive this month. Jordan had previously served as the company's chief operating officer.

"As I step into the CEO role, I am honored to lead Domino's and build on the competitive advantages that have long set us apart: our iconic brand, best-in-class franchise system, global scale and proven operating capabilities," Jordan said. "Our opportunity now is to capitalize on those strengths by getting even closer to our customers, helping our franchisees grow their profitability and turning our best performance into our everyday performance."

MICHAEL M. SANTIAGO/GETTY IMAGES

The chain's per-share profit rose to $4.60 from $4.08.

Domino's U.S. same-store sales, change from a year earlier



Note: Latest fiscal quarter ended Sept. 6
Source: the company

Saudi Charged With Bugging OpenAI

By Maxwell Zeff

A Saudi national who worked as an engineer at **OpenAI** has been arrested and charged with hiding an encrypted recording device at a San Francisco company office.

Federal prosecutors alleged Tuesday that the suspect, a 35-year-old man named Abdulrahman Alfozan, concealed the small black device in toilet paper and hid it behind a television in an OpenAI conference room in late September.

OpenAI alerted the Federal Bureau of Investigation after discovering the device, and Alfozan was arrested last week. Alfozan, who had worked on OpenAI's product team for more than a year, was charged with using or endeavoring to use a device to intercept oral communications.

The device was concealed behind a television set.

OpenAI said that it fired Alfozan. The company added that it has no indication that he accessed the model weights that drive its artificial-intelligence tools. OpenAI takes protecting its technology "as a matter of national importance," a spokesperson said.

Alfozan's lawyer didn't immediately comment.

News Corp, owner of The Wall Street Journal, has a content-licensing partnership with OpenAI.

"No use case" is a strange thing to say about money.

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Albertsons Again Is Seeking a Buyer

U.S.'s second-largest supermarket chain says it won't provide updated outlook

By Patrick Thomas

Albertsons' earnings call started Tuesday with a mea culpa and followed with a for-sale sign.

"Our performance has fallen short," said Executive Chair Meg Whitman. "Everything should be on the table as we figure out how Albertsons should be structured to better compete in the years ahead."

Whitman—the former CEO of eBay and Hewlett Packard—came to Albertson's one month ago to help the management team with strategy. She said the grocer "must turn things around."

The Idaho-based grocer is exhibit A for problems in the supermarket business.

Shoppers are cutting back on trips and spending with food prices rising. Costs for everything from energy to labor are surging. The company's stock is down about 26% so far this year and is on pace for its worst year since 2022.

Albertsons is still digging itself out of its 2022 attempt to sell itself to Kroger for $20 billion.

Executives at the grocery chain have said two years of focusing on the deal with its rival put it behind on key business decisions, such as closing or investing in underperforming stores. It has brands including Safeway, Jewel-Osco and ACME across about 2,200 stores, primarily concentrated in the western half of the country, the Northeast and Chicago.

Albertsons' struggles after the deal collapsed were predicted by its former CEO, Vivek Sankaran, in a Portland, Ore., federal courtroom in 2024. He said the supermarket chain would close stores or lay off workers if a judge rejected **Kroger**'s takeover because of rising competition and mounting economic pressures.

The "grocery business is a zero-sum game in America," said Sankaran.

The grocer cut its initial fiscal-year view in July and pulled its forecast altogether on Tuesday. It said it won't provide an updated outlook until it completes a comprehensive review of its business during its fourth quarter. The company reported second-quarter profit of $52 million, down from $169 million a year earlier.

Analysts expect that means Albertsons will soon return to the M&A market for the first time since its failed deal with Kroger. "We wouldn't be surprised if [Albertsons] attempts to sell banners/certain regions or real estate," said Kelly Bania of BMO Capital Markets.

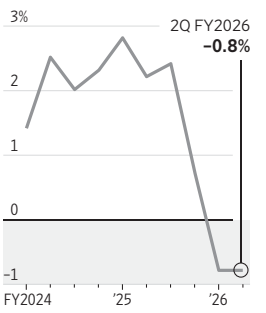
Whitman is of a similar mind.

"We must also take a close look at our portfolio of banners, markets, assets and businesses, as well as potential strategic actions we can take to enhance shareholder value," she said. "Dramatic improvement is needed now."

KYLE GREEN FOR WSJ

Shoppers are cutting back.

Albertson's identical store sales, change from a year earlier



Note: Latest fiscal quarter ended Sept. 12
Source: the company

Publicis Account Wins Fuel Top-Line Growth

By Adrià Calatayud

Publicis Groupe said top-line growth picked up in the third quarter, with continued market-share gains after the merger of two of its rivals.

The Paris-based advertising group said Tuesday that organic net revenue grew 5% in the third quarter, an acceleration from the growth rate of 4.8% it reported for the prior quarter. Overall, Publicis reported third-quarter revenue of €4.61 billion, or $5.14 billion, up 12% on a reported basis.

Analysts had forecast third-quarter organic growth at 4.8%, according to consensus estimates provided by the company. Organic growth is a closely watched industry metric that strips out the effects of currency fluctuations, acquisitions and asset sales.

Publicis has outperformed traditional ad rivals in winning new business and delivering organic growth in the postpandemic years to become the biggest ad-holding group by market value. Analysts credit Publicis' early technology investments, ownership of data assets and integrated service offering with helping position the company as clients shifted spending to embrace artificial intelligence-powered marketing.

The tie-up between U.S. rivals Omnicom Group and Interpublic—completed last year—also contributed to shake up the ad industry, shrinking the number of big global ad-agency groups to three from four previously.

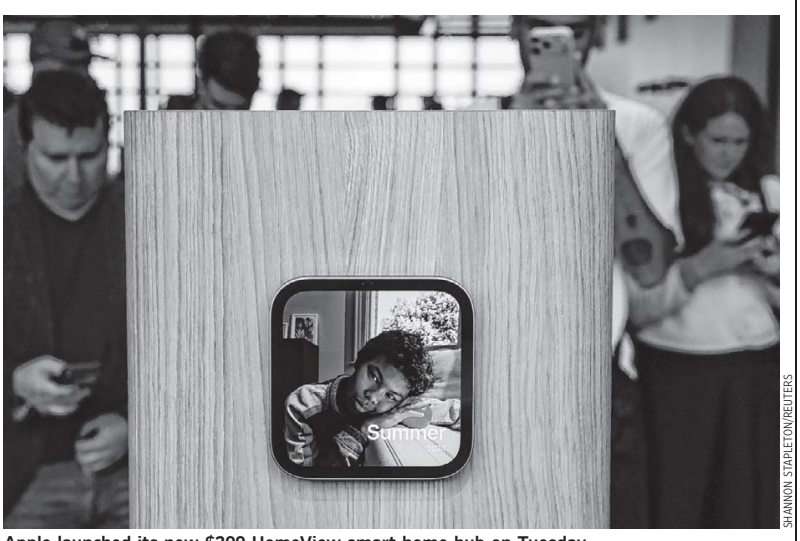
Publicis last month landed **PepsiCo**'s global media account, adding one of the world's largest advertisers to its client roster and dealing a blow to New York-based Omnicom, which had a longstanding relationship with the soda-and-snacks group. Analysts don't expect the assignment to contribute to Publicis' top-line growth until next year.

"Business momentum was strong on all fronts," Publicis Chairman and Chief Executive Arthur Sadoun said.

Sadoun said the company was increasingly confident in its outlook for next year, as it capitalizes on favorable conditions created by the reshaped industry landscape.

Publicis said it still expected organic net revenue growth to range between 4.5% and 5% this year, and that it anticipated its fourth-quarter performance to fall within that range.

The company attributed its third-quarter result to market-share gains in its media and creative segments, which posted organic growth in the high single-digit and single-digit percentage ranges, respectively.



SHANNON STAPLETON/REUTERS

Apple launched its new $299 HomeView smart home hub on Tuesday.

Apple CEO Takes First Big Swing

Continued from page B1

top players but their products come with limitations. The Amazon Echo Show displays ads that can't be turned off. Google hasn't released a new Nest Hub device since 2021. The two companies are adding more AI features, but that hasn't re-ignited sales. In China the largest player, **Baidu**, shipped half as many smart displays last year compared with 2023. All of which suggests Apple has an opening.

"Apple is late to the game in this market segment," said Elizabeth Parks of research firm Parks Associates, but it has lots of fans that reflexively buy its products. "The loyalty play is huge for Apple. That puts the company in a unique position to capture customers in the home."

That's especially true, added Parks, if Apple's hub and its companion LG devices just work easily. Consumers that have installed smart devices have long complained about how much of a pain they are to set up and later troubleshoot when they go offline. That has stalled growth as consumers cobble together devices from a variety of vendors.

Whether Apple has a killer app to tempt buyers is a question. Apple touts its new Siri AI as an ideal pilot to manage a family's digital life, and the HomeView as the device to access it. Among its capabilities, according to Apple, is that Siri on the HomeView can take voice commands to add items to a shopping list while the user is cooking dinner for the kids.

The problem is that Siri is still slower and less intelligent than **OpenAI**'s ChatGPT or **Anthropic**'s Claude, and it can't complete tasks like personal-assistant apps such as **Meta**'s Muse or Instinct. The latter doesn't just compile your shopping list, it can buy the groceries for you, comparing prices at different store websites and placing a delivery order with the cheapest. Siri AI still stumbles over basic requests like playing songs and placing calls, according to Journal tests.

"Apple is still fighting an uphill battle," said Michael Levin of Consumer Intelligence Research Partners. His firm's survey data shows Amazon has captured two-thirds of the U.S. market and that once families install smart speakers and other smart home devices, it's hard to get them to switch ecosystems.

That's also true for smart home security products, led by cameras, doorbells and locks, which IDC says was a $27 billion market in 2025, up 3% from 2026. Many people who want home security cameras have already installed Ring devices from Amazon. Apple says another reason to use its system is privacy, though it remains to be seen whether that is enough to persuade people to go through the pain of replacing their existing system.

Apple says that it knows more about its users and that the Home View will be able to use such "personal context" to do more than rival devices. Here again the challenge for Apple is to prove that the device can actually do useful things with people's data. Apple has always been good at making great hardware, which should continue considering its new CEO led Apple's hardware engineering.

New BP CEO to Outline Updated Strategy

By Adam Whittaker

BP said it would update its strategy in December, giving new Chief Executive Meg O'Neill her first opportunity to outline her vision for the British energy major to investors.

O'Neill has headed up the company since April and inherited a strategy that re-prioritized its traditional oil-and-gas business while paring spending on renewable energy. Pressure on the company increased when in February 2025 activist hedge fund Elliott Management took a stake in it.

Since arriving, O'Neill has made shoring up the balance sheet a priority and moved to simplify BP's portfolio of assets and company structure. She has put its U.K. North Sea assets and U.S. biogas business up for sale and has promised decisions will be based on value, not sentiment or history.

Alongside a global conflict that has upended energy markets, O'Neill has had to manage turmoil at the top of the business.

The board removed Chairman Albert Manifold just weeks into her tenure after it received whistleblower reports that he was bullying and verbally abusive toward staff, people familiar with the matter said. Manifold later rejected what he described as lies about his behavior.

Manifold, with a track record of cutting costs and reshaping the portfolio of Dublin-based building-materials company CRH, was brought in to lead a turnaround of the oil company.

Now O'Neill will have the opportunity to set out what she thinks BP should be, where the company will spend its money, and how it will make decisions on which projects to progress.

Her comments so far have focused on improving BP's operational performance while signaling a promise to invest with greater discipline. "Focus, perform, grow" has been her mantra.

Tuesday's update shows the company's deleveraging efforts are working, J.P. Morgan's Matthew Lofting writes.

Higher oil and gas prices triggered by conflict in the Middle East have helped and BP said it now sees net debt at the end of the third quarter between $13.5 billion and $14.5 billion, down from $22.3 billion at the end of the second quarter.

SAMSUL SAID/BLOOMBERG NEWS

Chief Executive Meg O'Neill

The company's balance sheet has been weighed down by heavy debt after an expensive pivot toward renewable energy failed to deliver the promised returns. As it brings net debt under control, the company will be better able to deploy capital toward what it regards as higher-returning oil-and-gas projects.

Its efforts to cut net debt are ahead of schedule. It had been targeting net debt of $14 billion to $18 billion by end 2027 and Tuesday's update doesn't include the roughly $6 billion in proceeds it expects from the sale of lubricants business Castrol to Stonepeak.

"December's strategy and outlook update is an opportunity to set out the next phase of delivering a simpler, stronger and more valuable BP," the company said.

BP flagged a $3 billion to $4.5 billion charge booked against its transition businesses, which include electric-vehicle charging, bioenergy and renewable assets.

Its oil-trading arm continues to outperform, and the company joined British peer Shell in reporting a jump in refining margins after global conflict and export restrictions removed millions of barrels of refined products from the market and left customers scrambling for alternate supplies.

BP American depositary receipts rose 3.9% to $48.53 each on the New York Stock Exchange on Tuesday.

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PLEASE TAKE NOTICE that, in accordance with applicable provisions of the Uniform Commercial Code as enacted in New York, MANCHESTER SECURITIES CORP., AND ZYQUAN INVESTMENTS LIMITED ("Secured Party"), will sell 100% of the Collateral (as defined below), to the highest bidder at a public sale. The public sale will take place at 10:00 am on October 14, 2026, both in person and remotely from the offices of Holland & Knight LLP, 787 Seventh Avenue, New York, New York 10019, with access afforded in person and remotely by zoom or other web-based video conferring and/or telephonic conferencing program selected by Secured Party. By virtue of certain defaults by 1005 First Resi Borrower, LLC ("Borrower" or "Debtor") under a loan, dated as of December 20, 2019 (the "Mezzanine Loan Agreement"), as amended by that certain Amendment to Mezzanine Loan and Security Agreement, dated as of December 20, 2023 (the "Amended Mezzanine Loan Agreement"), and Mezzanine Loan Promissory Note, dated December 20, 2019 in the original principal amount of $61,642,091.00 ("Mezzanine Note"), as amended by that certain Amendment to Mezzanine Loan Promissory Note, dated as of December 20, 2023, which, among other things, increased the original principal amount of the Mezzanine Loan to the maximum principal sum of $63,642,091.00 ("Amended Mezzanine Note"), which Loan has a current unpaid principal balance of $97,603,602.01, which Loan is evidenced and secured by, among other things, that certain Mezzanine Pledge and Security Agreement, dated as of December 20, 2019 ("Mezzanine Pledge Agreement"), by Borrower, as Pledgor, in favor of Manchester Securities Corp., a New York corporation, as administrative agent for Secured Party ("Administrative Agent"), and whereby Debtor pledged to Secured Party, one hundred percent (100%) of the all of its right, title and interests in the Collateral and does not involve the direct sale of the Property.

As set forth in Section 2 of the Mezzanine Pledge Agreement, Borrower pledged, a first priority security interest in all of Borrower's right, title and interest in, to or under the following, whether now owned or hereafter acquired (collectively., the "Collateral"): (i) all Pledged Company Interests (meaning 100% of the limited liability company interest of Borrower in 1005 First, LLC (the current owner of the Property described below) as listed on Schedule 1 to the Mezzanine Pledge Agreement); (ii) all securities, additional equity interests, moneys or property representing dividends, distributions, cash or interest on any of the Pledged Securities, or representing a distribution in respect of the Pledged Securities, or resulting from a split-up, revision, reclassification or other like change of the Pledged Securities or otherwise received in respect of or otherwise in exchange therefor, and any subscription warrants, rights or options issued to the holders of, or otherwise in respect of, the Pledged Securities; (iii) any amounts payable under any policy of insurance by reason of loss or damage to the Pledged Securities or the Project; (iv) all "accounts", "general intangibles", "instruments" and "investment property" (in each case as defined in the Code) constituting or relating to the foregoing; and (v) all Proceeds of any of the foregoing (including any proceeds of insurance thereon, all "accounts", "general intangibles", "instruments" and "investment property", in each case as defined in the Code, constituting or relating to the foregoing).

The Sale shall be conducted in respect of an indebtedness with a current unpaid principal balance of $97,603,602.01, as of October 14, 2026 plus any and all additional default interest, late fees, protective advances, attorneys' fees and costs and other fees and/or costs recoverable under the Mezzanine Loan Documents, subject to all prior liens, including relating to that certain Construction Loan and Security Agreement dated as of December 20, 2019 in the original principal amount of $130,600,000 (the "Senior Loan"), which secures certain real property (the "Property") consisting of the residential and retail component of a certain mixed-use development, commonly known as the "Revel NoMa" and f/k/a "Storey Park-Resi", and located at or about 1005 1st Street, NE, Washington, D.C. (as more particularly described in the Mezzanine Loan Documents), and all expenses and fees of Secured Party, including, but not limited to, advertising and publishing costs and attorneys' fees, the Terms and Conditions of Bidding and Sale (which are available upon request), and the auctioneer's fees.

The Collateral will be sold to the highest qualified bidder; provided, however, that Secured Party reserves the right to cancel the sale in its entirety, or to adjourn the sale to a future date by announcement made at the time and place scheduled for the public sale. The Collateral will be sold only as a block to a single purchaser and will not be split up or broken down. Lender may credit bid the lien of the Lender and/or make cash bids at the Sale. The Sale will be conducted by Mannion Auctions. LLC, by Matthew Mannion, Licensed Auctioneer, NYC Division of Consumer Affairs Licensed Auctioneer, License No. 1434494.

For additional information respecting the Collateral and a copy of the Terms and Conditions of Bidding and Sale, and parties interested in bidding on the Collateral should contact: Attorneys for Secured Party, Stacey A. Lara, Esq., Holland & Knight LLP, 787 Seventh Avenue, New York, New York 10019, Tel: 212-513-3345, E-mail: stacey.lara@hklaw.com or Brenden Flood of Eastdil Secured Savills at (202) 688-4061 or bflood@eastdilsecured.com. Upon execution of a standard non-disclosure agreement, additional documentation and information will be made available.

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Sweetgreen Aims to Shed Expensive Image

Chain counts on cheaper wraps, pricing transparency to attract diners

By Jennifer Williams

To counter its reputation for high prices, **Sweetgreen** added lower-cost wraps to its menu. Just as sales picked up, food-safety scares involving lettuce and jalapeños ate into demand in the restaurant sector.

But Sweetgreen executives remain convinced that menu changes will help bring in more diners.

The chain launched four below-$15 wraps in all its locations in May, in part to help address its standing as a place with $20 lunches. The new menu items also anchor a turnaround effort that includes improving food quality and speeding up service. After several quarters of double-digit declines, transactions stabilized in June and turned positive in early July, signaling initial momentum for the wraps.

When consecutive contamination scares hit shredded iceberg lettuce and jalapeños, Sweetgreen rushed to reassure diners that it doesn't use iceberg lettuce and its suppliers weren't affected, and it tightened safety protocols. Customers pulled back anyway: Same-store sales fell 6.2% in the company's latest quarter compared with a year earlier as traffic dropped 2%.

BRIAN CASSELLA/CHICAGO TRIBUNE/ZUMA PRESS

Sweetgreen executives remain convinced that menu changes will help bring in more diners.

Management in response cut its full-year outlook. The chain now expects same-store sales to drop between 7% and 8% for the year, compared with its previous forecast for a decline between 2% and 4%.

The hope is that as some food safety fears fade, Sweetgreen's sales and traffic will benefit from its focus on value, especially the wraps. "When you'd walk into a Sweetgreen, you'd see more things above $15 than you would see under $15," said Chief Financial Officer Jamie McConnell. "So psychologically, even though a lot of our prices could be lower than some of our peers, we were viewed as a very expensive company because we didn't have any of those entry prices in."

Sweetgreen has also increased portion sizes and is clarifying pricing when customers create their own bowls or salads. "What used to happen is you'd start off with a $10 green bowl, and then you go down the line, add all of these different things, and before you know it, you have a $22 salad and you're pissed, right?" McConnell said. "We want to make sure that's more transparent," which means diners get a protein, two bases and four toppings for around $13, with dressing and bread included, she said.

The chain's all-in average order value, including extras such as drinks and delivery, is around $20, with entrees averaging nearly $15, according to the CFO.

At an entry price of around $11 and averaging roughly $13 with premiums like avocado, wraps provide a lower price point as Sweetgreen moves away from deep discounts. While deals like buy-one-get-one free and $10 promotions for loyalty members initially brought people in, guests rarely converted to regular full-price diners, McConnell said.

Lower starting prices give customers flexibility, letting budget-conscious diners stay under $15 while leaving room to splurge on more premium menu items such as salmon or steak. For McConnell, driving store traffic takes priority over upsells, particularly as consumers grapple with persistent inflation and elevated gas prices.

Wraps also attract customers who avoid salads altogether, said Margaret-May Binshtok, a restaurants equity research analyst at Wolfe Research. Binshtok, who tracks social-media sentiment, found that roughly a third of first-time visitors posting about Sweetgreen in September ordered a wrap. Meanwhile, social-media complaints about prices fell to around 1.5% in the third quarter from between 4% and 5% in the first three months of the year.

"You're starting to see that momentum with wraps kind of reappear," Binshtok said, adding that improving value perception remains critical for Sweetgreen's long-term same-store sales growth.

Beyond pricing, Sweetgreen is improving food quality. Kitchens are looking at how often to cook chicken without sacrificing flavor. They cut lettuce and tomatoes every morning instead of the night before.

The chain is also pushing to get food out faster. For instance, kale now comes destemmed from suppliers. The new wraps slowed lines down because some workers struggled to roll them quickly, so now one person is assigned to wrap assembly during peak hours, primarily at busy locations, McConnell said.

"People don't want to always come into Sweetgreen, because they feel like it's slow," she said. "If you can go into a restaurant, be in and out with your salad in under five minutes, that would be the goal."

Jennifer Williams writes for WSJ Leadership Institute's CFO Journal.

Waterous Energy Plans New Fund With a Goal of $1 Billion

By Luis Garcia

Private-equity firm Waterous Energy Fund plans to soon begin marketing a new vehicle with a $1 billion anticipated goal to invest in a single business in Canada's oil patch that it can expand through acquisitions.

The Calgary, Alberta-based firm has finished investing its previous pool, Waterous Energy Fund III, which wrapped up last year with 1.4 billion Canadian dollars, equivalent to roughly $980.6 million.

"The new fund will have the same size as the previous fund, around $1 billion. We intentionally made it identical to be consistent," said Adam Waterous, the firm's chief executive and managing partner. The firm has received indications of interest from investors that represent about 80% of that total, he said.

Waterous Energy expects to invest all the new fund's capital in a single oil-and-gas company that will seek to acquire assets from other producers or buy the companies outright, a strategy the firm followed with previous pools.

"We plan for the fund to be an investment in a single business that we scale," Waterous said. "People always say, 'Oh, I like diversification.' For us, diversification can increase risk. We prefer concentration of high-quality assets in a single business."

Greenfire Resources, the only company the firm backed through its Fund III, bought peer Connacher Oil and Gas for about C$1.28 billion in August, lifting its daily crude output to roughly 34,000 barrels and becoming Canada's sixth-largest oil-and-gas company by proven reserves, according to Waterous Energy. The firm acquired a majority stake in publicly traded Greenfire in 2024 and increased it last year.

Waterous Energy first adopted its consolidation approach with Strathcona Resources, which the firm formed in 2017 and helped expand through at least 10 acquisitions.

The firm has invested roughly $1.4 billion in Strathcona across its debut fund and other vehicles and took the Calgary-based business public about three years ago on Toronto's stock exchange. Strathcona has a market value of nearly $6 billion and produces the equivalent of about 120,000 barrels of crude a day.

Cash dividends that Strathcona has paid to Waterous Energy funds' investors have exceeded their original commitments. Meanwhile, the private-equity firm has been gradually distributing the company's shares to the limited partners, reducing its stake in the business to about 57%.

Luis Garcia writes for WSJ Pro Private Equity.

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New Loan Type Is Reviving Decayed Areas

Mortgage helps investors restore homes in blighted neighborhoods

By Nicholas G. Miller

East Cleveland, Ohio, isn't used to getting real-estate investment.

The federal government in the 1930s marked much of the city as "definitely declining" and warned banks that lending there was risky. For decades, its neighborhoods languished.

Now a new kind of mortgage for landlords is flooding the area, helping real-estate investors buy, renovate and rent out vacant and dilapidated homes.

"On every street, there's somebody working on a house," said Ashleigh Wilson, an investor from Florida who fixes and flips properties in East Cleveland.

Lenders have often been wary of offering mortgages in struggling neighborhoods where income levels and property values are low. The approval process for a traditional mortgage evaluates how likely the borrower as an individual is to pay back the loan, looking at credit score, debt-to-income ratio and assets.

In the new model, a private lender approves the loan based on the property's value and potential rental income rather than the income of the borrower. Often, proof of personal income isn't even a requirement.

The new loan product, together with the increasing lure of cheap neighborhoods as housing costs have risen sharply elsewhere, has helped inject capital across American cities that could use the boost, including Indianapolis, Baltimore, Detroit and Memphis, Tenn.

The new mortgages, launched in the mid-2010s and called debt-service coverage ratio loans, are part of a private lending industry that has exploded, drawing borrowers with its flexible underwriting, simplicity and speed.

Tabitha Giddens was shocked to learn how easy it was to get one of the loans to rent out a house she fixed up in her native West Philadelphia, Pa. The loan "was way less paperwork," she said.

Many small-time investors buy and rehab a property using a short-term construction financing loan, then sell the property within 18 months. Before, if an investor couldn't sell a house—a real risk given how little demand existed for properties in distressed neighborhoods—the investor wouldn't be able to pay back the loan and lenders would foreclose.

Now, if flippers can't get the price they want, they can refinance into this new kind of 30-year loan and become landlords.

In many distressed neighborhoods, rental demand is much higher than home-buyer demand, partially because households with limited income are locked into renting.

The new kind of mortgage has served as a safety net for many flippers, encouraging them to take on projects they otherwise wouldn't have.

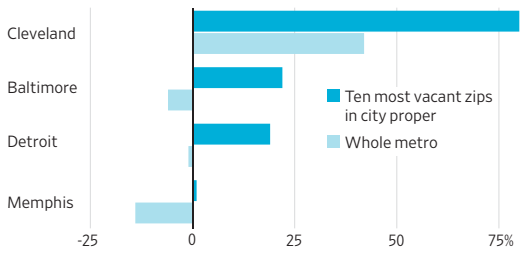
And as housing costs have soared elsewhere, investors have found opportunity in blighted neighborhoods.

"I don't mind investing in the worst part of the city, because that's where I get the cheapest deals," said Wilson, the Cleveland-area investor. She had wanted to invest in her native Florida, but prices had risen too high. Around Cleveland, the most she has ever paid for a property is $24,000.

In many neighborhoods with the most vacancies, the number of homes being flipped has jumped, outpacing such activity in wealthier areas since the new mortgage began gaining popularity.

That has helped cities cut down on vacancy, which has long been an impediment to urban development. Baltimore has reduced its number of vacants by 30% since 2019. Detroit and Cleveland also have seen declines.

Number of homes flipped, change from 2019 to 2025



Note: The Wall Street Journal identified the most vacant zip codes using the Census Bureau's American Community Survey for years 2015 to 2019.
Source: ATTOM Data

Baltimore's "reduction in vacant buildings has been led almost entirely by private money," said Michael Braverman, the city's former housing commissioner. The new mortgage product has allowed billions of dollars to flow into long-disinvested Baltimore communities, he said.

But the mortgage does come with its own risks. The easier underwriting requirements and the rush of lenders to drum up new loans has attracted fraud, leading to foreclosures that have threatened to drag rising neighborhoods back down.

Members of the industry say that some lenders became too lax and failed to do basic due diligence.

> 'On every street, there's somebody working on a house.'

In Baltimore last year, a group of investors from New York were alleged to have committed fraud in receiving loans to acquire and hold hundreds of vacant Baltimore properties. The alleged scheme involved taking out these new 30-year loans at inflated property values and pulling out cash—despite making little to no improvements on the properties. Many of the mortgages defaulted, creating a foreclosure crisis. A similar scheme unraveled in Philadelphia earlier this year.

Some lenders fled from the Baltimore and Philadelphia markets fearing widespread fraud. According to private lending data provider Forecasa, total private lending so far this year in Baltimore has fallen 40% compared with the year prior. In Philadelphia, over the 90 days ended Sept. 11, lending was down 19% year over year.

"Because there's a few bad apples in the industry, [lenders] are now correcting and making it more difficult for the rest of us," said Ken Weinstein, founder of Jumpstart Philly, a real-estate investor training and financing program.

Still, there are successes. Orange Mound, a Memphis, neighborhood thought to be the first in the country to be built for and by formerly enslaved people, has become a hot spot for investors buying dilapidated properties and renting them out.

Memphis investor Raymond Porter bought an abandoned home in Orange Mound late last year for $79,000. He said young people had been using the house as a place to do drugs, turning it into "a blight on the neighborhood."

He spent $20,000 swapping the dark red exterior paint job for a bright white, cleaning off the moss climbing the brick siding, replacing the copper wires that had been stolen and installing blue tile backsplash in the kitchen. By the end, he had almost doubled the value of the home, according to Zillow.

Then, he rented it out to a family for $1,400 a month and took out one of the new mortgages for $110,000, which allowed him to pull out money to replace his rehab and acquisition costs and invest in more properties.

Utilities Get Tough on AI Power

Continued from page B1

president of finance and strategy at Exelon, said her utility tries to identify "real growth that's going to happen versus speculative growth" before it invests to build out the grid.

"For our customers it is obviously important," Jones said. "Because if we build out the grid and then that data center walks away, someone's got to pay for it and that's not fair to them."

When scouring the country for the best location to build a data center, developers often request power from multiple utilities. That means the electricity needs of the same project might be double, triple or quadruple counted by different providers. In some cases, the wait time to connect to the grid is so long that data centers resort to building their own on-site power.

Research firm Wood Mackenzie said 23% of disclosed data-center requests to utilities are considered "high confidence." The rest are more speculative. The uncertainty of not knowing if or where a project will be built has earned the nickname "phantom" data center.

Inquiries to electric utilities started ballooning in 2024, Jones said. Common requests for electric service for a new data center rose from about 50 megawatts, roughly enough to power 50 Walmart stores, to 1,000 megawatts or more. That's roughly the output of a large nuclear reactor.

Initially, Exelon, which operates across the Mid-Atlantic and Midwest, ran engineering studies of each project individually, she said.

But as service requests from large customers tripled to 18,000 megawatts, the company started to study potential projects in clusters to see how they would collectively affect the grid. Even after the utility spent money on grid improvements, it faced the risk that data-center projects would fall through.

"We would get these questions internally but also externally: 'How do you know what's real?'" Jones said.

When Exelon began requiring binding financial commitments and collateral before moving forward with more detailed engineering and construction, the list of what it considered high probability dropped to 11,000 megawatts. Those projects have now posted about $1 billion in collateral with the company.

"It did kind of help weed out the speculative projects," said Jones. "It might not be glamorous. Hey, our pipeline went down from 18 to 11. Investors are like, 'Wait, why?' But it's the smart thing to do."

State regulators and ratepayers want assurance that a data center requesting infrastructure from a utility will be on the hook on the investment. Otherwise, costs could shift to other customers, raising their electric bills. Soaring electric costs from the AI build-out are already a hot political issue.

"When I'm out there telling the investors about our capital, I need to have certainty that it's real and durable growth," Jones said.

Many utilities are raising electricity rates for data centers, requiring minimum years of service or imposing early termination fees. Average minimum contract lengths for big utility customers have grown to about 10.8 years since 2024, according to utility filings aggregated by AI startup Halcyon, from about 4.6 years previously.

Texas has become the country's busiest market for data-center construction, with about 12,800 megawatts of projects under way, according to Cleanview, which tracks data-center projects. The queue of requests to connect to the grid has grown even faster, swelling to more than 400,000 megawatts.

The state recently started requiring large customers to pay a $50,000-a-megawatt deposit for complex engineering studies to assess the project's impact on the grid. A 500-megawatt data center, for instance, would pay $25 million.

Jim Burke, chief executive of Texas-based power producer Vistra, told investors recently that despite the huge volume of requests, new data centers requiring about 12,000 to 15,000 megawatts of power are likely to connect to the Texas grid by 2030.

"When you have numbers overstated by more than 20x, it causes problems for policymakers," he said. "So we support the thinning of the queues and getting the better, realistic decisions to make sure we can all move forward."

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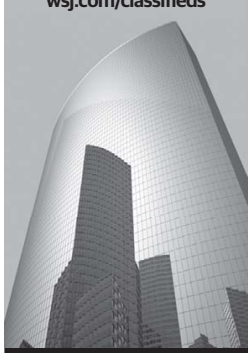
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Trump's Pledges Face Tests

Continued from page B1

plans—and drawn comparisons to other ambitious Trump plans that didn't pan out, like when Taiwan's Foxconn seemed set to produce high-definition screens at an enormous, $10 billion plant in Wisconsin. Supply-chain problems and high costs led the project to be significantly downsized. Part of the site was later converted to a data center.

In Philadelphia, the Hanwha investment is part of South Korea's commitment to support the U.S. shipbuilding industry through a $150 billion investment fund after talks last year between Trump and visiting South Korean President Lee Jae Myung. But no other Korean companies—some of which build around 40 ships a year on average—have shown interest in investing in U.S. shipbuilding.

$150B

South Korea's investment fund to support U.S. shipbuilding

The Philadelphia yard dates to the Revolutionary War. It armed the U.S. Navy for nearly two centuries until shipbuilding for the military stopped in the 1990s. Today, the yard builds private ships that operate in U.S. waters to comply with the federal Jones Act: Ships must be built, crewed, flagged and insured in the U.S. The requirements make the yard an expensive place to build.

The commercial ship order book beyond the Hanwha order consists of three containerships for Hawaii-based **Matson** Inc. at $330 million each. That is twice the price of a mega vessel built in South Korea or China.

"It's hard to justify a high valuation multiple for a U.S. shipbuilder like Philly from a foreign buyer, based on pure economics," said Basil Karatzas, head of consulting firm Karatzas Marine Advisors.

The yard was also awarded a Navy contract last week to build a missile-range instrumentation vessel, along with an option to build three more, along with Florida-based ship management firm Tote Services. The White House has said the entire contract could reach $2 billion.

White House officials pointed to projects that they said arose from Trump initiatives during his first term, including an **LG Electronics** appliance factory in Tennessee and the expansion of a Denso auto parts plant, also in Tennessee, as proof that his policies are working.

"He has a proven record of securing historic investment, creating high-paying jobs, and bringing manufacturing back to the United States," a White House spokeswoman said.

In Iowa, the planned Mesabi mill will further drive Trump's goal of expanding U.S. steelmaking, which is up in recent years as tariffs squeeze out steel imports and drive up profits for domestic companies.

But incumbent steel companies were caught off guard by the size of Mesabi's plan to add up to 10 million tons of steel annually to the U.S. market, with initial production starting in 2030.

Building and operating a new steel mill from scratch will require Mesabi to find people with the technical and management know-how for a steel business it hasn't been in before, although its parent company, India's **Essar Group**, previously built and operated steel mills in India.

Mesabi took nearly 20 years to complete its iron-ore mine in northern Minnesota, overcoming years of delays, missed deadlines and a bankruptcy.

Broking, the CEO, said he was confident the company could handle the steel-mill construction after finding its footing with the iron-ore mine.

"It was not a small task to restart that project and to bring together over 2,000 contractors. We now have well over 250 full-time employees," Broking said. The Iowa mill will employ about 1,700 when completed.

The mill could become a victim of its own success as it increases the U.S. steel supply.

"You're going to have excess production capacity, and that's going to create much more competition between mills to drive down prices, and that hurts profits," said Josh Spoores, an analyst for steel market forecaster CRU.

The project at the Philadelphia Shipyard aims to lift commercial ship production from two a year to 20.

The shipyard has doubled its workforce to 2,500 over the past two years.

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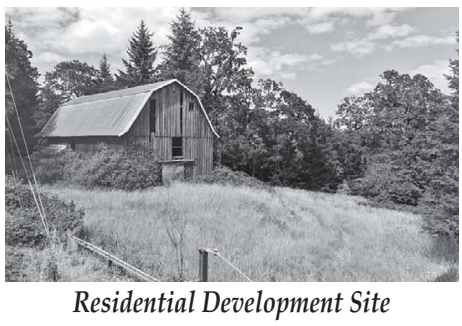
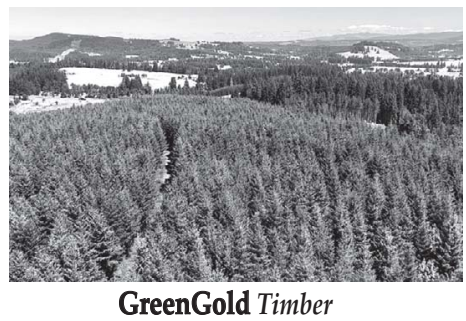


Residential Development Site

Farm



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In 2026, the housing crisis in America is the one issue that politicians from every party agree on. Simply put, **we need to build more houses,** about 4 million of them, and we all know it.

We've made some progress. In June, a supermajority of Republicans and Democrats came together to pass **The 21st Century ROAD to Housing Act**, creating a framework to support housing production. The law unlocks new financing mechanisms, encourages new housing types, and authorizes a $200 million innovation fund aimed at helping communities remove barriers to construction.

It's more than a first step. This new law throws the gates wide open — and now we're off to the races. **The communities that act first will win.**

So this November, in elections all over the country, up and down the ballot, we're calling on **candidates of every party** to make housing supply and affordability central to their platforms.

Because before a house can be built, **the regulations** that add nearly $132,000 to the cost of a new home must be changed.* **The red tape** that keeps projects waiting months for permits and approvals must be cut. **Local zoning requirements** must be fixed to allow for more, and more dense, residential development. Local policymakers hold the power to drive these initiatives, so it's up to you to **make sure they know how you feel.**

That's why we've joined together as colleagues and competitors from across our industry: to make sure everyone knows how to do their part where they live.

We know what needs to be done. But it's up to us — *all* of us — to **Let America Build**.

*National Association of Home Builders, Regulatory Cost Study (June 2026)

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MARKETS DIGEST

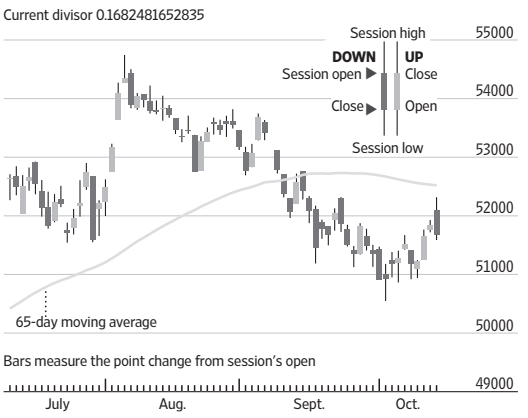
EQUITIES

Dow Jones Industrial Average

51670.10 ▼180.45, or 0.35%

High, low, open and close for each trading day of the past three months.

	Last	Year ago
Trailing P/E ratio	21.01	25.36
P/E estimate *	19.58	22.09
Dividend yield	1.54	1.60
All-time high	54349.12, 08/05/26	



S&P 500 Index

7805.45 ▼1.79, or 0.02%

High, low, open and close for each trading day of the past three months.

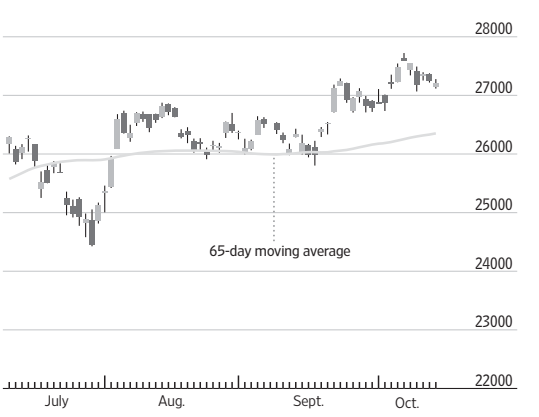
	Last	Year ago
Trailing P/E ratio *	23.58	25.65
P/E estimate *	19.56	22.27
Dividend yield *	1.05	1.15
All-time high	7818.93, 10/06/26	

Nasdaq Composite Index

27204.38 ▼ 41.52, or 0.15%

High, low, open and close for each trading day of the past three months.

	Last	Year ago
Trailing P/E ratio *†	31.51	33.55
P/E estimate *†	22.15	29.15
Dividend yield *†	0.53	0.64
All-time high:	27599.79, 10/06/26	



*Weekly P/E data based on as-reported earnings from Birinyi Associates Inc; †Based on Nasdaq-100 Index

Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	52-Week High	52-Week Low	52-Week % chg	% chg YTD	% chg 3-yr. ann.
Dow Jones										
Industrial Average	52317.32	51587.67	**51670.10**	-180.45	**-0.35**	54349.12	45166.64	**11.7**	7.5	**15.3**
Transportation Avg	19885.34	19606.49	**19810.47**	51.39	**0.26**	23933.14	15421.02	**27.8**	14.1	**10.5**
Utility Average	1069.74	1047.24	**1066.92**	7.26	**0.69**	1190.23	1004.50	**-7.7**	-0.1	**9.0**
Total Stock Market	76871.97	76554.18	**76758.70**	-48.37	**-0.06**	77313.23	62750.36	**16.6**	13.7	**21.3**
Barron's 400	1611.45	1597.19	**1605.14**	-0.89	**-0.06**	1685.46	1318.70	**16.5**	13.6	**19.0**
Nasdaq Stock Market										
Nasdaq Composite	27277.88	27116.08	**27204.38**	-41.52	**-0.15**	27599.79	20794.64	**20.8**	17.0	**26.6**
Nasdaq-100	30595.80	30372.30	**30569.48**	-95.22	**-0.31**	31224.47	22953.38	**24.4**	21.1	**26.8**
S&P										
500 Index	7814.15	7786.11	**7805.45**	-1.79	**-0.02**	7818.93	6343.72	**17.5**	14.0	**21.7**
MidCap 400	3668.66	3631.43	**3658.71**	3.60	**0.10**	3926.98	3109.89	**12.5**	10.7	**14.4**
SmallCap 600	1678.20	1661.45	**1673.09**	1.86	**0.11**	1828.54	1364.94	**16.0**	14.0	**14.6**
Other Indexes										
Russell 2000	2801.98	2774.46	**2783.37**	-11.11	**-0.40**	3068.42	2305.11	**11.5**	12.1	**17.4**
NYSE Composite	24067.61	23897.52	**23985.00**	-5.72	**-0.02**	24821.68	20912.89	**11.6**	9.0	**16.1**
Value Line	654.52	649.24	**652.95**	1.010	**0.15**	702.60	590.50	**4.0**	3.9	**7.6**
NYSE Arca Biotech	9184.30	9032.95	**9038.16**	-146.13	**-1.59**	9539.76	6404.67	**41.1**	26.4	**22.0**
NYSE Arca Pharma	1245.90	1215.50	**1218.34**	-27.54	**-2.21**	1315.38	984.85	**21.7**	8.2	**10.1**
KBW Bank	173.36	168.68	**169.02**	-2.40	**-1.40**	193.91	143.83	**13.7**	2.9	**30.4**
PHLX§ Gold/Silver	366.44	355.15	**357.96**	-6.30	**-1.73**	470.37	265.03	**16.6**	4.6	**46.3**
PHLX§ Oil Service	95.32	93.86	**94.68**	0.504	**0.54**	109.24	61.68	**53.5**	29.1	**-0.1**
PHLX§ Semiconductor	12217.21	11861.28	**12208.79**	-28.00	**-0.23**	14634.72	6352.07	**85.8**	72.4	**52.3**
Cboe Volatility	15.61	15.17	**15.27**	0.06	**0.39**	31.05	13.47	**-26.6**	2.1	**-7.5**

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Sources: FactSet; Dow Jones Market Data

Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of $2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	After Hours Last	After Hours Net chg	After Hours % chg	After Hours High	After Hours Low
iShares MSCI Brazil ETF	EWZ	11,432.5	42.83	-0.04	**-0.09**	42.96	42.77
iSh Natl Muni Bd	MUB	9,654.9	101.74	-0.03	**-0.03**	101.80	101.33
MiniMed Group	MMED	7,978.8	18.40	...	**unch.**	18.54	17.55
Intel	INTC	7,077.2	103.44	0.63	**0.62**	103.59	102.50
Realty Income	O	6,827.1	55.01	0.02	**0.04**	55.07	54.80
NVIDIA	NVDA	6,199.0	229.10	0.58	**0.25**	234.73	224.90
iSh MSCI Emerging Mkts	EEM	5,706.3	65.74	...	**unch.**	65.80	65.15
Verizon Communications	VZ	5,501.8	43.48	-0.05	**-0.11**	43.54	43.32

Percentage gainers...

Company	Symbol	Volume (000)	After Hours Last	After Hours Net chg	After Hours % chg	After Hours High	After Hours Low
Black Hawk Acquisition	BKHA	168.7	14.44	1.96	**15.71**	19.50	11.21
Enovix	ENVX	569.0	2.77	0.26	**10.24**	2.77	2.49
XIAO-I ADR	AIXI	415.1	3.31	0.30	**9.97**	3.49	2.90
W. P. Carey Inc.	WPC	52.7	65.85	2.12	**3.33**	65.85	63.44
Prime Medicine	PRME	55.6	3.43	0.11	**3.31**	3.44	3.32

...And losers

Company	Symbol	Volume (000)	After Hours Last	After Hours Net chg	After Hours % chg	After Hours High	After Hours Low
Picard Medical	PMI	50.3	13.79	-1.54	**-10.05**	15.61	13.25
Aris Mining	ARIS	114.2	16.19	-0.73	**-4.32**	17.00	16.19
Piedmont Realty Trust	PDM	52.1	8.73	-0.37	**-4.06**	9.10	8.73
iSh California Muni Bd	CMF	295.1	52.80	-1.69	**-3.10**	54.49	52.70
Tarsus Pharmaceuticals	TARS	759.0	68.91	-1.91	**-2.70**	70.89	68.88

Trading Diary

Volume, Advancers, Decliners

	NYSE	NYSE Amer.
Total volume*	1,166,627,288	14,810,290
Adv. volume*	564,069,139	1,630,998
Decl. volume*	587,549,984	13,087,688
Issues traded	2,780	291
Advances	1,478	89
Declines	1,218	191
Unchanged	84	11
New highs	58	2
New lows	180	36
Closing Arms†	1.36	4.26
Block trades*	3,948	140

	Nasdaq	NYSE Arca
Total volume*	6,986,289,777	326,620,686
Adv. volume*	2,927,820,777	147,014,771
Decl. volume*	3,944,504,826	173,445,434
Issues traded	4,961	2,515
Advances	1,821	1,323
Declines	2,980	1,128
Unchanged	160	64
New highs	91	51
New lows	511	55
Closing Arms†	0.82	1.01
Block trades*	37,201	1,623

*Primary market NYSE, NYSE American NYSE Arca only. †(TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

Percentage Gainers...

Company	Symbol	Latest Session Close	Net chg	% chg	52-Week High	52-Week Low	52-Week % chg
Pinnacle Food Group	PFAI	4.70	2.09	**80.08**	7.02	1.90	**136.2**
Fly-E Group	FLYE	3.55	1.50	**73.17**	22.00	1.22	**-73.1**
Bumble Cl A	BMBL	5.95	2.15	**56.58**	5.98	2.44	**13.5**
Intelligent Living	ILAG	3.38	0.95	**39.09**	7.19	2.04	**-45.5**
Picard Medical	PMI	15.33	3.99	**35.19**	684.00	2.65	**-96.9**
XIAO-I ADR	AIXI	3.01	0.61	**25.42**	379.40	1.18	**-98.2**
Four Seasons Educ ADR	FEDU	12.00	2.17	**22.08**	14.73	6.68	**-7.7**
Opportunistic Trader ETF	WZRD	6.40	1.15	**21.81**	417.60	3.70	**-98.2**
Julong Holding	JLHL	5.15	0.74	**16.78**	57.95	2.70	**26.9**
Cango	CANG	3.50	0.48	**15.89**	45.30	1.36	**-92.0**
Defiance Tgt 2X Shrt ASTS	ASTN	26.32	3.50	**15.34**	100.24	12.64	**...**
Regencell Bioscience	RGC	8.19	1.06	**14.87**	69.00	4.51	**-54.5**
Fermi	FRMI	3.72	0.47	**14.46**	32.39	3.20	**-87.6**
Reliance Global Group	EZRA	2.30	0.29	**14.43**	53.20	1.75	**-93.9**
Enerflex	EFXT	27.54	3.46	**14.37**	29.15	10.57	**146.8**

Percentage Losers

Company	Symbol	Latest Session Close	Net chg	% chg	52-Week High	52-Week Low	52-Week % chg
WF Holding	WFF	2.12	-15.16	**-87.73**	50.60	0.91	**-51.3**
Linkers Industries	LNKS	0.97	-1.30	**-57.10**	420.00	0.76	**-99.2**
Mobile-health Netwk Solns	MNDR	1.46	-1.58	**-51.97**	32.52	0.76	**-93.1**
Bradbury Capital	BBCI	3.02	-2.03	**-40.20**	15.50	2.81	**-75.0**
J-Star Holding	YMAT	1.87	-1.04	**-35.74**	13.00	0.85	**-66.6**
Euro Tech Holdings	CLWT	1.57	-0.58	**-26.98**	2.68	0.99	**24.6**
Leverage 2X Lg CIFR Dly	CIFG	1.76	-0.62	**-26.05**	20.84	1.53	**...**
Rantizo	RNTZ	4.50	-1.58	**-25.99**	17.95	1.61	**11.1**
T-REX 2X Lg CIFR Dly Tgt	CIFU	4.32	-1.48	**-25.52**	51.21	3.73	**...**
Corgi CIFR 2x Daily ETF	CIFC	3.26	-1.09	**-25.15**	25.12	2.84	**...**
Calisa Acquisition	ALIS	7.90	-2.40	**-23.30**	14.91	7.70	**...**
SCWorx	WORX	2.46	-0.70	**-22.15**	118.19	2.30	**-95.0**
Nexalin Technology	NXL	2.64	-0.72	**-21.43**	50.70	2.53	**-93.4**
Zhibao Technology	ZBAO	1.89	-0.51	**-21.25**	67.00	1.31	**-96.1**
BranchOut Food	BOF	2.46	-0.65	**-20.81**	5.25	2.00	**19.2**

Most Active Stocks

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	Latest Session % chg	52-Week High	52-Week Low
Alaunos Therapeutics	TCRT	**245,233**	29139.3	3.03	**188.57**	4.50	0.72
Cipher Digital	CIFR	**128,114**	285.8	11.34	**-12.77**	30.14	10.68
Stardust Power	SDST	**122,187**	330.2	0.04	**-22.14**	7.67	0.04
Bumble Cl A	BMBL	**118,156**	3849.8	5.95	**56.58**	5.98	2.44
JBDI Holdings	JBDI	**90,869**	297907.2	3.43	**243.00**	9.50	0.78
GrShr 2x Sh NVDA Daily	NVD	**90,395**	14.0	3.61	**-1.63**	9.76	3.19
Direxion Semicon Br 3x	SOXS	**87,570**	26.1	37.42	**0.62**	1030.00	28.46
Fermi	FRMI	**86,386**	380.0	3.72	**14.46**	32.39	3.20
DarkIris	DKI	**85,934**	2447.9	0.09	**-40.20**	19.36	0.07
Intel	INTC	**85,011**	-20.3	102.81	**1.44**	142.35	32.89

*Volumes of 100,000 shares or more are rounded to the nearest thousand

Volume Movers

Ranked by change from 65-day average*

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	Latest Session % chg	52-Week High	52-Week Low
Abony Acquisition I	AACO	466	**7767**	9.98	**...**	10.00	9.84
Bitwise Proficio Curr	BPRO	250	**4382**	19.93	**-1.02**	30.29	18.13
Fifth Era Acquisition I	FERA	1,910	**4162**	10.56	**0.05**	10.59	10.20
Astoria US EW Qual Kings	ROE	979	**3475**	43.50	**-0.11**	44.42	33.11
FT Vest US Eq Mod Dec	GDEC	1,095	**3236**	41.14	**0.04**	41.19	36.36
Lake Superior Acqn Cl A	LKSP	623	**3107**	10.27	**0.10**	10.28	9.89
PL Growth & Income ETF	PLGI	231	**2696**	25.91	**0.14**	26.03	23.77
Black Hawk Acquisition	BKHA	161	**2377**	12.48	**-4.00**	23.00	9.50
Xtrkrs Bbg Dev Markets	DMXU	162	**2275**	37.23	**0.04**	41.59	32.92
WT China exStateOwn	CXSE	602	**2191**	34.36	**-0.20**	43.94	34.13

*Common stocks priced at $2 a share or more with an average volume over 65 trading days of at least 5,000 shares †Has traded fewer than 65 days

International Stock Indexes

Region/Country	Index	Close	Latest Net chg	Latest % chg	YTD % chg
World	**MSCI ACWI**	**1143.88**	-2.62	**-0.23**	12.7
	MSCI ACWI ex-USA	**465.70**	-2.53	**-0.54**	10.6
	MSCI World	**4964.72**	1.45	**0.03**	12.1
	MSCI Emerging Markets	**1660.47**	-36.56	**-2.15**	18.2
Americas	**MSCI AC Americas**	**n.a.**	n.a.	**n.a.**	n.a.
Canada	**S&P/TSX Comp**	**35983.98**	319.36	**0.90**	13.5
Latin Amer.	**MSCI EM Latin America**	**3355.41**	-28.73	**-0.85**	23.8
Brazil	**Bovespa**	**206887.52**	-2179.38	**-1.04**	28.4
Mexico	**S&P/BMV IPC**	**66965.15**	218.37	**0.33**	4.1
EMEA	**STOXX Europe 600**	**635.01**	-0.64	**-0.10**	7.2
Eurozone	**Euro STOXX**	**650.82**	-2.49	**-0.38**	6.3
Belgium	**Bel-20**	**5496.41**	6.19	**0.11**	8.2
Denmark	**OMX Copenhagen 20**	**1529.13**	2.06	**0.13**	-4.9
France	**CAC 40**	**7827.63**	-5.25	**-0.07**	-3.9
Germany	**DAX**	**25259.90**	-17.78	**-0.07**	3.1
Israel	**Tel Aviv**	**4130.05**	67.94	**1.67**	13.7
Italy	**FTSE MIB**	**50057.18**	22.18	**0.04**	11.4
Netherlands	**AEX**	**1129.32**	-6.17	**-0.54**	18.7
Norway	**Oslo Bors All-Share**	**2505.15**	19.20	**0.77**	29.0
South Africa	**FTSE/JSE All-Share**	**109408.15**	648.31	**0.60**	-5.5
Spain	**IBEX 35**	**19210.70**	-75.10	**-0.39**	11.0
Sweden	**OMX Stockholm**	**1128.83**	3.84	**0.34**	8.0
Switzerland	**Swiss Market**	**13927.52**	49.68	**0.36**	5.0
Turkey	**BIST 100**	**12250.68**	100.01	**0.82**	8.8
U.K.	**FTSE 100**	**10650.33**	-5.95	**-0.06**	7.2
U.K.	**FTSE 250**	**24339.19**	11.13	**0.05**	8.3
Asia-Pacific	**MSCI AC Asia Pacific**	**269.58**	-3.94	**-1.44**	18.4
Australia	**S&P/ASX 200**	**8783.90**	0.73	**0.01**	0.8
China	**Shanghai Composite**	**3800.86**	3.62	**0.10**	-4.2
Hong Kong	**Hang Seng**	**24345.22**	74.02	**0.30**	-5.0
India	**BSE Sensex**	**73033.78**	1109.09	**1.54**	-14.3
Indonesia	**JSX Composite**	**5925.98**	-10.17	**-0.17**	-31.5
Japan	**NIKKEI 225**	**67777.52**	-1253.40	**-1.82**	34.6
Singapore	**Straits Times**	**5430.50**	15.01	**0.28**	16.9
South Korea	**KOSPI**	**6035.35**	-348.89	**-5.46**	43.2
Taiwan	**TAIEX**	**48341.31**	-960.65	**-1.95**	66.9
Thailand	**SET**	**1571.74**	...	**Closed**	24.8

Sources: FactSet; Dow Jones Market Data

CURRENCIES & COMMODITIES

Currencies

U.S.-dollar foreign-exchange rates at 5 p.m. ET

Country/currency	Tues in US$	Tues per US$	US$ vs. YTD chg (%)
Americas			
Argentina peso	.0007151	3.2225	**4.3**
Brazil real	.1989	5.0271	**-8.9**
Canada dollar	.7035	1.4216	**3.6**
Chile peso	.001018	982.42	**9.1**
Colombia peso	.000313	3190.42	**-15.4**
Ecuador US dollar	1	1	**unch**
Mexico peso	.0544	18.3693	**2.0**
Uruguay peso	.02488	40.1873	**2.9**
Asia-Pacific			
Australia dollar	.6982	1.4323	**-4.4**
China yuan	.1494	6.6926	**-4.3**
Hong Kong dollar	.1274	7.8483	**0.8**
India rupee	.01052	95.019	**5.7**
Indonesia rupiah	.0000558	17917	**7.3**
Japan yen	.006317	158.31	**1.0**
Kazakhstan tenge	.002226	449.23	**-11.5**
Macau pataca	.1237	8.0855	**0.8**
Malaysia ringgit	.2447	4.0860	**0.7**
New Zealand dollar	.5612	1.7819	**2.6**
Pakistan rupee	.00361	277.035	**-1.1**
Philippines peso	.0159	62.779	**6.6**
Singapore dollar	.7813	1.2799	**-0.4**
South Korea won	.0007456	1341.28	**-6.9**
Sri Lanka rupee	.0030232	330.78	**6.7**
Taiwan dollar	.03107	32.182	**2.7**
Thailand baht	.02981	33.550	**6.5**
Vietnam dong	.00003859	25914	**-1.5**
Europe			
Czech Rep. koruna	.04597	21.755	**5.7**
Denmark krone	.1498	6.6752	**5.0**
Euro area euro	1.1199	.8930	**4.9**
Hungary forint	.003077	324.97	**-0.7**
Iceland krona	.008222	121.62	**-3.0**
Norway krone	.1051	9.5176	**-5.6**
Poland zloty	.2562	3.9038	**8.7**
Sweden krona	.1004	9.9643	**8.2**
Switzerland franc	1.2012	.8325	**5.0**
Turkey lira	.0203	49.3743	**14.9**
Ukraine hryvnia	.0221	45.1500	**6.6**
UK pound	1.3254	.7545	**1.7**
Middle East/Africa			
Bahrain dinar	2.6477	.3777	**0.2**
Egypt pound	.0189	52.7895	**10.7**
Israel shekel	.3255	3.0723	**-3.6**
Kuwait dinar	3.2074	.3118	**1.3**
Oman sul rial	2.5994	.3847	**-0.02**
Qatar rial	.2747	3.640	**-0.4**
Saudi Arabia riyal	.2662	3.7566	**0.2**
South Africa rand	.0607	16.4860	**-0.5**

	Close	Net Chg	% Chg	YTD % Chg
WSJ Dollar Index	97.34	-0.24	-0.25	**1.48**

Sources: Tullett Prebon, Dow Jones Market Data

Commodities

	Close	Tuesday Net chg	Tuesday % Chg	52-Week High	52-Week Low	52-Week % Chg	YTD % chg
DJ Commodity	**1470.99**	1.44	**0.10**	1505.40	1085.89	**35.46**	30.09
FTSE/CC CRB Index	**418.14**	1.04	**0.25**	429.15	291.69	**41.98**	39.95
Crude oil, $ per barrel	**94.14**	0.40	**0.43**	112.95	55.27	**60.37**	63.95
Natural gas, $/MMBtu	**3.283**	0.116	**3.66**	7.460	2.523	**8.42**	-10.93
Gold, $ per troy oz.	**4152.90**	-12.90	**-0.31**	5318.40	3947.70	**0.34**	-3.99

Polymarket | A Dow Jones partner

Prediction Market: Largest Company end of December 2026?

This market will resolve to the largest company in the world by market cap on Dec. 31, 2026, as of market close.

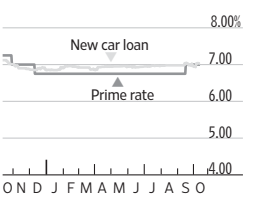
Data from Polymarket Data as of 2:30 p.m. ET Volume: $8,145,524

CREDIT MARKETS

Consumer Rates and Returns to Investor

U.S. consumer rates

A consumer rate against its benchmark over the past year



Selected rates

New car loan

Bankrate.com avg†:	**7.03%**
First Command Bank	**4.99%**
Fort Worth, TX	817-569-2253
Frost Bank	**5.64%**
San Antonio, TX	210-220-4000
PNC Bank	**5.64%**
Wilmington, DE	888-762-2265
Columbia Bank	**6.25%**
Fair Lawn, NJ	800-522-4167
First Savings Bank of Hegewisch	**6.45%**
Chicago, IL	773-646-4200

Interest rate	Yield/Rate (%) Last	Yield/Rate (%) Week ago	52-Week Range (%) Low	52-Week Range (%) High	3-yr chg (pct pts)
Federal-funds rate target	**3.75-4.00**	3.75-4.00	3.50	4.25	**-1.50**
Prime rate*	**7.00**	7.00	6.75	7.25	**-1.50**
SOFR	**3.87**	3.89	3.50	4.31	**-1.44**
Money market, annual yield	**0.45**	0.45	0.41	0.45	**-0.17**
Five-year CD, annual yield	**1.80**	1.78	1.67	1.80	**-1.03**
30-year mortgage, fixed†	**7.49**	7.47	6.11	7.50	**-0.60**
15-year mortgage, fixed†	**6.93**	6.87	5.55	6.93	**-0.27**
Jumbo mortgages, $832,750-plus†	**7.54**	7.47	6.34	7.54	**-0.63**
Five-year adj mortgage (ARM)†	**6.37**	6.70	5.66	6.72	**-0.49**
New-car loan, 48-month	**7.03**	6.93	6.85	7.12	**-0.45**

Bankrate.com rates based on survey of over 1,500 online banks. *Base rate posted by 70% of the nation's largest banks. † Excludes closing costs.

Sources: FactSet; Dow Jones Market Data; Bankrate.com

Treasury yield curve

Yield to maturity of current bills, notes and bonds

Forex Race

Yen, euro vs. dollar; dollar vs. major U.S. trading partners

Sources: Tradeweb FTSE U.S. Treasury Close; Tullett Prebon; Dow Jones Market Data

Corporate Borrowing Rates and Yields

Bond total return index	Close	Yield (%) Last	Yield (%) Week ago	52-Week High	52-Week Low	Total Return (%) 52-wk	Total Return (%) 3-yr
U.S. Treasury, Bloomberg	2279.550	**5.070**	5.100	5.130	3.750	**-2.030**	3.390
U.S. Treasury Long, Bloomberg	2991.160	**5.590**	5.680	5.690	4.520	**-8.188**	1.560
Aggregate, Bloomberg	2194.740	**5.500**	5.540	5.570	4.160	**-1.795**	4.353
Fixed-Rate MBS, Bloomberg	2192.230	**5.820**	5.920	5.970	4.380	**-1.368**	5.022
High Yield 100, ICE BofA	4103.015	**7.593**	7.439	7.655	5.828	**1.018**	7.815
Muni Master, ICE BofA	599.900	**4.323**	4.426	4.628	3.037	**-2.096**	2.834
EMBI Global, J.P. Morgan	n.a.	**n.a.**	7.105	n.a.	n.a.	**n.a.**	n.a.

Sources: J.P. Morgan; Bloomberg Fixed Income Indices; ICE Data Services

COMMODITIES

wsj.com/market-data/commodities

Futures Contracts

Metal & Petroleum Futures

	Open	High	Low	Settle	Chg	Open interest
Copper-High (CMX)-25,000 lbs.; $ per lb.						
Oct	6.6775	6.7120	6.6595	**6.6780**	−0.0205	1,539
Dec	6.7570	6.7780	6.7030	**6.7260**	−0.0210	159,563
Gold (CMX)-100 troy oz.; $ per troy oz.						
Oct	4162.50	4162.50	4152.70	**4152.90**	−12.90	130
Nov	4180.90	4207.30	4157.50	**4162.30**	−13.30	3,890
Dec	4195.50	4224.80	4169.70	**4177.30**	−13.30	318,078
Jan'27	4197.30	4234.60	4194.10	**4196.20**	−13.40	618
Feb	4230.80	4259.00	4204.70	**4212.30**	−13.30	42,734
March	4248.20	4265.00	4235.00	**4228.90**	−13.30	270
Palladium (NYM) - 50 troy oz.; $ per troy oz.						
Oct	1215.00	1215.00	1207.00	**1117.90**	−18.20	
Dec	1144.50	1156.50	1123.00	**1127.40**	−18.40	21,774
Platinum (NYM)-50 troy oz.; $ per troy oz.						
Oct	1661.10	1661.10	1661.10	**1657.40**	−22.00	17
Jan'27	1699.00	1716.90	1664.40	**1671.20**	−22.30	52,126
Silver (CMX)-5,000 troy oz.; $ per troy oz.						
Oct	60.755	60.755	60.755	**59.161**	−0.980	369
Dec	60.555	60.995	59.130	**59.525**	−0.988	82,398
Crude Oil, Light Sweet (NYM)-1,000 bbls.; $ per bbl.						
Nov	93.21	95.11	91.70	**94.14**	0.40	151,800
Dec	92.40	94.09	90.85	**93.17**	0.31	274,426
Jan'27	91.34	93.10 ▲	90.07	**92.23**	0.37	132,324
June	85.43	86.78 ▲	84.83	**86.60**	0.79	129,044
Dec	78.50	79.88 ▲	78.27	**79.82**	1.10	181,187
Dec'28	71.56	72.69 ▲	71.56	**72.57**	0.88	116,466
NY Harbor ULSD (NYM)-42,000 gal.; $ per gal.						
Nov	4.7116	4.9844	4.6431	**4.9344**	.2112	51,657
Dec	4.5597	4.8166 ▲	4.5103	**4.7766**	.1898	54,735
Gasoline-NY RBOB (NYM)-42,000 gal.; $ per gal.						
Nov	3.2798	3.2799	3.2010	**3.2501**	−.0416	79,011
Dec	3.1485	3.1603	3.0972	**3.1338**	−.0368	77,508
Natural Gas (NYM)-10,000 MMBtu.; $ per MMBtu.						
Nov	3.176	3.330	3.108	**3.283**	.116	223,003
Dec	3.509	3.644	3.450	**3.602**	.096	228,109
Jan'27	3.940	4.030	3.881	**3.991**	.059	223,225
Feb	3.560	3.638	3.510	**3.603**	.050	115,383
March	2.783	2.825	2.763	**2.805**	.017	221,505
April	2.680	2.710	2.665	**2.697**	.012	151,896

Agriculture Futures

	Open	High	Low	Settle	Chg	Open interest
Corn (CBT)-5,000 bu.; cents per bu.						
Dec	483.00	488.25	478.00	**482.75**	−.25	848,216
March'27	497.00	501.75	492.00	**496.50**	−.75	431,070
Oats (CBT)-5,000 bu.; cents per bu.						
Dec	409.00	419.50	406.25	**415.50**	5.25	3,500
March'27	416.75	426.75	415.50	**422.00**	4.25	487
Soybeans (CBT)-5,000 bu.; cents per bu.						
Nov	1287.25	1297.75	1275.25	**1283.75**	−4.00	333,261
Jan'27	1304.00	1313.75	1292.25	**1300.00**	−4.75	256,676
Soybean Meal (CBT)-100 tons; $ per ton.						
Oct	375.60	375.60	364.80	**370.10**	−5.50	129
Dec	368.20	368.40	361.10	**363.20**	−5.50	275,988
Soybean Oil (CBT)-60,000 lbs.; cents per lb.						
Oct	67.85	67.88	67.73	**67.67**	−.63	69
Dec	68.75	70.08	67.74	**68.02**	−.61	222,917
Rough Rice (CBT)-2,000 cwt.; $ per cwt.						
Nov	16.93	17.30 ▲	16.87	**17.21**	.25	10,828
Jan'27	17.37	17.73 ▲	17.35	**17.66**	.26	2,901
Wheat (CBT)-5,000 bu.; cents per bu.						
Dec	672.25	681.00	665.75	**669.25**	−3.00	251,302
March'27	686.25	694.25	679.50	**683.25**	−2.75	122,686
Wheat (KC)-5,000 bu.; cents per bu.						
Dec	716.75	725.00	708.00	**712.25**	−3.00	156,485
March'27	728.50	737.00	720.75	**725.00**	−3.00	78,009
Cattle-Feeder (CME)-50,000 lbs.; cents per lb.						
Oct	344.500	344.625	341.200	**343.075**	−.400	5,972
Nov	341.875	342.500	338.925	**341.025**	−.075	20,347
Cattle-Live (CME)-40,000 lbs.; cents per lb.						
Oct	224.650	225.500	224.025	**224.625**	−.125	12,143
Dec	226.600	227.600	225.600	**226.375**	−.225	116,492
Hogs-Lean (CME)-40,000 lbs.; cents per lb.						
Oct	75.450	75.700	75.450	**75.600**	...	15,354
Dec	68.250	68.375	67.550	**68.025**	−.350	150,333
Lumber (CME)-27,500 bd. ft., $ per 1,000 bd. ft.						
Nov	539.00	547.00	539.00	**546.50**	7.00	8,548
Jan'27	556.50	561.50	556.00	**561.50**	6.00	2,163
Milk (CME)-200,000 lbs., cents per lb.						
Oct	14.97	15.06	14.96	**15.05**	.09	5,100
Nov	16.07	16.58	16.07	**16.53**	.46	7,939
Cocoa (ICE-US)-10 metric tons; $ per ton.						
Dec	5,679	5,965	5,670	**5,733**	57	68,623
March'27	5,789	6,075	5,789	**5,858**	57	47,479
Coffee (ICE-US)-37,500 lbs.; cents per lb.						
Dec	290.90	296.50	290.30	**292.70**	2.10	75,251
March'27	284.00	288.90	283.25	**285.50**	2.00	48,324
Sugar-World (ICE-US)-112,000 lbs.; cents per lb.						
March	20.85	21.18	20.58	**21.11**	.26	639,899
May	20.02	20.27	19.77	**20.23**	.23	185,839
Sugar-Domestic (ICE-US)-112,000 lbs.; cents per lb.						
Jan	41.95	41.95	41.95	**41.95**	...	1,580
March	42.00	42.00 ▲	42.00	**42.00**	...	1,760
Cotton (ICE-US)-50,000 lbs.; cents per lb.						
Dec	80.51	81.03	79.80	**80.51**	−.09	170,260
March'27	83.76	84.29	83.12	**83.83**	.02	95,783
Orange Juice (ICE-US)-15,000 lbs.; cents per lb.						
Nov	151.00	151.35	141.40	**141.85**	−9.55	5,996
Jan'27	154.45	154.50	144.70	**145.85**	−8.75	3,171

Interest Rate Futures

	Open	High	Low	Settle	Chg	Open interest
Ultra Treasury Bonds (CBT) - $100,000; pts 32nds of 100%						
Dec	104-110	105-110	104-100	**104-290**	21.0	2,401,604
March'27	104-080	104-240	104-080	**104-220**	21.0	61
Treasury Bonds (CBT)-$100,000; pts 32nds of 100%						
Dec	103-070	104-070	103-070	**103-240**	19.0	1,861,190
March'27	102-270	103-240	102-270	**103-100**	19.0	2,692
Treasury Notes (CBT)-$100,000; pts 32nds of 100%						
Dec	104-180	105-010	104-180	**104-235**	5.5	5,824,503
March'27	104-150	104-245	104-135	**104-165**	6.0	6,497
5 Yr. Treasury Notes (CBT)-$100,000; pts 32nds of 100%						
Dec	103-182	103-272	103-182	**103-210**	3.0	6,818,666
March'27	103-130	103-130	103-130	**103-142**	3.2	3,407
2 Yr. Treasury Notes (CBT)-$200,000; pts 32nds of 100%						
Dec	101-256	101-287	101-252	**101-270**	1.4	4,509,952
March'27	101-212	101-217	101-202	**101-212**	1.2	640
30 Day Federal Funds (CBT)-$5,000,000; 100 - daily avg.						
Oct	96.1175	96.1175	96.1150	**96.1150**	−.0025	725,725
Nov	96.0700	96.0750	96.0600	**96.0650**	−.0050	551,015
Three-Month SOFR (CME)-$1,000,000; 100 - daily avg.						
July	96.2625	96.2625 ▲	96.2625	**96.2600**	...	20,743
Dec	95.7550	95.7800 ▼	95.7350	**95.7500**	−.0050	1,601,667

Currency Futures

	Open	High	Low	Settle	Chg	Open interest
Japanese Yen (CME)-¥12,500,000; $ per 100¥						
Dec	.6308	.6326	.6308	**.6320**	.0013	757
Dec	.6336	.6367	.6335	**.6348**	.0014	372,618
Canadian Dollar (CME)-CAD 100,000; $ per CAD						
Oct	.7012	.7041	.7012	**.7037**	.0034	410
Dec	.7025	.7063	.7023	**.7057**	.0034	371,759
British Pound (CME)-£62,500; $ per £						
Oct	1.3208	1.3257	1.3208	**1.3257**	.0051	459
Dec	1.3210	1.3262	1.3207	**1.3259**	.0051	260,275
Swiss Franc (CME)-CHF 125,000; $ per CHF						
Dec	1.2071	1.2116	1.2068	**1.2098**	.0031	136,525
March'27	1.2210	1.2253	1.2210	**1.2235**	.0032	395
Australian Dollar (CME)-AUD 100,000; $ per AUD						
Oct	.6950	.6985	.6950	**.6984**	.0028	312
Dec	.6953	.6980	.6943	**.6978**	.0028	326,481
Mexican Peso (CME)-MXN 500,000; $ per MXN						
Oct	.05468	.05468	.05468	**.05444**	−.00030	200
Dec	.05449	.05464	.05410	**.05422**	−.00029	277,948
Euro (CME)-€125,000; $ per €						
Oct	1.1160	1.1205	1.1160	**1.1204**	.0045	2,723
Dec	1.1186	1.1233	1.1183	**1.1230**	.0044	829,710

Index Futures

	Open	High	Low	Settle	Chg	Open interest
Mini DJ Industrial Average (CBT)-$5 x index						
Dec	52111	52612	51836	**51935**	−175	89,709
March'27	52650	53050	52330	**52408**	−181	150
Mini S&P 500 (CME)-$50 x index						
Dec	7855.50	7864.00	7834.50	**7855.75**	−2.25	1,918,573
March'27	7937.50	7942.25	7914.00	**7934.50**	−2.25	14,117
Mini S&P Midcap 400 (CME)-$100 x index						
Dec	3676.60	3689.80	3648.50	**3678.10**	3.50	45,218
March'27	...	...	...	**3706.50**	3.60	n.a.
Mini Nasdaq 100 (CME)-$20 x index						
Dec	30876.00	30906.00	30591.25	**30791.50**	−106.75	281,129
March'27	31231.50	31255.00	30948.75	**31145.00**	−109.00	737
Mini Russell 2000 (CME)-$50 x index						
Dec	2812.80	2826.00	2786.50	**2800.10**	−12.10	438,799
March'27	2844.70	2850.40	2813.70	**2825.10**	−12.10	2,026
Mini Russell 1000 (CME)-$50 x index						
Dec	4270.40	4270.70	4263.40	**4268.30**	−3.00	7,482
U.S. Dollar Index (ICE-US)-$1,000 x index						
Dec	102.33	102.37	101.96	**101.98**	−.40	52,207
March'27	102.01	102.02	101.75	**101.69**	−.40	159

Source: FactSet

Cash Prices | wsj.com/market-data/commodities

Tuesday, October 13, 2026

These prices reflect buying and selling of a variety of actual or "physical" commodities in the marketplace—separate from the futures price on an exchange, which reflects what the commodity might be worth in future months.

	Tuesday
Energy	
Coal,C.Aplc,12500Btu,1.2SO2-r,w	**84.500**
Coal,PwdrRvrBsn,8800Btu,0.8SO2-r,w	**14.650**
Metals	
Gold, per troy oz	
Engelhard industrial	**4182.00**
Krugerrand,wholesale-e	**n.a.**
Maple Leaf-e	**n.a.**
American Eagle-e	**n.a.**
Mexican peso-e	**n.a.**
Austria crown-e	**n.a.**
Austria phil-e	**n.a.**
Silver, troy oz.	
Engelhard industrial	**60.0500**
Handy & Harman base	**59.2950**
Handy & Harman fabricated	**74.1190**
Coins,wholesale $1,000 face-a	**42338**
Other metals	
Platinum,Engelhard industrial	**1699.0**
Palladium,Engelhard industrial	**1140.0**
Aluminum, LME, $ per metric ton	***3055.0**
Copper,Comex spot	**6.6780**
Iron Ore, 62% Fe CFR China-s	***90.6**
Steel, HRC USA, FOB Midwest Mill-s	***1260.0**
Battery/EV metals	
BMI Lithium Carbonate, EXW China, >99.5%-v,w	**18450**
BMI Lithium Hydroxide, EXW China, >56.5% -v,w	**17250**
BMI Cobalt sulphate, EXW China, >20.5% -v,w	**8642**
BMI Nickel Sulphate, EXW China, >22%-v,k	**4172**
BMI Flake Graphite, FOB China, -100 Mesh, 94-95%-v,m	**415**
Fibers and Textiles	
Burlap,10-oz,40-inch NY yd-n,w	**1.2400**
Cotton,11/16 std lw-mdMphs-u	**0.7826**
Cotlook 'A' Index-t	***91.15**
Hides,hvy native steers piece fob-u	**n.a.**
Wool,64s,staple,Terr del-u,w	**n.a.**
Grains and Feeds	
Bran,wheat middlings, KC-u,w	**155**
Corn,No. 2 yellow,Cent IL-bp,u	**4.5000**
Cottonseed meal-u,w	**n.a.**
Hominy feed,Cent IL-u,w	**n.a.**
Meat-bonemeal,50% pro Mnpls-u,w	**463**
Oats,No.2 milling,Mnpls-u	**4.0550**
Rice, Long Grain Milled, No. 2 AR-u,w	**34.50**
SoybeanMeal,Cent IL,rail,ton48%-u,w	**387.60**
Soybeans,No.1 yllw IL-bp,u	**12.4900**
Wheat,Spring14%-pro Mnpls-u	**8.9400**
Wheat,No.2 soft red,St.Louis-u	**6.4925**
Wheat - Hard - KC (USDA) $ per bu-u	**6.7825**
Wheat,No.1soft white,Portld,OR-u	**6.5000**
Food	
Beef,carcass equiv. index	
choice 1-3,600-900 lbs.-u	**344.41**
select 1-3,600-900 lbs.-u	**323.40**
Broilers, National comp wtd. avg.-u,w	**1.1674**
Butter,AA Chicago-d	**1.2700**
Cheddar cheese,bbl,Chicago-d	**145.25**
Cheddar cheese,blk,Chicago-d	**144.25**
Milk,Nonfat dry,Chicago lb.-d	**226.00**
Coffee,Brazilian,Comp-y	**2.9136**
Coffee,Colombian, NY-y	**3.5411**
Eggs,large white,Chicago-u,w	**0.6350**
Flour,hard winter KC-p	**18.35**
Hams,17-20 lbs,Mid-US fob-u	**n.a.**
Hogs,Iowa-So. Minnesota-u	**75.46**
Pork bellies,12-14 lb MidUS-u	**1.2105**
Pork loins,13-19 lb MidUS-u	**1.0250**
Steers,Tex.-Okla. Choice-u	**n.a.**
Steers,feeder,Okla. City-u,w	**379.75**
Fats and Oils	
Degummed corn oil, crude wtd. avg.-u,w	**n.a.**
Grease,choice white,Chicago-h	**0.6000**
Lard,Chicago-u	**n.a.**
Soybean oil,crude;Centl IL-u,w	**0.7052**
Tallow,bleach;Chicago-h	**0.7050**
Tallow,edible,Chicago-u	**n.a.**

KEY TO CODES: A=ask; B=bid; BP=country elevator bids to producers; C=corrected; D=CME; E=Manfra,Tordella & Brookes; H=American Commodities Brokerage Co; K=bi-weekly; M=monthly; N=nominal; n.a.=not quoted or not available; P=Sosland Publishing; R=SNL Energy; S=Platts-TSI; T=Cotlook Limited; U=USDA; V=Benchmark Mineral Intelligence; W=weekly; Y=International Coffee Organization; Z=not quoted. *Data as of 10/12

Source: Dow Jones Market Data

Borrowing Benchmarks | wsj.com/market-data/bonds/benchmarks

Money Rates

October 13, 2026

Key annual interest rates paid to borrow or lend money in U.S. and international markets. Rates below are a guide to general levels but don't always represent actual transactions.

Inflation

	Aug. index level	Chg From (%) July '26	Chg From (%) Aug. '25
U.S. consumer price index			
All items	**334.980**	0.32	3.4
Core	**338.041**	0.27	2.4

International rates

	Latest	Week ago	52-Week High	52-Week Low
Prime rates				
U.S.	**7.00**	7.00	7.25	6.75
Canada	**4.45**	4.45	4.70	4.45
Japan	**2.375**	2.375	2.375	1.875
Policy Rates				
Euro zone	**2.65**	2.65	2.65	2.15
Switzerland	**0.25**	0.25	0.50	0.25
Britain	**3.75**	3.75	4.00	3.75
Australia	**4.60**	4.60	4.60	3.60

Overnight repurchase

	Latest	Week ago	52-Week High	52-Week Low
U.S.	**3.90**	3.91	4.30	3.49

U.S. government rates

	Latest	Week ago	52-Week High	52-Week Low
Discount	**4.00**	4.00	4.25	3.75
Federal funds				
Effective rate	**3.8900**	3.8900	4.1100	3.6300
High	**3.9500**	3.9500	4.2000	3.7000
Low	**3.8000**	3.8000	4.0800	3.5500
Bid	**3.8800**	3.8800	4.1000	3.6100
Offer	**3.8900**	3.8900	4.1200	3.6300
Treasury bill auction				
4 weeks	**3.980**	3.890	4.030	3.550
13 weeks	**4.085**	4.050	4.110	3.540
26 weeks	**4.200**	4.165	4.285	3.475

Other short-term rates

	Latest	Week ago	52-Week high	52-Week low
Call money	**5.75**	5.75	6.00	5.50
Commercial paper (AA financial)				
90 days	**n.a.**	4.08	4.16	3.57
Secured Overnight Financing Rate	**3.87**	3.89	4.31	3.50

	Latest	Value Traded	52-Week High	52-Week Low
DTCC GCF Repo Index				
Treasury	**3.915**	61.742	4.319	3.504
MBS	**3.933**	122.264	4.371	3.517

Weekly survey

	Latest	Week ago	Year ago
Freddie Mac			
30-year fixed	**7.40**	7.28	6.30
15-year fixed	**6.73**	6.60	5.53

Notes on data:

U.S. prime rate is the base rate on corporate loans posted by at least 70% of the 10 largest U.S. banks, and is effective September 17, 2026. **Other prime rates** aren't directly comparable; lending practices vary widely by location; **Discount rate** is effective September 17, 2026. **Secured Overnight Financing Rate** is as of October 12, 2026. **DTCC GCF Repo Index** is Depository Trust & Clearing Corp.'s weighted average for overnight trades in applicable CUSIPs. Value traded is in billions of U.S. dollars. **Federal-funds rates** are Tullett Prebon rates as of 3:30 p.m. ET.

Sources: Federal Reserve; Bureau of Labor Statistics; DTCC; FactSet; Tullett Prebon Information, Ltd.

Exchange-Traded Portfolios | wsj.com/market-data/mutualfunds-etfs

Largest 100 exchange-traded funds, latest session.

Tuesday, October 13, 2026

ETF	Symbol	Closing Price	Chg (%)	YTD (%)
AvantisEM	**AVEM**	92.82	**−0.48**	20.5
AvantisUSSCValue	**AVUV**	120.61	**0.56**	18.3
CapGrpDivVal	**CGDV**	49.68	**0.20**	13.8
FidTotalBd	**FBND**	43.52	**0.12**	−5.5
InvscNasd100	**QQQM**	306.16	**−0.34**	21.1
InvscQQQI	**QQQ**	743.57	**−0.33**	21.0
InvscS&P500EW	**RSP**	213.30	**0.05**	11.3
iShBitcoin	**IBIT**	47.13	**0.58**	−5.1
iShCoreDivGrowth	**DGRO**	77.58	**−0.27**	11.8
iShCoreMSCIEAFE	**IEFA**	96.64	**0.48**	8.0
iShCoreMSCIEM	**IEMG**	80.22	**−0.51**	19.3
iShMSCIIntlDev	**IDEV**	89.39	**0.43**	8.4
iShCoreMSCITotInt	**IXUS**	94.66	**0.10**	11.8
iShCoreS&P500	**IVV**	781.54	**0.01**	14.1
iShCoreS&P MC	**IJH**	73.26	**0.14**	11.0
iShCoreS&P SC	**IJR**	137.60	**0.09**	14.5
iShCoreS&PTotUS	**ITOT**	169.34	**−0.05**	13.9
iShCoreS&PUSGrw	**IUSG**	196.88	**−0.06**	17.2
iShCoreUSAggBd	**AGG**	94.71	**0.05**	−5.2
iShCoreUnivUSDBd	**IUSB**	44.19	**0.09**	−5.0
iShEdgeMSCIUSAQual	**QUAL**	227.09	**−0.28**	14.3
iShGoldTr	**IAU**	78.25	**−0.11**	−3.6
iShiBoxx$IGCpBd	**LQD**	102.55	**−0.03**	−6.9
iShMBS	**MBB**	89.97	**0.16**	−5.5
iShMSCIACWI	**ACWI**	160.69	**0.04**	13.6
iShMSCIEAFE	**EFA**	103.47	**0.41**	7.7
iSh MSCI EM	**EEM**	65.74	**−0.62**	20.2
iShMSCIEAFEValue	**EFV**	78.85	**0.90**	10.4
iShNatlMuniBd	**MUB**	101.77	**0.60**	−5.0
iShRussMC	**IWR**	109.59	**0.11**	13.8
iShRuss1000	**IWB**	424.78	**−0.04**	13.7
iShRuss1000Grw	**IWF**	127.12	**−0.01**	7.4
iShRuss1000Val	**IWD**	254.53	**−0.05**	21.0
iShRuss2000	**IWM**	276.70	**−0.43**	12.4
iShS&P500Grw	**IVW**	144.56	**−0.04**	17.3
iShS&P500Value	**IVE**	234.07	**0.07**	10.4
iShSemiconductor	**SOXX**	543.90	**−0.17**	80.6
iSh7-10YTreaBd	**IEF**	89.54	**0.12**	−6.9
iShSilver	**SLV**	53.49	**−1.58**	−17.0
iSh20+YTreaBd	**TLT**	78.37	**0.41**	−10.1
iShUSEqFactRotat	**DYNF**	70.27	**−0.18**	15.6
iShUSTreasuryBd	**GOVT**	21.91	**0.14**	−4.8
iSh0-3MTreaBd	**SGOV**	100.52	**...**	0.1
JPMNasdEqPrem	**JEPQ**	60.92	**−0.02**	4.8
JanusAAACLO	**JAAA**	50.55	**...**	−0.1
JPMEqPremiumIncome	**JEPI**	56.93	**−0.05**	−0.5
JPM UltShIncm	**JPST**	50.31	**0.04**	−0.6
ProShUltPrQQQ	**TQQQ**	78.81	**−1.00**	49.5
SPDRGoldMini	**GLDM**	82.36	**−0.13**	−3.5
SPDR Gold	**GLD**	381.67	**−0.13**	−3.7
SchwabFdUSLgCo	**FNDX**	32.36	**0.22**	18.9
SchwabIntEquity	**SCHF**	27.14	**0.04**	12.9
SchwabUS BrdMkt	**SCHB**	29.85	**−0.10**	13.8
SchwabUS Div	**SCHD**	33.37	**0.33**	21.7
SchwabUS LC	**SCHX**	30.61	**−0.07**	13.7
SchwabUS LC Grw	**SCHG**	36.59	**...**	12.2
SSEnergySel	**XLE**	67.20	**1.80**	50.3
SSFinlSel	**XLF**	54.82	**−0.42**	0.1
SSHlthCrSel	**XLV**	169.66	**−1.35**	9.6
SSIndlSel	**XLI**	168.67	**−0.28**	8.7
SSSPDRBbg1-3M	**BIL**	91.52	**0.02**	0.2
SS SPDR DJIA	**DIA**	516.21	**−0.33**	7.4
SSSPDRDevxUS	**SPDW**	49.78	**0.18**	12.1
SSSPDRS&P500	**SPYM**	91.55	**−0.03**	14.1
SSSPDRS&P500G	**SPYG**	125.13	**−0.05**	17.3
SSSPDRS&P500V	**SPYV**	62.67	**0.03**	10.3
SSIMSPDRS&P500	**SPY**	778.01	**−0.01**	14.1
SSTechSel	**XLK**	196.28	**−0.04**	36.3
VanEckSemicon	**SMH**	588.12	**−0.49**	63.3
VangdDivApp	**VIG**	239.71	**−0.14**	9.1
VangdExtMkt	**VXF**	232.54	**−0.42**	11.2
VangdFTSEAWxUS	**VEU**	82.61	**0.15**	12.3
VangdFTSEDevMk	**VEA**	70.06	**0.16**	12.1
VangdFTSE EM	**VWO**	59.68	**−0.08**	11.0
VangdFTSE Europe	**VGK**	86.31	**0.57**	3.2
VangdHiDiv	**VYM**	159.11	**−0.08**	10.9
VangdInfoTech	**VGT**	126.48	**−0.02**	34.2
VangdIntermBd	**BIV**	73.03	**0.10**	−6.2
VangdIntrCorpBd	**VCIT**	78.48	**−0.03**	−6.3
VangdIntermTrea	**VGIT**	56.74	**0.05**	−5.3
VangdMstarGrw	**VUG**	91.75	**0.12**	12.8
VangdMstarLC	**VV**	358.81	**−0.06**	14.0
VangdMstarMegaGr	**MGK**	94.19	**0.12**	14.1
VangdMstarMC	**VO**	81.02	**0.12**	11.7
VangdMstarSC	**VB**	288.16	**...**	11.7
VangdMstarSCVal	**VBR**	235.62	**0.39**	11.3
VangdMstarTot	**VTI**	381.32	**−0.07**	13.7
VangdMstarVal	**VTV**	220.67	**−0.34**	15.5
VangdRealEst	**VNQ**	91.14	**−0.24**	3.0
VangdRuss1000Grw	**VONG**	130.82	**−0.05**	7.4
VangdS&P500ETF	**VOO**	715.20	**0.01**	14.0
VangdS&P500 Grw	**VOOG**	86.90	**−0.02**	17.3
VangdST Bond	**BSV**	76.37	**−0.03**	−3.1
VangdSTCpBd	**VCSH**	77.32	**−0.05**	−3.0
VangdShortTrea	**VGSH**	57.57	**0.03**	−2.0
VangdTaxExemptBd	**VTEB**	47.65	**0.57**	−5.2
VangdTotalBd	**BND**	70.33	**0.11**	−5.0
VangdTotIntlBd	**BNDX**	47.01	**0.09**	−2.7
VangdTotIntlStk	**VXUS**	84.54	**0.12**	12.1
VangdTotWrldStk	**VT**	159.76	**0.16**	13.3

Bonds | wsj.com/market-data/bonds/benchmarks

Tracking Bond Benchmarks

Return on investment and spreads over Treasurys and/or yields paid to investors compared with 52-week highs and lows for different types of bonds

Total return close	YTD total return (%)	Index	Yield (%) Latest	Low	High
Broad Market Bloomberg Fixed Income Indices					
2194.74	**-2.3**	U.S. Aggregate	**5.500**	4.160	5.570
U.S. Corporate Indexes Bloomberg Fixed Income Indices					
3355.27	**-2.5**	U.S. Corporate	**5.990**	4.680	6.050
3341.67	**-1.1**	Intermediate	**5.750**	4.330	5.810
4192.17	**-5.7**	Long term	**6.540**	5.370	6.630
619.48	**-4.0**	Double-A-rated	**5.830**	4.410	5.900
922.57	**-2.1**	Triple-B-rated	**6.170**	4.860	6.220
High Yield Bonds ICE BofA					
618.43	**0.2**	High Yield Constrained	**8.257**	6.489	8.350
604.32	**-3.8**	Triple-C-rated	**16.811**	11.651	16.811
4103.02	**-0.4**	High Yield 100	**7.593**	5.828	7.655
539.22	**0.5**	Global High Yield Constrained	**7.957**	6.317	8.014
393.28	**-0.5**	Europe High Yield Constrained	**6.606**	4.820	6.629
U.S Agency Bloomberg Fixed Income Indices					
1942.08	**-0.8**	U.S Agency	**5.180**	3.830	5.220
1729.48	**-0.3**	10-20 years	**5.120**	3.750	5.170
3497.81	**-5.7**	20-plus years	**5.830**	4.580	5.930
2986.54	**-1.6**	Yankee	**5.640**	4.320	5.710

Total return close	YTD total return (%)	Index	Yield (%) Latest	Low	High
Mortgage-Backed Bloomberg Fixed Income Indices					
2192.23	**-2.4**	Mortgage-Backed	**5.820**	4.380	5.970
2153.84	**-2.2**	Ginnie Mae (GNMA)	**5.890**	4.420	6.030
1295.19	**-2.5**	Fannie mae (FNMA)	**5.810**	4.370	5.950
1997.56	**-2.4**	Freddie Mac (FHLMC)	**5.610**	4.160	5.810
599.90	**-2.9**	Muni Master	**4.323**	3.037	4.628
427.32	**-3.4**	7-12 year	**4.094**	2.596	4.475
478.02	**-4.3**	12-22 year	**4.959**	3.608	5.157
448.29	**-4.0**	22-plus year	**5.388**	4.432	5.515
Global Government J.P. Morgan†					
545.02	**-2.5**	Global Government	**4.635**	3.500	4.694
840.90	**-0.1**	Canada	**3.854**	3.070	3.963
355.61	**

BIGGEST 1,000 STOCKS

How to Read the Stock Tables

The following explanations apply to NYSE, NYSE Arca, NYSE American, Nasdaq Stock Market, Cboe BZX and Texas Stock Exchange listed securities. Prices are consolidated from trades reported by various market centers, including securities exchanges, Finra, electronic communications networks and other broker-dealers. The list comprises the 1,000 largest companies based on market capitalization.

Underlined quotations are those stocks with large changes in volume compared with the issue's average trading volume.

Boldfaced quotations highlight those issues whose price changed by 5% or more if their previous closing price was $2 or higher.

Footnotes:
i-New 52-week high; **l**-New 52-week low; **dd**-Indicates loss in the most recent four quarters.

Stock tables reflect composite regular trading as of 4 p.m. ET and changes in the official closing prices from 4 p.m. ET the previous day.

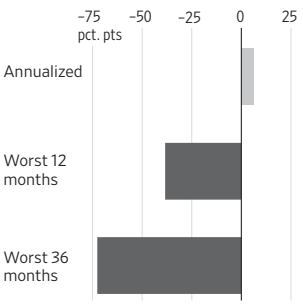
Tuesday, October 13, 2026

Stock	Sym	Close	Net Chg
A B C			
AES	**AES**	14.99	0.01
Aflac	**AFL**	116.44	0.55
AGNC Invt	**AGNC**	8.61	-0.07
i APA	**APA**	48.01	1.17
ASE Tech	**ASX**	47.60	0.07
ASML	**ASML**	1717.76	-32.48
! **AST Space**	**ASTS**	**47.07**	**-4.39**
AT&T	**T**	22.85	0.36
ATI	**ATI**	189.81	1.83
AbbottLabs	**ABT**	102.61	0.79
i AbbVie	**ABBV**	274.36	-6.76
Accenture	**ACN**	213.56	0.40
Acuity	**AYI**	301.12	4.85
Adobe	**ADBE**	236.28	-1.86
AdvDrainageSys	**WMS**	126.73	0.80
AdvEnergyInds	**AEIS**	275.65	-5.12
AdvMicroDevices	**AMD**	605.53	11.29
Aegon	**AEG**	8.33	0.03
AerCap	**AER**	145.68	-0.52
AffiliatedMgrs	**AMG**	379.01	-2.82
AffirmA	**AFRM**	77.89	-0.74
AgilentTechs	**A**	171.60	0.27
AgnicoEagleMines	**AEM**	185.61	-2.57
AirProducts	**APD**	288.96	5.09
Airbnb	**ABNB**	165.58	2.08
AkamaiTech	**AKAM**	99.93	-1.72
AlamosGold	**AGI**	31.90	-0.57
Albemarle	**ALB**	97.65	-0.86
Alcoa	**AA**	41.49	-0.18
Alcon	**ALC**	63.00	-1.35
Alibaba	**BABA**	110.85	0.07
AlignTech	**ALGN**	143.54	3.12
Allegion	**ALLE**	153.17	3.13
AlliantEnergy	**LNT**	66.96	0.50
AllisonTransm	**ALSN**	111.62	0.15
Allstate	**ALL**	236.40	3.80
AllyFinancial	**ALLY**	37.60	-0.31
AlnylamPharm	**ALNY**	223.82	-3.20
Alphabet C	**GOOG**	349.52	0.55
Alphabet A	**GOOGL**	353.78	1.06
Altria	**MO**	71.56	-0.10
Amazon.com	**AMZN**	258.58	-0.95
Ambev	**ABEV**	3.22	-0.01
Amcor	**AMCR**	41.77	0.19
AmerSports	**AS**	29.20	0.83
Ameren	**AEE**	104.32	1.08
AmericaMovil	**AMX**	21.68	0.27
AEP	**AEP**	125.65	1.42
AmerExpress	**AXP**	309.84	-1.69
AmericanFin	**AFG**	144.61	0.83
AmerHlthcrREIT	**AHR**	52.53	0.01
AmHomes4Rent	**AMH**	30.63	-0.06
AIG	**AIG**	77.65	-0.05
AmerTowerREIT	**AMT**	179.43	-3.13
AmerWaterWorks	**AWK**	130.05	0.50
Ameriprise	**AMP**	493.32	-6.70
Ametek	**AME**	250.48	0.59
Amgen	**AMGN**	412.84	-4.73
AmkorTech	**AMKR**	47.61	-0.50
Amphenol	**APH**	85.89	-0.30
Amrize	**AMRZ**	36.42	0.33
AnalogDevices	**ADI**	414.70	8.45
AngloGoldAsh	**AU**	91.65	-1.79
AB InBev	**BUD**	78.62	0.33
AnnalyCap	**NLY**	18.16	-0.13
AnteroMidstream	**AM**	21.08	-0.03
AnteroResources	**AR**	37.54	0.98
Aon	**AON**	274.71	-0.07
APi Group	**APG**	40.62	0.23
ApolloGlbMgmt	**APO**	116.28	-2.94
i Apple	**AAPL**	341.27	0.30
AppliedIndlTech	**AIT**	332.85	-0.96
ApplMaterials	**AMAT**	**464.24**	**-33.29**
AppLovin	**APP**	272.28	1.41
Aptiv	**APTV**	44.26	0.71
Aramark	**ARMK**	54.78	0.02
ArcelorMittal	**MT**	63.47	0.52
ArchCapital	**ACGL**	96.85	-0.31
ADM	**ADM**	83.20	2.78
AresMgmt	**ARES**	115.62	-2.53
argenx	**ARGX**	802.64	-9.66
AristaNetworks	**ANET**	204.52	-6.36
Arm	**ARM**	255.39	0.15
ArrowElec	**ARW**	231.75	6.03
Arxis	**ARXS**	49.91	2.13
AscendisPharma	**ASND**	223.21	-3.79
Assurant	**AIZ**	270.99	2.36
AsteraLabs	**ALAB**	325.41	1.30
AstraZeneca	**AZN**	155.82	-2.51
i Atlassian	**TEAM**	208.04	0.29
AtmosEnergy	**ATO**	163.47	1.09
AuroraInnov	**AUR**	**5.34**	**-0.32**
Autodesk	**ADSK**	230.43	-3.11
ADP	**ADP**	275.90	2.09
AutoZone	**AZO**	2893.30	-5.55
Avantor	**AVTR**	15.55	0.06
AveryDennison	**AVY**	170.72	3.07
AxonEnterprise	**AXON**	413.35	-1.08
BCE	**BCE**	19.48	0.62
BHP Group	**BHP**	84.95	-1.77
BJ's Wholesale	**BJ**	99.57	-0.23
! BP	**BP**	48.53	1.80
BWX Tech	**BWXT**	138.86	-1.06
BXP	**BXP**	59.49	0.44
! Baidu	**BIDU**	83.74	-0.56
BakerHughes	**BKR**	56.45	0.27
Ball	**BALL**	59.56	0.37
BBVA	**BBVA**	26.43	0.24
BancoBradesco	**BBDO**	3.83	-0.11
BancodeChile	**BCH**	39.10	0.16
BancSanBrasil	**BSBR**	5.75	-0.02
BcoSantChile	**BSAC**	32.18	-0.01
BancoSantander	**SAN**	13.55	0.07
BankofAmerica	**BAC**	53.96	-0.62
BankMontreal	**BMO**	165.28	1.40
BankNY Mellon	**BNY**	141.03	-1.82
BankNovaScotia	**BNS**	90.19	1.39
Barclays	**BCS**	23.06	...
BarrickMining	**B**	40.52	-0.31
BaxterIntl	**BAX**	24.89	0.11
BectonDicknsn	**BDX**	187.37	-1.52
BendingSpoons	**BSP**	37.86	0.82
BentleySystems	**BSY**	35.06	-0.09
BeOneMed	**ONC**	349.08	-1.32
Berkley	**WRB**	73.55	0.65
BerkHathwy A	**BRK.A**	7803502995.00	
BerkHathwy B	**BRK.B**	520.59	2.99
BestBuy	**BBY**	87.96	0.97
Bio-Techne	**TECH**	72.48	-0.08
Bio-RadLab A	**BIO**	363.73	-0.69
Biogen	**BIIB**	228.90	-0.51
BioMarinPharm	**BMRN**	54.38	-1.01
BioNTech	**BNTX**	**89.01**	**-6.83**
BitMineImmersion	**BMNR**	23.49	-0.34
BlackRock	**BLK**	1066.12	-17.80
Blackstone	**BX**	109.98	-4.80
Block	**XYZ**	76.86	0.04
BloomEnergy	**BE**	263.45	1.17
BlueOwlCapital	**OWL**	9.29	-0.05
Boeing	**BA**	186.49	-3.01
Booking	**BKNG**	157.51	-0.92
BorgWarner	**BWA**	60.57	0.54
BostonSci	**BSX**	43.31	-0.53
BridgeBioPharma	**BBIO**	63.30	-2.45
BrightSpring	**BTSG**	62.65	-0.36
BristolMyers	**BMY**	56.67	-0.91
BritishAmTob	**BTI**	55.65	0.03
Broadcom	**AVGO**	357.31	2.58
BroadridgeFinl	**BR**	168.44	2.03
BrookfieldAsset	**BAM**	45.23	-0.60
Brookfield	**BN**	36.67	-0.38
BrookfieldInfr	**BIP**	36.33	-0.39
BrookWealth	**BNT**	36.67	-0.38
Brown&Brown	**BRO**	64.05	0.40
Brown-Forman B	**BF.B**	27.29	0.48
Brown-Forman A	**BF.A**	27.79	0.51
Bullish	**BLSH**	31.77	0.14
BungeGlobal	**BG**	107.56	3.34
BurlingtonStrs	**BURL**	263.31	-4.85
CACI Intl	**CACI**	609.66	-4.70
CBRE Group	**CBRE**	129.67	-1.04
CDW	**CDW**	**151.97**	**8.21**
CF Industries	**CF**	117.25	2.67
CGI A	**GIB**	72.12	1.41
CH Robinson	**CHRW**	137.97	-1.78
CME Group	**CME**	278.03	0.79
CMS Energy	**CMS**	66.30	0.44
CNA Fin	**CNA**	46.73	-0.07
CNH Indl	**CNH**	12.17	0.52
! CRH	**CRH**	80.14	-0.91
CSX	**CSX**	47.76	0.01
CVS Health	**CVS**	87.55	-0.19
CadenceDesign	**CDNS**	334.20	-14.22
CamdenProperty	**CPT**	98.00	0.40
Cameco	**CCJ**	86.15	0.03
CIBC	**CM**	111.52	1.51
CanNtlRlwy	**CNI**	118.91	0.39
CanadianNatRscs	**CNQ**	52.14	1.64
CdnPacKC	**CP**	85.73	0.20
CapitalOne	**COF**	198.07	-3.07
CardinalHealth	**CAH**	239.72	1.64
Carlisle	**CSL**	328.85	9.28
! Carlyle	**CG**	37.24	-1.01
Carnival	**CCL**	26.73	0.25
CarpenterTech	**CRS**	380.42	3.17
CarrierGlobal	**CARR**	55.03	-0.39
Carvana	**CVNA**	60.39	0.88
CaseysGenStores	**CASY**	641.74	-3.98
Caterpillar	**CAT**	772.78	-26.59
CboeGlobalMkts	**CBOE**	292.25	-5.13
Celestica	**CLS**	357.44	9.94
Cemex	**CX**	9.75	0.18
Cencora	**COR**	330.11	5.05
CenovusEnergy	**CVE**	32.83	0.97
! Centene	**CNC**	68.86	1.84
CenterPointEner	**CNP**	39.36	0.33
! CerebrasSystems	**CBRS**	149.09	2.47
CharlesRiverLabs	**CRL**	299.02	-2.84
CharterComms	**CHTR**	106.95	4.47
CheckPoint	**CHKP**	134.99	0.67
CheniereEnergy	**LNG**	286.92	4.43
CheniereEnerPtrs	**CQP**	64.57	0.93
! Chevron	**CVX**	217.73	2.73
ChimeFinl	**CHYM**	29.90	-0.55
Chipotle	**CMG**	30.35	-0.05
Chubb	**CB**	346.16	1.10
ChunghwaTel	**CHT**	46.10	-0.11
Church&Dwight	**CHD**	100.13	0.26
Ciena	**CIEN**	400.40	-4.61
Cigna	**CI**	282.53	-0.81
CincinnatiFinl	**CINF**	165.64	0.09
Cintas	**CTAS**	206.38	1.15
CircleInternet	**CRCL**	84.27	0.40
CiscoSystems	**CSCO**	115.07	-0.27
Citigroup	**C**	**124.53**	**-7.39**
CitizensFin	**CFG**	63.30	-0.60
CleanHarbors	**CLH**	317.38	-1.64
Clorox	**CLX**	84.45	0.10
Cloudflare	**NET**	347.70	-3.17
Coca-Cola	**KO**	90.11	0.32
Coca-ColaCon	**COKE**	194.16	-3.06
CocaColaEuropac	**CCEP**	105.38	0.30
CoeurMining	**CDE**	16.26	-0.50
Cognex	**CGNX**	60.01	-1.81
CognizantTech	**CTSH**	61.33	1.65
Coherent	**COHR**	289.98	1.96
CoinbaseGlbl	**COIN**	181.79	1.40
ColgatePalm	**CL**	89.95	-0.03
Comcast A	**CMCSA**	20.88	0.20
ComfortSystems	**FIX**	1626.64	-11.41
SABESP	**SBS**	6.45	-0.28
COPEL	**ELPC**	14.00	-0.18
ConocoPhillips	**COP**	140.90	3.34
ConEd	**ED**	107.82	0.62
ConstBrands A	**STZ**	127.06	0.66
ConstellationEner	**CEG**	295.79	1.90
Cooper	**COO**	54.59	-0.95
Copart	**CPRT**	26.37	-0.11
CorceptTherap	**CORT**	117.80	-3.39
CorebridgeFin	**CRBG**	34.40	-0.18
CoreWeave	**CRWV**	77.81	-2.45
Corning	**GLW**	148.54	1.26
Corpay	**CPAY**	399.10	1.43
Corteva	**CTVA**	13.36	0.06
CoStar	**CSGP**	30.00	0.79
Costco	**COST**	954.63	-4.81
Coupang	**CPNG**	15.12	-0.16
Crane	**CR**	203.76	-0.78
Credicorp	**BAP**	380.69	-1.18
CredoTech	**CRDO**	198.31	-2.53
CrowdStrike	**CRWD**	261.21	-1.80
CrownCastle	**CCI**	79.56	-1.45
Crown Holdings	**CCK**	110.00	1.49
Cullen/Frost	**CFR**	151.56	-0.21
Cummins	**CMI**	529.35	1.49
Curtiss-Wright	**CW**	502.05	-2.11
D E F			
DTE Energy	**DTE**	128.33	0.28
DT Midstream	**DTM**	126.55	0.93
Danaher	**DHR**	222.84	1.64
Darden	**DRI**	205.60	5.99
DarlingIngred	**DAR**	63.10	2.04
Datadog	**DDOG**	283.34	-3.95
DaVita	**DVA**	182.08	0.30
DeckersOutdoor	**DECK**	84.02	-0.25
Deere	**DE**	650.00	17.39
DellTechC	**DELL**	572.47	-4.29
DeltaAir	**DAL**	79.57	-0.54
DeutscheBank	**DB**	33.34	-0.31
DevonEnergy	**DVN**	50.21	1.25
DexCom	**DXCM**	85.06	-0.86
Diageo	**DEO**	90.43	1.70
DiamondbkEner	**FANG**	198.18	3.07
Dick's	**DKS**	137.55	0.18
DigitalRealty	**DLR**	178.14	-2.02
DigitalOcean	**DOCN**	128.21	-3.20
Dillard's	**DDS**	642.02	-0.27
Disney	**DIS**	108.58	0.09
DocuSign	**DOCU**	72.31	1.34
DollarGeneral	**DG**	125.00	-1.54
DollarTree	**DLTR**	116.28	-1.33
DominionEner	**D**	62.30	-0.15
Domino's	**DPZ**	296.10	-14.80
Donaldson	**DCI**	87.16	0.69
DoorDash	**DASH**	193.09	-1.15
Dover	**DOV**	192.48	1.60
Dow	**DOW**	28.51	0.39
DrReddy'sLab	**RDY**	12.77	-0.05
DraftKings	**DKNG**	19.72	0.06
DukeEnergy	**DUK**	118.19	0.50
DuPont	**DD**	129.55	0.18
i Dynatrace	**DT**	64.47	-0.78
EMCOR	**EME**	776.05	-3.11
ENI	**E**	57.45	0.68
EOG Rscs	**EOG**	153.17	2.66
EQT	**EQT**	54.43	1.21
EastWestBncp	**EWBC**	125.05	-0.51
EastGroup	**EGP**	196.57	-0.88
Eaton	**ETN**	428.31	1.62
eBay	**EBAY**	116.41	1.76
EchoStar	**ECHO**	91.56	-3.54
Ecolab	**ECL**	285.66	1.36
Ecopetrol	**EC**	17.52	0.29
EdisonIntl	**EIX**	55.48	-0.16
EdwardsLife	**EW**	85.27	-1.12
ElancoAnimal	**ELAN**	22.41	-0.15
Elastic	**ESTC**	94.32	-1.20
ElbitSystems	**ESLT**	667.67	14.83
EldoradoGold	**EGO**	36.65	-0.89
ElementSolns	**ESI**	37.20	0.75
ElevanceHealth	**ELV**	425.27	3.18
Embraer	**EMBJ**	71.86	-0.12
Emera	**EMA**	45.68	-0.16
EmersonElec	**EMR**	163.50	1.04
Enbridge	**ENB**	47.46	0.51
EncompassHealth	**EHC**	124.33	-0.09
EnergyTransfer	**ET**	20.48	0.07
EnlightRenewable	**ENLT**	70.44	1.74
EnsignGroup	**ENSG**	173.26	-0.66
Entegris	**ENTG**	161.16	1.15
Entergy	**ETR**	104.99	1.00
EnterpriseProd	**EPD**	36.04	0.13
Equifax	**EFX**	149.08	1.75
Equinix	**EQIX**	1019.40	-13.20
Equinor	**EQNR**	45.02	1.08
EquinoxGold	**EQX**	10.85	-0.35
Equitable	**EQH**	53.12	-0.40
EquityLife	**ELS**	58.94	-0.25
ErieIndemnity	**ERIE**	230.84	5.78
EssentialUtil	**WTRG**	39.29	0.14
EssexProp	**ESS**	271.88	1.49
EsteeLauder	**EL**	99.73	-0.31
EvercoreA	**EVR**	263.94	-8.28
Everest	**EG**	374.72	2.19
Evergy	**EVRG**	82.13	0.63
i Everpure	**P**	156.97	1.66
EversourceEner	**ES**	65.75	-0.35
Exelixis	**EXEL**	59.51	-0.31
Exelon	**EXC**	42.34	0.22
ExpandEnergy	**EXE**	92.37	3.56
Expedia	**EXPE**	273.44	4.97
i ExpeditorsIntl	**EXPD**	195.13	1.72
ExtraSpaceSt	**EXR**	133.74	-0.31
ExxonMobil	**XOM**	174.08	1.93
F5	**FFIV**	476.24	2.75
FTAI Aviation	**FTAI**	166.87	1.34
Fabrinet	**FN**	**427.82**	**-28.58**
FactSet	**FDS**	290.82	2.15
FairIsaac	**FICO**	723.03	-16.97
Fastenal	**FAST**	51.43	-0.06
FederalRealty	**FRT**	105.75	-0.67
FedEx	**FDX**	290.59	-1.64
FedExFreight	**FDXF**	110.09	-3.03
FergusonEnts	**FERG**	222.86	2.31
Ferrari	**RACE**	391.60	2.36
Ferrovial	**FER**	50.56	0.22
FidNatlFinl	**FNF**	39.23	0.18
FidNatlInfo	**FIS**	35.20	0.94
FifthThirdBncp	**FITB**	50.22	-0.60
Figma	**FIG**	21.76	-0.20
FirstCitizBcshA	**FCNCA**	2075.12	-7.38
FirstHorizon	**FHN**	22.77	-0.29
FirstSolar	**FSLR**	186.60	6.88
FirstCash	**FCFS**	218.83	2.63
FirstEnergy	**FE**	45.21	-0.15
Fiserv	**FISV**	46.66	0.61
FiveBelow	**FIVE**	213.35	-0.23
Flex	**FLEX**	**110.88**	**-6.36**
Flowserve	**FLS**	71.47	0.82
FlutterEnt	**FLUT**	78.06	-0.22
FEMSA	**FMX**	121.18	-0.47
FordMotor	**F**	12.10	0.10
ForgentPwr	**FPS**	36.17	-0.92
FormFactor	**FORM**	128.09	-2.19
i Fortinet	**FTNT**	190.76	-2.18
Fortis	**FTS**	54.03	0.29
Fortive	**FTV**	58.07	0.70
FoxA	**FOXA**	62.50	-0.09
FoxB	**FOX**	55.93	-0.05
Franco-Nevada	**FNV**	243.85	-1.90
FranklinTemp	**BEN**	31.18	-0.63
FreedomHolding	**FRHC**	172.15	4.14
FreeportMcM	**FCX**	72.42	-0.87
FreseniusMedCare	**FMS**	21.08	-0.13
i Frontline	**FRO**	59.04	-0.15
FullTruck	**YMM**	8.76	0.13
Futu	**FUTU**	114.06	1.80
G H I			
GE Aerospace	**GE**	307.63	-1.01
GE HealthCare	**GEHC**	68.79	1.05
GE Vernova	**GEV**	1004.04	7.24
GFLEnvironmental	**GFL**	42.75	0.37
GSK	**GSK**	46.27	-0.65
Gallagher	**AJG**	232.90	-1.02
i GameStop	**GME**	27.22	-0.01
Gaming&Leisure	**GLPI**	38.35	-0.13
Garmin	**GRMN**	276.41	9.65
Gartner	**IT**	196.96	2.86
GenDigital	**GEN**	23.81	0.46
Generac	**GNRC**	214.29	-4.08
GeneralDynamics	**GD**	332.42	-3.04
GeneralMills	**GIS**	31.83	-0.26
GeneralMotors	**GM**	84.00	1.63
Genmab	**GMAB**	36.57	-0.80
GenuineParts	**GPC**	130.71	1.09
Gerdau	**GGB**	5.18	0.04
GileadSciences	**GILD**	147.92	-2.51
GitLab	**GTLB**	**51.95**	**-4.06**
Glaukos	**GKOS**	165.50	-2.52
GlobalPayments	**GPN**	81.88	-0.18
GlobalFoundries	**GFS**	46.70	-1.64
Globalstar	**GSAT**	82.68	-0.36
GlobeLife	**GL**	166.01	0.89
GlobusMedical	**GMED**	76.32	0.08
GoDaddy	**GDDY**	103.03	0.71
GoldFields	**GFI**	36.34	-0.42
GoldmanSachs	**GS**	891.91	-2.04
Grab	**GRAB**	**2.98**	**-0.17**
Graco	**GGG**	79.82	1.01
Grainger	**GWW**	1325.10	18.37
GAP	**PAC**	198.97	-3.82
GrupoCibest	**CIB**	95.49	0.53
GuardantHealth	**GH**	162.09	-0.70
Guidewire	**GWRE**	165.78	1.04
HCA Healthcare	**HCA**	460.75	2.15
HDFC Bank	**HDB**	22.76	0.18
i HF Sinclair	**DINO**	128.23	5.32
HP	**HPQ**	30.63	0.76
HSBC	**HSBC**	94.85	0.53
H World	**HTHT**	44.17	-0.38
Haleon	**HLN**	9.44	-0.06
Halliburton	**HAL**	32.79	0.19
HalozymeTherap	**HALO**	109.62	-1.46
HarmonyGold	**HMY**	16.71	0.03
HartfordIns	**HIG**	131.19	1.00
Hasbro	**HAS**	95.94	1.21
HealthpeakProp	**DOC**	18.98	0.03
HeclaMining	**HL**	16.18	-0.66
Heico	**HEI**	296.73	-0.36
HeicoA	**HEI.A**	221.19	-1.68
HenrySchein	**HSIC**	85.03	0.80
Hershey	**HSY**	163.05	-0.79
HewlettPackard	**HPE**	68.81	-1.52
Hilton	**HLT**	329.59	2.05
HomeDepot	**HD**	293.92	3.30
HondaMotor	**HMC**	33.33	0.67
HoneywellAero	**HONA**	158.18	0.91
Honeywell	**HON**	207.29	-2.35
i HormelFoods	**HRL**	19.21	0.20
DR Horton	**DHI**	135.45	1.16
HostHotels	**HST**	23.22	0.48
HoulihanLokey	**HLI**	129.53	-0.85
HowmetAerospace	**HWM**	216.84	-3.97
Hubbell	**HUBB**	477.93	3.88
HubSpot	**HUBS**	221.28	-2.09
HudbayMinerals	**HBM**	25.68	-0.08
Humana	**HUM**	420.38	-13.12
JBHunt	**JBHT**	229.04	0.73
HuntingtonBcshs	**HBAN**	15.24	-0.16
! HuntingIngalls	**HII**	257.84	-6.19
Hut8	**HUT**	83.61	-1.63
HyattHotels	**H**	162.92	1.74
ICICI Bank	**IBN**	28.54	0.49
IDEX	**IEX**	237.19	1.42
IdexxLab	**IDXX**	520.31	-3.63
IES Holdings	**IESC**	280.04	-7.75
ING Groep	**ING**	33.63	0.24
INNIO	**INIO**	18.31	-0.30
Invesco	**IVZ**	28.92	-0.34
IQVIA	**IQV**	260.68	-1.53
IREN	**IREN**	34.80	...
ITT	**ITT**	201.66	-0.24
IamGold	**IAG**	18.27	-0.30
IcahnEnterprises	**IEP**	6.71	0.09
Icon	**ICLR**	164.34	-0.06
IllinoisToolWks	**ITW**	266.32	1.21
Illumina	**ILMN**	271.18	-5.50
ImmunityBio	**IBRX**	9.80	-0.32
ImperialOil	**IMO**	128.93	4.53
Incyte	**INCY**	108.62	-2.47
Infosys	**INFY**	**11.40**	**0.57**
IngersollRand	**IR**	78.95	-0.14
Insmed	**INSM**	96.79	-1.77
Insulet	**PODD**	138.13	-1.68
Intel	**INTC**	102.81	1.46
InteractiveBrkrs	**IBKR**	87.49	-0.40
ICE	**ICE**	156.42	-1.00
InterContHtls	**IHG**	160.89	1.04
IBM	**IBM**	230.78	3.76
IntlFlavors	**IFF**	88.20	3.24
IntlPaper	**IP**	31.81	0.07
Intuit	**INTU**	301.45	-4.54
IntuitiveSurgical	**ISRG**	422.06	-5.58
InvitatHomes	**INVH**	26.59	-0.11
IonQ	**IONQ**	34.73	-1.54
IronMountain	**IRM**	114.60	-0.50
ItauUnibanco	**ITUB**	9.89	-0.17
J K L			
JBS	**JBS**	12.93	0.07
JD.com	**JD**	26.78	0.06
JPMorganChase	**JPM**	331.43	-2.87
Jabil	**JBL**	317.86	5.85
JackHenry	**JKHY**	153.08	3.45
JacksonFinl	**JXN**	130.97	-0.31
JacobsSolns	**J**	142.20	2.77
JamesHardie	**JHX**	24.67	-0.09
JazzPharm	**JAZZ**	210.39	-6.36
JefferiesFinl	**JEF**	44.86	-0.15
JFrog	**FROG**	99.28	0.26
J&J	**JNJ**	**248.61**	**-15.12**
JohnsonControls	**JCI**	156.47	1.06
JonesLang	**JLL**	298.32	0.22
KB Financial	**KB**	121.44	-0.54
KE Holdings	**BEKE**	17.59	-0.09
KKR	**KKR**	87.16	-4.35
KLA	**KLAC**	184.00	-6.12
KT	**KT**	18.27	0.07
Kaspi.kz	**KSPI**	96.07	-1.10
Kenvue	**KVUE**	17.76	-0.07
KeurigDrPepper	**KDP**	32.66	-0.09
KeyCorp	**KEY**	19.91	-0.18
KeysightTech	**KEYS**	370.22	-7.48
KimberlyClark	**KMB**	98.29	-0.48
KimcoRealty	**KIM**	22.45	0.13
KinderMorgan	**KMI**	33.43	0.35
KinnrossGold	**KGC**	23.44	-0.11
Knight-Swift	**KNX**	63.01	-1.51
Philips	**PHG**	24.89	0.15
KoreaElecPwr	**KEP**	10.84	0.24
KraftHeinz	**KHC**	22.43	-0.02
Kroger	**KR**	60.74	-1.82
KrystalBiotech	**KRYS**	321.16	-10.91
KymeraTherap	**KYMR**	106.68	-5.40
LatamAirlines	**LTM**	48.62	-1.38
LPL Financial	**LPLA**	325.63	-4.49
L3HarrisTech	**LHX**	234.72	-3.53
Labcorp	**LH**	313.64	-1.88
LamResearch	**LRCX**	301.11	-8.45
LamarAdv	**LAMR**	146.45	-0.42
LasVegasSands	**LVS**	37.04	0.89
LatticeSemi	**LSCC**	121.15	-1.69
Leidos	**LDOS**	119.70	-1.90
Lennar A	**LEN**	74.92	0.27
Lennar B	**LEN.B**	74.62	0.54
! LennoxIntl	**LII**	350.13	-6.59
LeonardoDRS	**DRS**	35.16	-0.46
LiAuto	**LI**	11.75	0.35
LibertyLiveA	**LLYVA**	95.50	1.33
LibertyLiveC	**LLYVK**	98.40	1.47
LibertyMediaC	**FWONK**	93.02	-0.79
LibertyMediaA	**FWONA**	85.21	-1.18
LifeTime	**LTH**	39.66	-0.71
EliLilly	**LLY**	1166.51	-16.11
LincolnElectric	**LECO**	262.57	2.88
Linde	**LIN**	492.11	4.76
Littelfuse	**LFUS**	415.03	1.19
LiveNationEnt	**LYV**	171.32	1.68
LloydsBanking	**LYG**	5.50	0.04
LockheedMartin	**LMT**	504.02	-7.86
Loews	**L**	108.47	0.69
LogitechIntl	**LOGI**	102.77	4.44
Lowe's	**LOW**	188.74	3.17
lululemon	**LULU**	94.34	-0.32
Lumentum	**LITE**	987.99	-7.42
LyondellBasell	**LYB**	60.01	0.60
M N			
Macom Tech	**MTSI**	308.75	2.39
M&T Bank	**MTB**	217.93	-1.96
MKS	**MKSI**	247.56	-2.35
MPLX	**MPLX**	56.91	0.08
MSCI	**MSCI**	560.82	-7.19
! MadisonAirSolns	**MAIR**	24.08	0.79
MSG Sports	**MSGS**	404.15	0.81
MadrigalPharm	**MDGL**	452.12	-15.04
MagnaIntl	**MGA**	65.31	1.75
MagnumIceCrm	**MICC**	17.70	-0.13
ManhattanAssoc	**MANH**	222.71	4

HEARD ON THE STREET

You Can't Handle This Investing Strategy

U.S. small value high-profitability stocks, excess returns vs. market



Note: July 1963–July 2026
Source: Dimensional Fund Advisors

Mae West said that "too much of a good thing can be wonderful."

Well, maybe. A case in point is taking a good stock investment strategy and combining it with another good one and then another. Instead of canceling each other out, Wes Crill, a senior investment executive at Dimensional Fund Advisors, found that three well-known drivers of extra returns more or less stacked up, producing a truly wonderful outcome.

The factors are small stocks, low relative price and high profitability. Combining them resulted in an annualized return of 17.1% since July 1963. That compares with 10.9% for U.S. stocks generally. Through this July, Crill's hypothetical combo would have grown a $10,000 investment into $208 million before taxes and fees, or more than 30 times as much as U.S. stocks overall.

But Crill invokes a different Hollywood icon—Jack Nicholson in "A Few Good Men"—to explain why nobody would have stuck it out: "You can't handle the tracking error!"

Since there aren't too many stocks that tick all three boxes, the small number turned out to be frighteningly volatile relative to the market—no picnic itself sometimes. To earn an extra 6.3 percentage points annually, the portfolio trailed by as much as 38.4 points over a 12-month period and by a gut-wrenching 72.6 points over 36 months.

In theory, a young investor could lock away their paychecks in such a strategy until retirement day and never open an account statement. They'd have to be confident, though, that they'd never need to tap their savings in an emergency.

The future won't look like the past, of course, and Crill didn't highlight these results to sell a new product anyway.

Instead, it's a useful way to respond to clients who ask him why lots of smart investors haven't snatched away all of the excess-return hacks that finance professors have identified. It's uncomfortable.

Just buying and holding a plain vanilla index fund is hard, too. And good returns aren't guaranteed, either. An investor with truly unlucky timing could have sat tight for decades and earned less than ultra-safe bonds.

That possibility underscores why sprinkling in Crill's winning factors could be useful. Every little bit of extra return makes stock investing easier to stomach.

The analogy Crill uses is having a habanero pepper in your kitchen. Eating one is too much, but adding a small bit to a dish can spice up a portfolio without causing intestinal distress. *—Spencer Jakab*

AI Chips' New Secret Sauce Is Packaging

Making better chips for AI is increasingly about how they are laid out and stitched together—not just cramming together as many transistors as possible on a single piece of silicon.

The shift toward "advanced packaging" in the chip world—a term referring to a variety of strategies for knitting together pieces of silicon into one big chip—has long been building. And it looks certain to be a much bigger driver of chip advances in the future.

The reason is simple: The old ways of making chips better-performing and more energy efficient aren't working as well as they used to.

For decades, chip advances came almost exclusively from innovations in how transistors were designed and how small they were. A cadence where the number of transistors on a given piece of silicon doubled roughly every two years took hold. The pace of advances became so reliable that it became known as Moore's Law, named after **Intel** co-founder Gordon Moore, who first observed it.

In the past decade or so, as transistors became so small that they're measured in nanometers, that law has come into question. Some chip-makers like Intel struggled to advance their manufacturing at the same pace as before. Others that did reliably advance—notably, **Taiwan Semiconductor Manufacturing Co.**—made less-enormous leaps in transistor density from generation to generation.

The rapidly rising cost of the most advanced chip-making technology presented another challenge. Well before the AI boom, that helped push the main makers of large central processing units—**Advanced Micro Devices** and Intel—toward changes in packaging. They moved away from etching circuitry onto a single piece of expensive silicon. Instead, they welded together numerous pieces of silicon, some made with older and less-expensive chip-making technology. As a side benefit, the strategy helped improve manufacturing yields.

AI, though, has kicked the packaging race into a new gear. Cost hasn't been as big a consideration for **Nvidia** as it developed the AI chips that have driven the boom. But performance has, and its market-leading chips wouldn't have been possible to manufacture without advanced packaging.

Nvidia's chips use technologies developed by TSMC that bring together massive amounts of AI number-crunching power with lots of high-bandwidth memory, all within one advanced package. Constraints on the growth of packaging have been a bottleneck for Nvidia's sales, although TSMC has converted old chip factories into packaging facilities and increased packaging capacity several times over in the past few years.

More investment in packaging is on deck as companies like TSMC, which reports quarterly results on Thursday, work with customers to push chip-making limits. Future packaging approaches increasingly involve stacking pieces of silicon on top of each other, not just side by side.

The shift toward packaging is making it more of a focus, despite being historically a lower-margin business with relatively little innovation. Chip manufacturers like TSMC are doing more of it themselves, bringing in-house an activity that previously was largely outsourced.

And chip manufacturing equipment makers including **Applied Materials** have been touting packaging's potential: Chief executive Gary Dickerson said in August that packaging-related revenue would grow more than 70% this year. *—Asa Fitch*

MONEY & INVESTING

Stock Spotlight

UnitedHealth
The insurance company's earnings beat analysts' expectations and it raised its guidance. UnitedHealth shares edged higher.

BP
The British energy company said it managed to slash cut down its net debt levels ahead of schedule. Its shares rose 3.7% in London.

Visa
The payment company said it won approval to prepare for a China payments business. Visa shares climbed 1.7%.

Johnson & Johnson
The healthcare bellwether's shares dropped 5.7% after its earnings report. Litigation expenses weighed on performance, while executives discussed a possible spinout of its hips-and-knees business.

WEDNESDAY'S EVENTS:
◆ Economic data:
CPI figures for September, Federal Reserve Beige Book

EARNINGS EXPECTED:
Bank of America
Morgan Stanley
BlackRock
State Street

In Market History

On this day in 1980, the IPO boom of the 1980s got off to a roaring start. Genentech went public at an initial offering price of $35. The stock closed the day's trading at $71.25, a 103.6% gain—one of the highest first-day returns for a stock in history.

Chip Stocks Are Hit by Fresh Jitters

Worries around the AI trade sparked a selloff in Asian semiconductor shares, and are putting pressure on some of the largest U.S. chip stocks.

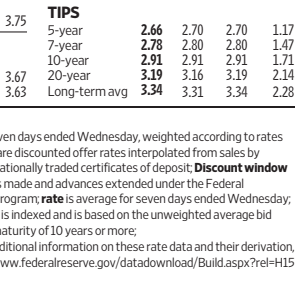
Driving the moves:

The president of CXMT, one of China's biggest memory chip-makers, said at an industry conference in Shanghai that the company is planning to roll out a new type of DRAM chips.

Concerns that this would threaten the leading market positions of South Korean chip giants Samsung Electronics and SK Hynix sent their shares sliding, and seem now to have spread to the U.S.

Separately, Broadcom CEO Hock Tan said in Singapore that many AI investors "have no clue what they are investing in," adding that they had "extreme expectations only to find out that it's almost like they are in a casino." *—Rebecca Feng*

Share and index performance, past two days



Source: FactSet

New Highs and Lows

The following explanations apply to the New York Stock Exchange, NYSE Arca, NYSE American and Nasdaq Stock Market stocks that hit a new 52-week intraday high or low in the latest session. **% CHG**-Daily percentage change from the previous trading session.

Tuesday, October 13, 2026

Highs

Stock	Sym	52-Wk Hi/Lo	% Chg
ACCO Brands	ACCO	4.65	0.7
APA	APA	48.08	2.5
AbbVie	ABBV	283.43	-2.4
AeonAcqnl	AESP	10.00	0.1
AldelFinll A	ALDF	10.86	...
AlgonquinNt2079	AQNB	25.73	...
Andersen	ANDG	58.70	0.7
Apple	AAPL	348.15	0.1
Arcosa	ACA	147.50	...
ArdmoreShipping	ASC	20.15	1.6
Atlassian	TEAM	214.77	0.1
BBB Foods	TBBB	57.30	0.2
BHAVAcqn	BHAV	10.10	0.5
BP	BP	48.74	3.9
BP ADRhedged	BPH	77.03	3.4
Box	BOX	37.59	2.3
Bumble	BMBL	5.98	56.6
C&F Fin	CFFI	105.38	0.8
CVR Energy	CVI	63.31	7.1
Centene	CNC	69.70	2.7
CeriBell	CBLL	26.63	3.5
Chevron	CVX	218.79	1.1
CollectiveAcqnll	CAII	10.02	0.2
Concentra	CON	38.07	...
CrackerBarrel	CBRL	61.32	4.3
DHT	DHT	26.89	1.4
DivrsIHlthcrtNts42	DHCNI	17.30	3.6
DoubleDown	DDI	13.90	-0.7
Dynatrace	DT	66.30	-1.2
EncoreCapital	ECPG	105.74	4.7
Everpure	P	157.57	1.1
ExpeditorsIntl	EXPD	195.90	0.9
Figs	FIGS	19.18	1.5
FifthEraAcqnl	FERA	10.59	...
Fortinet	FTNT	197.13	-1.1
Fossil	FOSL	7.39	...
Frontline	FRO	59.75	-0.3
FuturewaveAcqn	FWAC	9.96	...
GameStop	GME	27.53	...
GenieEnergy	GNE	16.98	0.1
GigaCloudTech	GCT	58.25	-1.2
GigCapital8	GIWWU	11.41	...
GitLab	GTLB	57.89	-7.2
HF Sinclair	DINO	128.56	4.3
Haemonetics	HAE	123.77	-0.3
Hagerty	HGTY	15.24	3.0
HarvardAveAcqn	HAVAU	12.00	...
HarvardAve	HAVA	10.26	0.1
HealthStream	HSTM	34.48	0.9
HighPeakEner	HPK	10.57	4.1
HingeHealth	HNGE	107.00	0.3
Hongli	HLP	2.85	6.8
IBEX	IBEX	45.78	1.2
IDT	IDT	52.91	4.3
Ibotta	IBTA	43.88	0.7
InsightEnt	NSIT	177.34	5.9
JABAcqnl	ATLQ	10.00	0.2
JBDI	JBDI	9.50	243.0
Joyy	JOYY	82.63	0.4
JerashHldgs	JRSH	6.38	2.1
K&FGrowthII	KFII	10.72	0.3
KochavDefense	KCHV	10.50	0.1
LakeSuperiorA	LKSP	10.28	0.1
LegatoMergerIV	LEGO.U	11.99	0.2
LindbladExped	LIND	36.97	0.4
MSC Industrial	MSM	132.55	2.7
MarathonPetrol	MPC	477.73	4.0
Mastercard	MA	605.60	1.6
MetLife	MET	101.44	0.5
Mettler-Toledo	MTD	1604.39	2.2
NaviosMaritime	NMM	97.00	0.4
NetApp	NTAP	240.87	-0.1
NordicAmTankers	NAT	8.88	...
OceanisEcoTankers	ECO	100.68	0.6
OportunFin	OPRT	9.27	0.1
OscarHealth	OSCR	35.01	-0.6
PBF Energy	PBF	91.53	7.2
PCConnection	CNXN	96.91	0.6
PDS Biotech	PDSB	1.79	5.3
PagerDuty	PD	16.84	2.7
ParPacific	PARR	90.17	8.1
Paysign	PAYS	15.62	2.0
Phillips66	PSX	292.88	4.0
ProCapAcqnA	PCAP	10.45	0.5
ProemAcqnlWt	PAACW	0.52	10.6
PyxisTankers	PXS	3.34	6.0
QuantumSphere	QUMS	10.38	0.2
QuasarEdgeAcqn	QRED	10.08	0.1
RFAcqnIIRt	RFAIR	0.25	12.5
RMG ML Sports	SHOTU	10.10	0.9
RRE Ventures	RREV	9.94	0.1
ReinsGrp	RGA	263.00	-0.6
RenaissanceRe	RNR	342.38	0.6
RetensionPharm	RTSN	12.50	2.7
RileyExpln	REPX	47.84	3.2
SBCMedical	SBC	5.61	-1.3
SafetyInsurance	SAFT	104.03	...
Sasol	SSL	15.79	1.8
Shell	SHEL	103.09	1.4
SilverSunValleyAcqn	SVAQ	10.19	...
SizzleAcqnII	SZZL	10.52	0.1
Stagwell	STGW	9.64	3.0
StoneBridgeAcqnll	APAC	10.28	...
SuncorEnergy	SU	75.55	2.3
ThayerVenturesII	TVAI	10.43	...
TsakosEnergy	TEN	56.43	3.3
UnitedFire	UFCS	56.98	-0.4
UrbanOutfitters	URBN	85.66	2.6
VistaEnergy	VLO	457.20	1.6
VeevaSystems	VEEV	309.32	2.0
VendomeAcqnl	VNME	10.34	0.3
VeraBradley	VRA	5.93	5.8
VirginiaNatBksh	VABK	50.50	2.1
Visa	V	396.35	1.7
Vylor	VYLR	77.39	1.4
WeycoGroup	WEYS	53.23	0.6
ZetaGlobal	ZETA	34.92	0.9

Lows

Stock	Sym	52-Wk Hi/Lo	% Chg
AcadiaPharm	ACAD	18.39	-4.1
AcresCmclPfdC	ACRpC	15.01	-10.1
AcresCmclPfdD	ACRpD	13.00	-2.5
ADIGlbDistr	ADIG	16.12	-2.6
ADS-TEC	ADSE	9.04	-4.7
AIOKTO	AIOK	5.15	-12.9
AIRO	AIRO	5.61	-5.3
AlxOncology	ALXO	0.98	-22.3
AMC Robotics	AMCI	2.40	1.2
AMTD IDEA	AMTD	0.35	-8.2
ASPACIIIAcqnRt	ASPCR	0.07	-12.3
ASP Isotopes	ASPI	2.25	-6.6
AcelaCare	ASTS	46.23	-8.5
AT&T PfdA	TpA	16.43	0.5
abrdnIncmPfdA	ACPpA	17.41	0.6
AccendraHealth	ACH	0.32	-19.3
Accuray	ARAY	0.19	-12.8
CapitalOnePfdJ	COPpJ	15.45	0.6
CapitalOnePfdK	COPpK	14.94	0.8
CapitalOnePfdL	COPpL	14.09	0.2
CapitalOnePfdN	COPpN	13.96	0.2
Capstone	CAPS	0.12	-6.8
CardinalInfr	CDNL	17.20	-11.0
Carlyle	CG	37.05	-2.6
cbdMD	YCBD	0.33	-0.3
CelcuityInc	CELC	1.09	-5.1
Cemtrex	CETX	1.84	-2.3
CentrusEnergy	LEU	131.17	-0.8
CenturyCasinos	CNTY	0.78	0.6
CerebrasSystems	CBRS	142.07	1.7
SchwabPfdJ	SCHWpJ	15.59	1.6
Checkr	CCG	4.11	-5.4
CheetahMobile	CMCM	2.27	1.2
CheetahNetSupply	CTNT	2.28	...
CherryHillPfdA	CHMIpA	19.58	0.3
ChicagoAltRealEst	REFI	9.10	-2.6
ChimeraInvt	CIM	8.61	...
ChimeraInvPfdA	CIMpA	17.74	-1.2
ChinaSXTPharm	SXTC	0.07	-24.1
ChinaYuchai	CYD	27.47	-1.3
CipherDigital	CIFR	10.68	-12.8
CitiusPharm	CTXR	0.46	-3.4
ClearSignTech	CLIR	2.86	-2.7
ClinuvelPharm	CUVL	5.42	-2.5
Coinbank	CNCE	3.25	-4.6
comScore	SCOR	3.42	-6.9
Comstock	LODE	2.07	-0.5
ConcordeIntl	CIGL	0.28	-11.3
ContextTherap	CNTX	0.27	-9.8
ContinuumTherap	CTNM	8.10	-1.7
Copart	CPRT	26.17	-0.4
CorbusPharm	CRBP	4.76	-9.3
CoreAI	CHAI	0.20	-2.5
CreativeRealities	CREX	2.26	-1.7
CrownReserveIRt	CRACR	0.08	-15.0
Curis	CRIS	0.59	-4.4
Curtiss-Wright	CW	494.11	-0.4
CVRx	CVRX	1.35	-9.1
CXAppWt	CXAIW	0.02	-18.1
Cyabra	CYAB	0.16	-4.3
Cyngn	CYN	0.46	0.4
CytomXTherap	CTMX	2.32	-3.9
Cytosorbents	CTSO	3.42	-3.6
DBV Tech	DBVT	8.90	-5.4
DefsecTech	DFSC	0.83	-2.9
DPC	DPC	32.40	-7.1
DarioHealth	DRIO	5.18	2.2
Darklris	DKI	0.07	-40.2
DecoyTherap	DCOY	1.21	-13.3
DeepFission	FISN	3.96	-4.1
DermataTherap	DRMA	0.84	-3.3
DigitalCurrX	DCX	1.55	-6.8
DigitalRealtyPfK	DLRpK	20.00	1.0
DocGo	DCGO	0.30	-8.6
DolphinEnt	DLPN	0.93	2.4
Dreamland	TDIC	1.51	-5.2
DrillingToolsIntl	DTI	1.77	2.5
DycomInds	DY	262.17	1.0
DynamixWt	DYNCW	0.04	-42.9
E-Power	EPOW	3.01	-13.0
EagleMaterials	EXP	162.89	0.2
EdibleGarden	EDBL	0.90	-12.7
Ehang	EH	3.81	-3.8
eHealth	EHTH	6.62	-4.5
EikonTherap	EIKN	6.71	-7.4
Elnride	ENRD	2.66	-14.0
ElectraTherap	ETRA	8.57	-7.6
ElingtonCredit	EARN	3.26	-3.5
Eltek	ELTK	7.00	-2.5
EnergyFuels	UUUU	9.24	-4.0
EnerTransitionWt	ETSS.WS	0.19	-4.8
Enlivex	ENLV	0.22	-12.1
EntergyBds66	EAI	18.25	0.5
EntergyMS Bds	EMP	18.18	0.4
EntergyBds66	ENO	19.33	0.3
EntTp 2065 Vy PfdA	ETP	20.65	-0.9
EntradaTherap	TRDA	4.83	-11.6
Eocene	EOCN	3.10	-1.7
EosEnergy	EOSE	2.29	-2.9
ErayakPwr	RAYA	1.50	-8.0
Eshallgo	EHGO	0.53	1.6
EstrellaImmuno	ESLA	0.30	-4.4
eToro	ETOR	24.51	-0.7
Evaxion	EVAX	2.72	-8.0
EveHolding	EVEX	1.55	-5.5
EveHoldingWt	EVEX.WS	0.01	-59.6
EVgo	EVGO	1.07	1.8
EvolvTech	EVLV	4.22	-1.2
EvomoTherap	EVMN	5.85	-4.4
Evotec	EVO	1.33	-1.8
ExascaleLabsWt	XLABW	0.05	-41.6
ExascaleLabs	XLAB	0.90	-7.5
F&GAnnuities	FG	18.75	1.0
F&GAnnuitiesNts	FGN	22.95	0.9
FCTAI Infra	FCTI	1.78	2.2
FTC Solar	FTCI	1.78	2.2
FedAgriMtgPfdG	AGMpG	16.01	-0.9
Femasys	FEMY	1.67	0.6
FervoEnergy	FRVO	11.88	-6.9
FinanceofAm	FOA	11.41	-3.5
FinWiseBancorp	FINW	10.74	-0.5
FirstBancPfdE	FBNCO	18.15	-0.4
FivePoint	FPH	4.36	-0.5
FluenceEnergy	FLNC	6.61	-4.1
ForemostCleanEnWt	FMSTW	0.20	-4.8
ForesightAuto	FRSX	0.73	5.6
FortTechnology	FRTT	0.68	-7.1
FortressBiotech	FBIO	1.93	-7.6
FractylHealth	GUTS	4.00	-8.7
FrankBSP PfdE	FBRTpE	17.11	-0.8
FreedomMetalsAcqn	FDMMU	9.88	0.6
Freightos	CRGO	0.79	1.3
FrontierNuclear	FNUC	0.98	-6.9
FuelCell	FLL	1.12	-6.5
FusemachinesWt	FUSEW	0.02	11.8
FutureCrestWt	FCRS.WS	0.46	-19.3
GEN Restaurant	GENK	1.39	-8.2
GMEXRobotics	GMEX	1.55	22.2
GSI Tech	GSIT	4.35	-0.2
GaboBillPfdA	GLUpA	44.20	-0.7
GainTherap	GANX	1.40	-10.2
GameYourGame	GYGY	0.41	-9.3
Gauzy	GAUZ	4.04	-9.3
Genasys	GNSS	1.31	...
GenerationEssen	TGE	0.74	1.6
GeniusGroup	GNS	0.14	-5.4
Genprex	GNPX	2.51	-6.7
GeospaceTech	GEOS	4.57	2.8
GeoVaxLabs	GOVX	0.26	-5.9
Gevo	GEVO	1.24	0.8
GigCapital9Rt	GIXXR	0.18	-16.8
GilatSatellite	GILT	8.11	-1.7
GlassHouseBrands	GLAS	3.62	-5.6
GlobalIndemnity	GBLI	22.83	-3.6
GlobalMofyAI	GMM	1.54	-1.5
GoldenHeaven	GDHG	1.06	-3.6
GoresXI Wt	GHXIW	0.50	-6.3
GranitePointMtg	GPMT	5.71	-3.5
GreenCircle	GCDT	0.39	-12.4
GreenPowerMotor	GP	0.32	-3.6
Group1Auto	GPI	226.68	0.8
GuardianMetal	GMTL	6.92	-3.6
HCW Biologics	HCWB	1.25	-14.9
HaoxiHlthTech	HAO	2.27	-7.0
Haoxin	HXHX	0.26	-5.6
HawaiianElec	HE	9.40	-1.5
HawkEye360	HAWK	12.65	-3.5
HealthInTechA	HIT	0.63	-5.8
HealthcrTriangle	HCTI	0.41	-3.1
Hesai	HSAI	14.18	-4.4
HessMidstream	HESM	30.92	-3.6
HormoneFoods	HRL	18.96	0.5
HourLoop	HOUR	1.60	3.0
HouseofDoge	HODO	0.08	-18.8
HuachenAlPkg	HCAI	0.27	-23.0
HubCyberSecurity	HUBC	0.52	-35.6
Humacyte	HUMA	0.36	-7.9
HuntingIngalls	HII	255.36	-2.3
HyperscaleData	GPUS	0.14	-8.6
ICZOOMA	IZM	0.85	44.4
IM Cannabis	IMCC	1.32	-6.8
INVO Fertility	IVF	0.63	-11.9
iBio	IBIO	0.77	-13.4
IceCureMedical	ICCM	1.03	1.9
IdahoStratRscs	IDR	20.83	-5.3
iHeartMedia	IHRT	1.85	-2.6
Immatics	IMTX	6.80	-5.3
Immuneering	IMRX	3.55	-7.8
Immutep	IMMP	3.44	-2.7
ImpactBioMed	IBO	3.84	-1.2
IndieSemicon	INDI	2.19	-4.7
InfiniteEagleRt	IEAGR	0.16	0.4
InflectionPtVIII	IPHXU	9.96	...
InnovationBev	IBG	0.71	2.3
InnovizTech	INVZ	0.29	-0.3
Innventure	INV	0.24	-11.5
IntelligentBio	INBS	1.45	-2.0
IntensityTherap	INTS	3.10	7.3
Inventiva	IVA	2.87	-8.0
InvescoMtg	IVR	5.49	-0.7
IonisPharm	IONS	42.36	-3.0
IperionX	IPX	14.60	-6.0
JetBlue	JBLU	3.34	-7.5
Jiayin	JFIN	1.13	2.5
JobyAviation	JOBY	4.95	-3.7
Joint	JYNT	6.80	0.5
KALA BIO	KALA	0.26	-7.1
KB Home	KBH	41.27	1.4
KIDZAI	KIDZ	1.91	-2.0
KNOREX	KNRX	0.17	-4.3
KalaraisTherap	KLRS	2.20	-1.3
Karman	KRMN	29.86	-9.4
KaryopharmTherap	KPTI	0.40	-15.4
Kestrel	KG	4.50	-0.4
KestrelGr6.625-46	MHLA	8.85	-1.9
KeyCorpPfdF	KEYpJ	18.54	0.9
KeyCorpPfdG	KEYpK	18.48	0.9
KnifeRiver	KNIF	48.71	-2.1
KoreaDefenseRt	KCHVR	0.08	-22.0
KratosDefense	KTOS	39.83	-3.1
KyvernaTherap	KYTX	5.76	-7.1
LG Display	LPL	2.67	-1.1
LaRosa	LRHC	1.00	-1.8
Lakewood-Amedex	LABT	0.67	-5.1
LaserPharma	LTRX	0.70	-3.6
LarimarTherap	LRMR	2.13	-14.6
LaunchOneWt	LPAAW	0.05	-44.4
LennoxIntl	LII	340.32	-1.8
LexariaBioscience	LEXX	2.69	-14.4
LexeoTherap	LXEO	2.74	-9.9
LibertyCap A GCI	GLIBA	19.45	3.8
LibertyDefense	DFTX	1.56	-15.7
LifeMD	LFMD	2.46	-3.1
Lightbridge	LTBR	5.49	-1.6
LinkageGlobal	UZX	0.75	-7.1
LionGroup	LGHL	2.84	-1.6
LiqTechIntl	LIQT	0.37	3.0
LithiumAmericas	LAC	2.18	-2.2
loanDepot	LDI	0.55	-4.8
Longeveron	LGVN	2.14	-12.2
LoopIndustries	LOOP	0.34	-11.5
LucasGC	LGCL	1.83	-9.1
LumenTech	LUMN	4.88	-1.2
Lyellimmuno	LYEL	7.39	-9.2
Lyntrix	LYNX	10.84	-5.2
M&TBkPfdL	MTBpL	22.15	0.1
M&T Bank Pfd K	MTBpK	21.37	0.6
MDB Capital	MDBH	1.87	-2.5
MediromHlthcr	MRM	0.30	-38.5
MFA Financial	MFA	6.55	0.3
MidwestTech	MKDW	0.91	0.8
MadisonAirSolns	MAIR	22.80	1.4
ManhattanBridge	LOAN	3.31	-1.5
MapLightTherap	MPLT	7.85	-8.4
Maris-Tech	MTEK	0.50	-7.5
MasterBeef	MB	3.42	...
MedicusPharma	MDCX	3.14	-8.4
MediWound	MDWD	12.19	-2.7
MeiwuTechnology	MWNW	2.01	1.7
MeridianInt	MERC	0.18	-3.0
Merlin	MRLN	1.15	7.5
Metagenomi	MGX	0.91	-10.1
MetalsRoyalty	TMCR	2.62	-6.2
MicroAlgo	MLGO	2.85	0.3
MicrobotMed	MBOT	1.00	-1.9
Microvast	MVST	0.54	0.9
MicroVision	MVIS	1.15	-1.7
MineralysTherap	MLYS	20.41	-5.5
MixedMartialArts	MMA	0.27	-3.4
Mobilicom	MOB	3.86	-0.5
Momentus	MNTS	2.85	-4.3
MooleciScience	MLEC	1.64	-5.1
MorganStanleyPfdI	MSpI	22.06	1.2
MorganStanleyPfdL	MSpL	17.06	1.8
MorganStanleyPfdO	MSpO	14.82	2.2
MorganStanleyPfdQ	MSpQ	23.29	2.4
MS Direct Lend	MSDL	13.01	-0.7
MustangBio	MBIO	0.37	-8.6
NCR Corp Inds	NC	34.76	0.7
NetPower	NPWR	1.18	-3.3
NFT	MI	0.60	-18.4
NanoNuclearEner	NNE	13.71	0.4
NatlRurUtilNt2064	NRUC	19.60	1.3
NauticusRobot	KITT	1.26	-1.5
Neo-Concept	NCI	0.66	-2.7
NeosTellarCap	NSLR	7.00	0.7
NerdyA	NRDY	5.93	-2.4
NetLeaseOffice	NLOP	9.48	-0.3
NetClassTechnology	NTCL	0.94	-6.0
NeumoraTherap	NMRA	0.37	-15.3
NeuroSenseWt	NRSNW	0.00	-2.0
NewAmerical	NWAXU	10.15	-0.1
NE Realty	NEN	47.01	-6.0
NewFortressEnergy	NFE	3.84	2.1
NewHorizAircraftWt	HOVRW	0.22	3.1
NewMtnFin	NMFC	6.63	-0.4
NewAmstPharma	NAMS	20.04	-5.0
NewAmstPharmaWt	NAMSW	9.79	-0.5
newcleo	NWCL	6.80	-7.1
Newegg	NEGG	10.78	-1.9
NewGenIvf	NIVF	0.17	-17.2
Newmark	NMRK	11.43	-0.3
NexalinTechnology	NXL	2.53	-21.4
NexentisTech	NXTS	0.64	-6.9
NextNRG	NXXT	0.56	-4.5
NiagenBio	NAGE	2.55	-1.9
NikiBioSolutions	NIKI	2.63	-13.1
NioCorpDevts	NB	3.22	1.8
NioCorpDevelopWt	NIOBW	0.43	-0.5
Nixxy	NIXX	0.17	-24.6
NoahHoldings	NOAH	7.45	-0.8
NorthAmConstr	NOA	11.65	0.8
NorthernDynasty	NAK	0.97	-3.8
NouveauMonde	NMG	1.00	-1.0
NovaBridgeBio	NBP	1.26	-2.3
Novonix	NVX	2.31	-3.3
NuScalePower	SMR	6.42	-3.1
Nuwellis	NUWE	0.62	-7.4
ONE GroupHosp	STKS	1.46	-2.6
Ocugen	OCGN	0.87	-6.5
OculisWt	OCSAW	2.01	-11.0
Oculis	OCS	7.32	-3.3
Odysight.ai	ODYS	2.44	-4.2
Offerpad	OPAD	2.54	-5.2
Oklo	OKLO	31.02	-1.3
Olin	OLN	14.64	1.1
Onconetix	ONCO	0.54	-6.0
One&OneGreen	YDDL	1.25	-3.1
OneMedNet	ONMD	3.61	2.3
OneStream	OS	22.60	-5.4
OpendoorTech	OPEN	2.04	1.0
OpendoorWtZ	OPENZ	0.05	-19.6
OpendoorWtK	OPENW	0.09	-5.5
OpendoorWtA	OPENL	0.06	1.4
OpenWorld	OPNW	3.16	-16.1
OppFi	OPFI	5.77	...
Organigenics	OGEN	0.44	-0.2
Organogenesis	ORGO	1.20	-1.6
OurBond	OBAI	0.18	2.7
OxfordLaneNts2032	OXLCG	24.42	-0.4
PRF Tech	PRFX	0.81	-4.9
PTC Therap	PTCT	59.82	-4.8
PagayaTechWt	PAYAW	0.01	-29.4
ParanovusEntTech	PAVS	3.23	-2.8
PatriotNatBncp	PNBK	0.84	-6.6
PennantParkFR	PFLT	6.57	-0.9
PennyMacFin	PFSI	58.45	0.8
PennyMacMtg	PMT	6.83	-0.1
PennyMacMtgPfA	PMTpA	20.17	-0.6
PennyMacPfdB	PMTpB	20.15	-0.5
Peraso	PRSO	0.36	-1.9
PhaosTech	POAS	1.84	14.0
Pharming	PHAR	9.32	-1.8
Playstudios	MYPS	3.84	-8.0
PliantTherap	PLRX	0.96	-1.8
PlugPower	PLUG	1.55	-4.3
PolarPower	POLA	1.03	...
PolestarAuto	PSNY	4.21	-3.1
PonyAI	PONY	5.50	-2.6
PowellMax	PMAX	0.53	-8.9
PowerBank	PBK	0.20	-2.0
PowerCompute	PWCM	0.80	2.5
Powerus	PUSA	2.19	-1.3
Profusa	PFSA	1.23	-1.5
PropancBiopharma	PPCB	0.41	-6.3
PureCycleUn	PCTTU	3.62	-3.3
PureCycleTech	PCT	3.42	-4.4
QVC	QVCG	11.51	-7.6
Qfin	QFIN	5.73	-2.9
Quantinuum	QNT

HEARD ON THE STREET
FINANCIAL ANALYSIS & COMMENTARY

Storm Won't Reset Insurance Market

Capital flowing into the sector might actually be weakening it

Isaias was a devastating storm for many on the Gulf Coast. But thankfully, early estimates suggest it is unlikely to join the ranks of the most expensive and destructive U.S. landfalls. That might be no relief for insurance stocks.

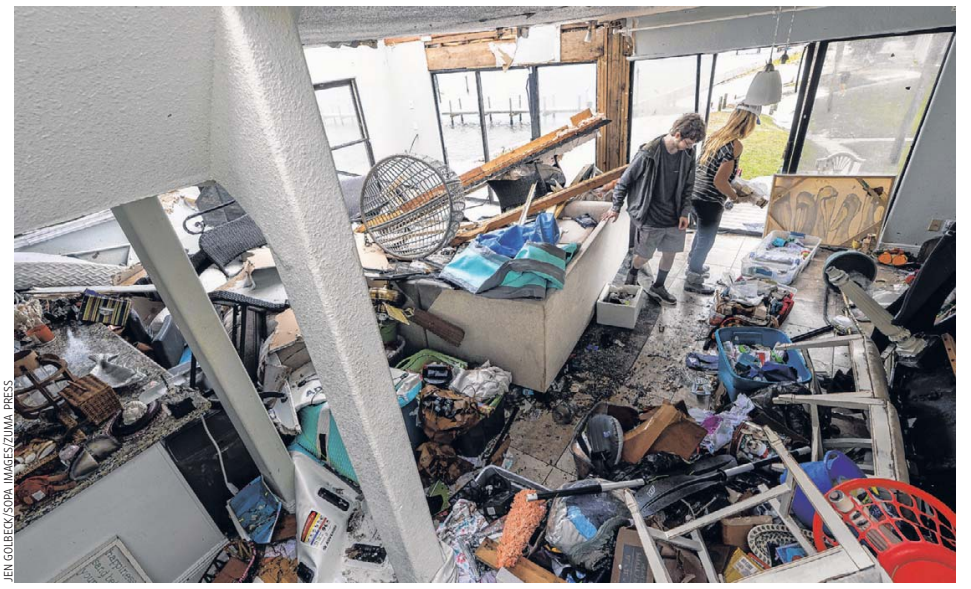
Isaias represents the latest timing for a first hurricane of the Atlantic storm season in over a hundred years, and the first to hit the U.S. since 2024, according to the National Oceanic and Atmospheric Administration. Yet it arrived at a complicated time for insurers and the reinsurers who backstop them.

Reinsurance stocks can act a bit strangely when a storm hits. On one hand, insurers will see a jump in insurance losses, eating into profits for the year. On the other hand, losses remind everyone of the need for the insurance they bought and can drive out some capital providers or weaker firms, improving returns for others.

This dynamic explains why reinsurance stocks have sometimes rallied after significant loss events. When this happens, it may indicate that losses were significant enough to keep pricing and the supply of capital in balance—but not so large as to eat into insurers' capital buffers and require them to raise more money.

But Isaias doesn't seem like it will line up to be that kind of event. For one thing, the resulting insurance losses might be fairly modest in historical terms. Marsh Re wrote ahead of Isaias' landfall that based on similar historical events, the expected insurance loss might be in the mid-single-digit billions.

On top of that, insurers came into storm season following a period of lighter catastrophe losses relative to recent trends. The first half of this year had the lowest global natural catastrophe losses since 2020, with past figures adjusted for inflation, according to Swiss Re Institute data. Full-year losses in 2025 also were below what the long-term upward trend would have projected, Swiss Re Institute has written.



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Isaias represents the latest timing for a first hurricane of the Atlantic storm season in over a hundred years.

This has been a boon to underwriting profits. In the first half of 2026, a composite of global reinsurers generated an estimated roughly 20% return on equity, the second-highest first-half result in a decade, according to Gallagher Re. However, those returns may also fuel a continuing influx of capital into catastrophe insurance. Through the first half, capital dedicated to reinsurance grew by 5% from the end of 2025, reaching a new all-time high of almost $690 billion, according to Gallagher Re. Just four years ago, that pool was under $450 billion.

So as devastating as it may be for many people, if Isaias tracks early loss estimates, it is unlikely to scare away investors or drive firmer industry pricing. Insurers' loss budgets could even look too large relative to loss trends, leading to more negotiation pressure when policies come up for renewals for next year.

"Given ample reinsurance market capital, this event is unlikely to meaningfully influence upcoming reinsurance renewal discussions," Gallagher Re wrote in a commentary last week.

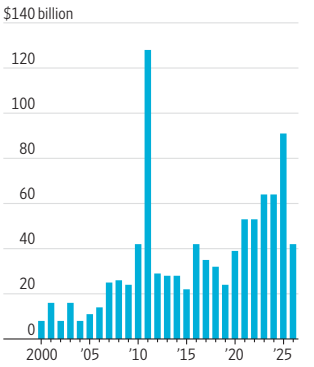
Insurance stocks have done well lately, which may leave them vulnerable to a pullback. S&P Composite 1500 reinsurers are up close to 20% so far in 2026. The S&P 500 property-and-casualty insurers index has jumped over 5% so far in October, ahead of the S&P 500's 2% gain.

But analysts at JPMorgan Chase wrote in a note last week that current market valuations for commercial insurers and, to a lesser extent, reinsurers, reflect "returns which are not necessarily sustainable."

There may be some happy investors in the market for insurance-linked securities, however, if Isaias isn't large enough to trigger catastrophe bond losses. One appealing feature of many of these bonds at the moment is that as interest rates rise they can pay higher yields on investors' cash held as collateral against catastrophe risk.

Without major losses, cat bonds may continue to draw in more investors. Issuance exceeded $17 billion in the first half, the strongest on record, according to Swiss Re Institute data.

First-half global insured losses from natural catastrophes, by year



Note: All years are in inflation-adjusted 2026 dollars
Source: Swiss Re Institute

With the volume of capital available to be put to work in the reinsurance market, the industry would likely need to face at least $100 billion of additional losses on top of what is already expected in an average year to "meaningfully" alter the trajectory of pricing and capital, according to Gallagher Re Chief Science Officer Steve Bowen.

The recent run of luck and strong returns raises an important question, he said: "What happens when the inevitable pendulum swings back and even more expensive catastrophe activity returns?"

After all, it only takes one bad hurricane in the wrong spot to totally upend loss trends. When it comes to the history of insurance cycles, a string of good results should only make you more nervous.

—Telis Demos

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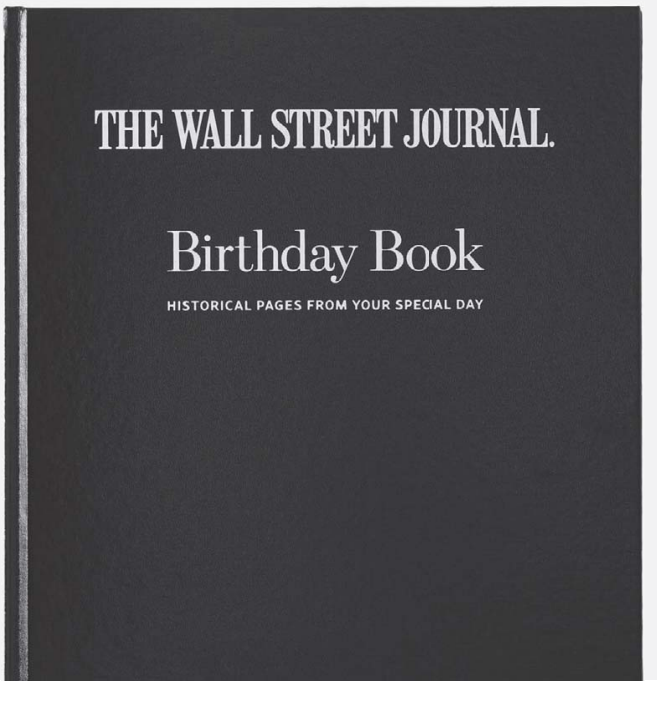

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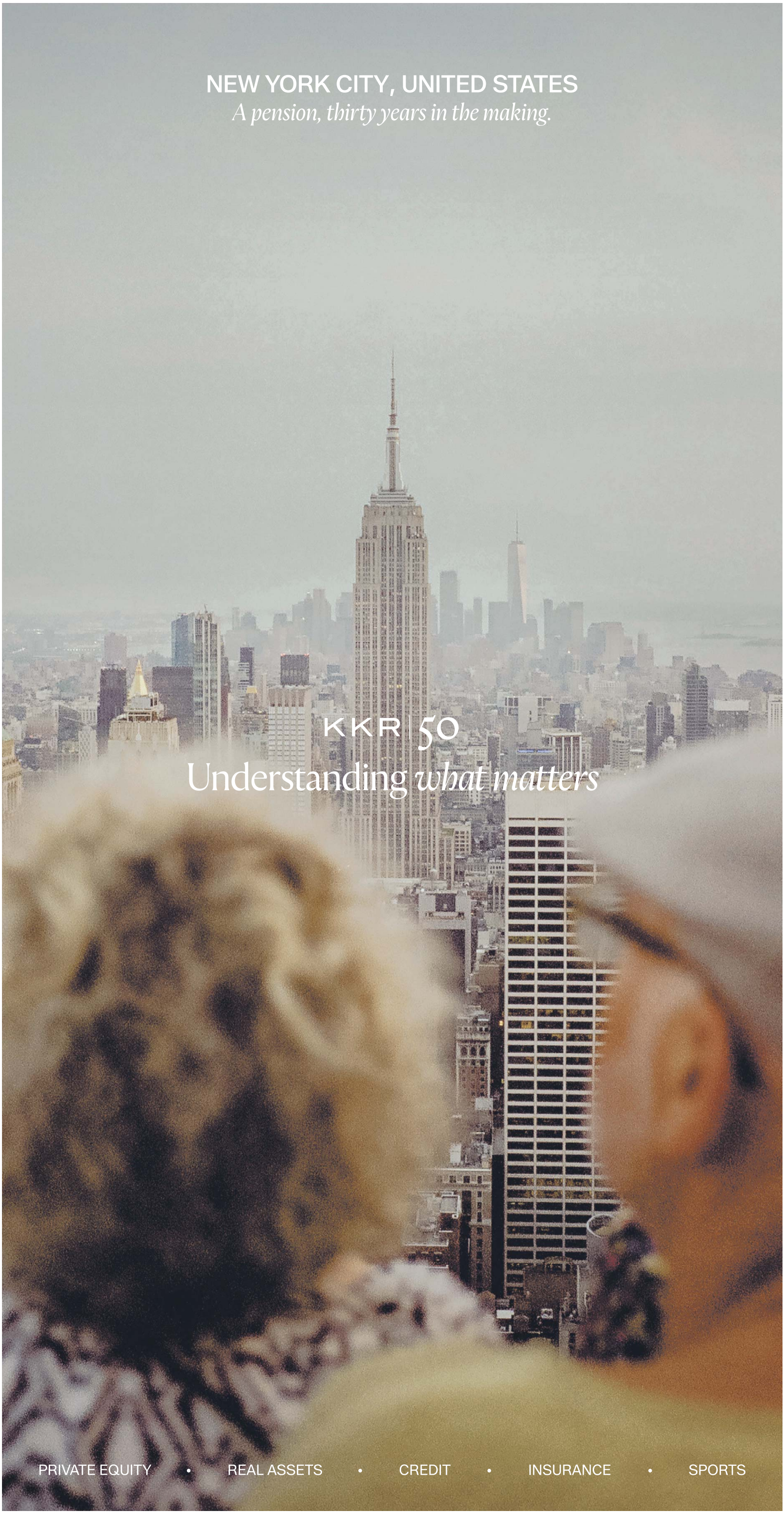
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